Fedbank Financial (FEDFINA)

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Call: Dec 2023

Secretarial Department

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December 15, 2023
Ref. FEDFINA/ CS/ 15 / 2023 -24
To,
National Stock Exchange of India Ltd.,
Listing Department
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex,
Bandra (E), Mumbai – 400 051 To,
BSE Limited,
The Corporate Relationship Dept.
Rotunda Building,
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai - 400 001

Re: Scrip Code: 544027, Symbol: FEDFINA

Sub: Transcript of Earnings Conference Call

Dear Sir/Madam,

Pursuant to applicable provisions of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended, please find attached the transcript of the earnings conference call which was held on December 11, 2023.

The transcript of the earnings conference call shall be uploaded on the website of the Company at fedfina.com/investors -relations/overvi ews/concall -transcripts -and-recordings/ under the section 'Investor Relations in due course.

The above is submitted for your kind information and appropriate dissemination.

Thanking you,

Yours Faithfully
For Fedbank Financial Services Limited

Rajaraman Sundaresan
Company Secretary & Compliance Officer
Membership No.: F3514

“Fedbank Financial Services Q2 & H1 FY24
Conference Call”

December 11, 2023

MANAGEMENT : MR. ANIL KOTHURI – MANAGING DIRECTOR & CHIEF
EXECUTIVE OFFICER, FEDBANK FINANCIAL SERVICES
LIMITED
MR. C. V. GANESH– CHIEF FINANCIAL OFFICER,
FEDBANK FINANCIAL SERVICES LIMITED
MR. KULDIP DESHMUKH – HEAD (INVESTOR
RELATIONS), FEDBANK FINANCIAL SERVICES LIMITED
MR. AMIT SINGH – FEDBANK FINANCIAL SERVICES
LIMITED
MODERATOR : MR. SHREEPAL DOSHI – EQUIRUS SECURITIES
PRIVATE LIMITED

Moderator: Ladies and gentlemen, good day and welcome to the Q2/H1 FY24 Conference Call of Fedbank Financial Services Hosted by Equirus Securities.
As a reminder, all participant lines will be in the listen-only mode. There will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference, please signal the operator by pressing '*' and then '0' on your touchtone phone.
Please note that this conference is being recorded.
I now hand the conference over to Mr. Shreepal Doshi from Equirus Securities. Thank you and over to you, sir.
Shreepal Doshi : Thank you, Dorwin. Good afternoon, everyone. I welcome you all to the Earnings Conference Call of Fedbank Financial Services to discuss the Q2/H1 FY24 "Performance of the Company, Business Updates, and Industry Trends".
We have the Senior Management team with us represented by Mr. Anil Kothuri – MD and CEO, Mr. C.V. Ganesh - CFO, Mr. Kuldip Deshmukh - Head IR, and Mr. Amit Singh.
I would now like to hand over the call to Anil sir for his opening remarks, post which we can open the floor for question and answer. Over to you sir.
Anil Kothuri: Thank you, Shreepal. Good evening, everybody, and welcome. We got listed on the 30th of November, so this is our first analyst call after that. So, thank you all for attending. This is to discuss the results of the quarter ended September 30th.
The quarter has been a reasonable one for us. We crossed a landmark in terms of an AUM of Rs. 10,000 crores on the last day of the quarter. Our AUM is just about Rs. 10,000 crores. This represents a 38% growth over the same period a year ago. This is on the back of disbursals of Rs. 2,900 crores in the quarter. This Rs. 2,900 crores includes the disbursals for gold and non-gold. The non-gold loan businesses disbursed about Rs. 930 crores in Q2. So, this Rs. 930 crores is a 39% growth over the previous quarter. And all these disbursements happened at a weighted average origination rate of 15.9%. All this led to financials of as follows:

■ Our profit after tax for Q2 was Rs. 57.8 crores. This is a 25% growth on a year-on-year basis.
■ Our return on equity was 15.9% for the quarter and our ROA or return on assets was 2.4%. Our small ticket mortgage remains a key focus area for the company and we expect its mix as a percentage of AUM to keep improving year after year.
■ In line with pursuing this strategy, we opened 23 new branches focusing on small ticket mortgages this quarter. We forayed into the state of Uttarakhand, which is our 17th state in India that we are present in. So, our branch count is now up to 607.
■ We added over 200 employees in the quarter. So, our employee base at the end of the quarter has increased to 3,970 people.

■ Our asset quality remains on track. Our gross Stage-2 is 2.3%. So, that's a worsening of 8 basis points quarter-on-quarter, while our net stage three stands at 1.8%.
■ Our (+30) for the non-gold portfolio has improved marginally to 4.5%.
■ In the quarter, a portion of secured loans continue to stay at 84% of the AUM, even though on an AUF or an on-book basis, that number is about 13.5%.

With this, I'll stop here and open up the call for any questions that you may have.
Moderator: Thank you very much. We will now begin the question and answer session. We have the first question from the line of Madhuchanda Dey from MC Pro. Please go ahead.

Madhuchanda Dey: Hi, gentlemen. Congratulations on the listing. I just have one question. This is a little broad-based question, not exactly pertaining to the Q2. This is like, you all are present in gold, small-ticket housing, business loans etc. with a significantly higher yields than what generally earned by your banking counterparts, including your parent. So, now with this expansion

in footprint,
riding on FinTechs, smaller NBFCs, etc. many of the banks, including your parent is pursuing a strategy of improving their low yields. So, in fact, to that extent, there is going to be significant competition from banks because banks now have a big fight with their low cost deposits and in general. So, everyone is eyeing this high yielding segment. So, how do you differentiate yourself? That is my first question. And secondly, what could you do differently to counter this competition? Thank you.
Anil Kothuri: Thank you. Our mission statement is that we are in business to empower emerging India with easy access to loans. That means we are very focused on these small self-employed customers. Now the demand in this segment is quite vast and it's estimated that only 20% of the demand is actually catered to. The remaining just goes a-begging. So, the first point is, regardless of how many NBFCs and banks there are, there's a market much larger than the appetite of the existing players to feed this segment. That is point number one. Point number two is that we use whatever information the customer has and whatever collateral he can provide and we fashion a loan to him on that basis. So, some customers have gold, we do a gold loan. Some customers have property, we do a loan against property. So, that's the way this thing works. Now the challenge is not just to, is that we don't have ready-made P&L balance sheets that we have access to, that we can put into a model and quickly make a decision. Our underwriting requires us to invest time with the customer, understand his business, estimate the size of his business, his income and then fashion a loan amount that's a comfortable debt burden for him. So, it's very intensive. So, the number of players doing this in the market is very small. The large banks most definitely don't do it because they prefer to have models which they can replicate over thousands of branches and they strive to achieve uniformity in their underwriting practices. That is the other point. Now, the difference in yields between what we get and what the banks get are quite vast. Since you mentioned our parent, our yield on the gold business, for instance, is upwards of 17.5%, whereas for our parent, it's about 10.1%. So, it's a different customer and a different value proposition that banks and NBFCs offer. Now, the way we are approaching this in future is to co-operate with banks, there are co-lending arrangements that we put in place, especially for our gold loan business. What these arrangements do is to help broad base our business so

that we are not anchored to customers only give us 17.5%, but we cater to customers at different price points while preserving our returns on equity. We can make our equity go further. We can cater to a wider base of customers. There's superior cost absorption that results as a consequence. So, that really is the way forward for us.
Madhuchanda Dey : So, if I just may ask you another question, who all have you partnered with for this co-lending?
Anil Kothuri : There is a large private bank and a foreign bank that we've already tied up with and have commenced co-lending with. So, those two arrangements are already up for it.
Madhuchanda Dey : So, I mean, just to understand from you correctly, you still believe that with the penetration of the FinTechs etc. the turf that you cater to is going to be exclusive and not going to be serviced by the banks in the near future. Is that a correct understanding?
Anil Kothuri : The banks and FinTechs are different. The banks cater to a more established self-employed customer base or a salaried customer base. What FinTechs in the lending space do is to cater to customers who meet three characteristics. Their loans have three characteristics. It is short-term, it is unsecured, and it is low ticket. That seems to be t

he preserve of FinTechs. So, that's a
segment that we are not present in. Short-term, small ticket, unsecured loans of Rs. 10,000, Rs. 15,000, Rs. 20,000, we are not present there at all.
Moderator : Thank you. The next question is from the line of Sneha from Star Union Daichi. Please go ahead.
Sneha: We have reached our landmark of AUM of Rs. 10,000 crores. How do you see going ahead practically? Any ballpark number you would like to share? Can we expect any mix changes? And how the percentage sharing will be done? And what is the thought of the dispersal process more on the gold loan or more on the non-gold loans? And the second question is, there has been spike on the expenses on quarter-on-quarter, anything to look into that? And the third question is, there is a little bit spike on the asset quality, basically, across stage 2 as well as Stage-3 on quarter-on-quarter. So, just wanted to know your thoughts? And regarding the co-lending model, how do you see that net securitization volume going ahead? When during the meeting you had mentioned that you would be like to follow your peers in some of these segments, specifically on the co-lending model. So, what are the pieces and the workings? These are questions from

my side.
Anil Kothuri : You asked four questions. I missed the second one. So, let me just answer the remaining three, then we can get to the second. Your first question is on the mix and the AUM and what it may be in future. Now, our business is a business of two parts. There is the gold loan business and there is the non-gold business. In terms of the gold loan business, we are present in 437 branches. We started the year with an AUM per branch of something like ■6.5 Cr. We crossed the ■7.5 Cr mark by September, October and we are on track to increase our AUM per branch, especially with co-lending coming in. The other tailwind that we hope to get is an increase in gold prices. So, these are the two factors that will play out in building our AUM per branch for gold loans. Now as far as the non-gold loan business is concerned, we have capacity that's already there and

our disbursals will keep increasing and the AUM will keep increasing as a consequence. Now the bias of the AUM will be towards small ticket mortgages. That's because as we keep originating, this is the longest tenure product that we have. It has a behavioral tenure of something like 7 to 8 years. So, while the other products run-off quicker, the portfolio will keep getting enriched by the presence of a greater proportion of small-ticket mortgage loans. So, that's the way the mix will trend. Now, you've seen our quarter-on-quarter or year-on-year trends in terms of AUM growth, and it will be our endeavor to try and preserve them.
You had a question on the co-lending model, how does it work? We've commenced co-lending for gold loans. And let's say the other bank takes over the loan at 9%. And we do a loan at 12%. Thus far, we won't offer the customer a loan. But now what we do is that we offer the customer a loan and offload 80% to the other bank. So, we make 3% on 80% of the loan and on the remaining 20% we make let's say a little more than 3%, our cost of borrowing is let's say 8.6%, 8.7%. So, even if you round that off to 9, we end up making around 15% on the loan that takes up the ROE quite significantly that's how co-lending works for us and we are able to occupy the wide space that currently exists in our portfolio between let's say 17.5% all the way down to maybe even 10.5%. You know, that becomes ROE accretive for us. So, that's how co-lending will work.
The third question was with respect to asset quality. Asset quality has stayed largely flat over the previous quarter. There's been a worsening of 8 basis points. That's because there has been some increase in delinquency in the medium ticket mortgage business. So, this is as of S

eptember
30th. But post September 30th, that has come back under control and I'll have more to say in this probably in the next analyst call. So, that is the reason that Stage-3 has bloated by 8 basis points. Your second question I didn't get, Sneha, if you can just repeat.
Sneha: Yes, I was just speaking on the expenses side that has been rising on quarter-on-quarter, is it due to the IPO expenses or any further expenses. What would be the reason for the rise in the expenses basically?
Anil Kothuri : So, our expenses have broadly four components, okay, which have contributed to increase. One part of the expense increase has to do with the number of branches we open and the people we hire. Also in our existing branches we've hired more people. You know, it's not as if our growth only happens to new branches, even existing branches have room for adding 1 or 2 people, we've added people. So, some bit of that is capacity building, that is number one. The second thing is that we are in the midst of a transformative IT implementation in our installment loan businesses. So, that is the second thing that is happening. The third is some bit of our expenses has to do with the quantum of origination that we do. As origination increases, there are expense increases that we do, not everything can be amortized you know along. There is some bit that we have taken upfront. So, that is the other component of the expense that is there.
Sneha: And when we can expect that operating leverages to start bearing the fruit considering the implementation of the IT and whatever the branch expansions and the employee addition has

been done, but still some of them has been pending on your end and what we can expect the core basically on the operating leverage that can play out?
Anil Kothuri : So, the investment phase is largely behind us whether it's in terms of the transformative change in our branch landscape or in terms of the IT implementation or hiring people. So, the platform now is reasonably in place and any expenses we incur will be largely at valorem linked with origination. So, the operating leverage should start and should start right now, if you ask me. Every quarter, we hope to demonstrate some bit of this happening.
Moderator : Thank you. We have the next question from the line of Harshvardhan Agrawal from Bandhan Asset Management. Please go ahead.

Harshvardhan Agrawal: Sir, two broad questions. One is around the AUM growth. I understand that the last participant asked about AUM growth. Is that fair to understand that the current growth of around 38% is that we would maintain for FY24-25?
Anil Kothuri: 38% is a large number. Our endeavor is to ensure that we grow at something between 25% and 30%. That's what I'm happy and comfortable guiding, even though we have several engines firing in terms of products and geographical presence.
Harshvardhan Agrawal: Sir, second, largely on the recent RBI norm changes which have happened. So, two parts here, one is any impact on our capital adequacy due to changes in the risk weights and secondly, because it's been almost a month obviously, we will have had some discussions with the banking partners. So, do you see any impact on our cost of funds?
Anil Kothuri: On the first part, we have separated which of our loans have to do with working capital and which of them have to do with consumption. And we have identified these loans and they amount to something like maybe Rs. 250 crore or so, I forget the exact number and the impact on our capital adequacy is something like 20 basis points. So, that is the data point. Given that we've just IPO'ed and have capital far in excess of the regulatory minimum, we can take this in a stride. That is number one. The second question is in terms of the banks, a few banks have come back to us and said that they want to take up their rate. Conversations

are underway, but the impact is marginal. The impact is definitely there, but our efforts are to ensure that it's not significant. And my estimate is that it could be something like, God knows, between 25 and 50 basis points maybe.
Harshvardhan Agrawal: Sir, this 25-50 basis point broad impact, that could be there on the entire bank funding book, right? Because even the existing loan would be repriced.
Anil Kothuri: So, look, we need to see how this plays out. Currently, it's just about 3 banks who have written to us and we are parlaying and the increase doesn't seem to be substantial. So, it's just an estimate that I have at this point in time now. But yes, in terms of impact, the entire bank loan, bank funding should get impacted less what we borrowed specifically for PSL.
Moderator: Thank you. The next question is from the line of Gao Zhixuan from Schonfeld. Please go ahead.

Gao Zhixuan: Just a follow-up on the previous participant's question on the borrowing cost. So, 75% of our borrowings are bank borrowings, right? And out of that, how many percent is PSL compliant and was excluded from the risk-weight increase on the banking side?
Anil Kothuri: So, virtually all the loans that we do are PSL, in that we lend to the small self-employed customer. However, there are some specific requirements of documentation that we need to collect to demonstrate that they qualify for priority sector lending. And so therefore, only those loans are earmarked for PSL borrowing. It's under 10% yes.
Gao Zhixuan: Under 10% of our bank borrowings are PSL.
Anil Kothuri: That's right.
Gao Zhixuan: So, 90% of our bank borrowings will be, our lenders were subject to the risk weight increase?
Anil Kothuri: That's right.
Gao Zhixuan: And just on the margins of the spread, right, this quarter we saw a pretty sharp jump in the yield and at the same time we saw a pretty big decline in the cost of funds. Is there any one-off there? How should we look at the spread going forward excluding the potential impact of this RBI directory?
Anil Kothuri: So, in terms of the spread, I think a fair way of looking at it would be to average it across Q1 and Q2, our spreads are around the 8% mark. That would be a fair way to look at it. Across the two quarters, there have been one-offs. In Q1, we have repaid some loans in the end of the quarter. So, when you average it on an opening plus closing quarter by 2 basis points, your borrowing cost looks a little high. So, that was the impact in Q1. In Q2, we sold some portfolio down to securitize because we wanted to ensure that we had adequate capital in hand in case the IPO timelines get delayed. So, which is why we've had some larger gain in terms of securitization, which adds to the interest income.
Gao Zhixuan: I'm just wondering, because since we're doing more co-lending/securitization, right? So, I'm just wondering the spread that we earn on those off-book AUM and also the ROA that we earn on those off-book AUM, how is it comparing to, let's say, on-book AUM?
Anil Kothuri: Our cost of borrowing for the last quarter was 8.6%. The co-lending book we offload to other banks at say 9.5%. So, the spread then will be about what 1% lower. So, 17.5 minus say 8.5 would have been 9% on the gold loan book instead we will get 8%. So, that is roughly the way to understand it, but there will be no deployment of capital on this. So, therefore, the ROA on the off-book component of the portfolio will be much higher.
Gao Zhixuan: So, 1% is your spread basically on the off.
Anil Kothuri: So, if we look at it as we earn 1% less, we will deploy only 20% of the capital that we would have otherwise deployed on the book.

Gao Zhixuan: And just my last question is on the overall ROA trajectories. We are looking at somewhere about 2.3-2.4 ki

nd of ROA. So, how should we think about ROA for this full year and also next year? Any guidance that we should look forward to, sir?
Anil Kothuri: You look at us, we've been consistently at 2.3-2.4 for about 3 quarters. Now henceforth we will have the benefit of the IPO money, which is about Rs. 6 billion. So, that should take our ROA up in the short term. That coupled with some expense absorption should mean that we should touch or cross the 2.5 mark comfortably.
Gao Zhixuan: 2.5, exiting this year?
Anil Kothuri: Yes, that's a reasonable estimate.
Moderator: Thank you. The next question is from the line of Prateek from Citi Group. Please go ahead.
Prateek: Congratulations on the listing. I have a slightly technical question. So, I'm looking at your FY23 annual report. And under the disclosure of your asset quality, there is a certain proportion of loans which are classified under Stage-2, around roughly Rs. 7 billion or Rs. 708 crores, but they're also classified as substandard. So, I have two questions. So, first, why are they classified as substandard despite being a Stage-2? And secondly, if you can help us understand what is the proportion of such loans as of September 23. Thanks.
Anil Kothuri: So, those loans are gold loans which are completely standard, but they have been re-pledged. So, there is a technical reason. The Reserve Bank regulations say that any loan that has got restructured needs to be classified as substandard. Now we took a view and there are many views possible that these loans which have not got repaid but instead the borrower has repledged the loan which means he sought to renew it, is called a restructured loan. So, that bit is about Rs. 708 crore out of a total gold loan portfolio at that point in time I think Rs. 2,800 crores or so. So, we've just disclosed that these loans are good performing and completely regular, but there is an argument to call them substandard, which is why we have made that disclosure.
Prateek: So, if I'm understanding it correct, so these are the loans where borrowers have actually defaulted on their payments, right? And there is some kind of restructuring which has been done for such loans, right?
Anil Kothuri: No, it's not restructuring. What happens is the gold loan borrowers are habitual borrowers, they're perennial borrowers. So, the way they tend to treat this borrowing is that they come, they close this loan, they open another loan, okay? And that's the nature of the business, for all gold loan borrowers of NBFC. Now these borrowers what they have done is that they haven't come and repaid their loan entirely, but they've sought to renew their loan. So, that's what this is. And as of September 30, it is Rs. 129 crore. So, which number was 700 and something is now about Rs. 129 crores. You'll see this Stage-2 of gold loans.
Prateek: And they are still classified as Stage-2 and substandard?

Anil Kothuri: Correct.
Moderator: Thank you. The next question is from the line of Bhavik Dave from Nippon Mutual Fund. Please go ahead.
Bhavik Dave: So, a couple of questions. One is on the previous participants mentioned, you answered only like 10% of our borrowings will be PSL compliant. Did I get that number right?
Anil Kothuri: It's a guesstimate, it's about 10% but the exact number I can get back to you, Bhavik.
Bhavik Dave: Yes, sure. But that number seems to be low considering we have a large part of our business in gold loans and small ticket home loans. Generally, most of them classify as PSL compliant. So, I'm just a little surprised with the 10% number. But we'll be happy to understand the exact number if at all later in the call if you can mention. The second question, sir, is on the operating cost and when we see our operating cost even this quarter, it's around 34% Y-o-Y. Just wanted to understand how we're thinking about operating leverage,

right? Because like you mentioned 25% to 30% kind of AUM growth, I'm assuming similar kind of an IA growth is what we pencil in. What will be the kind of operating cost growth that we'll be comfortable with and what is the kind of cost to income or cost to asset ratio, maybe one year out is what our aim would be?
Anil Kothuri: So, the first target is to ensure that we have our income growth ahead of our expense growth. So, that is the first milestone that we should cross in a quarter or 2. Now our expenses are largely discretionary in that we have people cost and premises cost, but everything else in terms of hiring new people or opening new branches or paying ad valorem for business that we originated discretionary and we will exercise that discretion. So, that is number one. The second thing is in

terms of cost to income from here on, it should moderate. Like I said, we have branches in different cohorts of vintage year one, year two, year three, greater than year three, and there's a cost to income for each cohort that we track. Obviously, our year one cohorts have the worst cost to income issue. So, that is what we will seek to moderate and improve our cost to income from here on. This year we should, we are at 60 for the quarter gone by, and I think this is as high as it can get, from here on it should keep getting better is my guidance. Regarding your first question, I have Ganesh – our CFO here, who will provide some color and clarification.

C V Ganesh: So, thanks for your question. I'll try to answer both, but first, see, so far, there was no visible cost advantage or prominent cost advantage for a PSL borrowing versus a non-PSL. So, we have been able to get equivalent rates on both. But we do see the opportunity given now the starker differentiation in risk weights to get a little more documentation because as you know, most of our lending, on-lending is MSME. So, with a little beefing up of documentation for the newer loans we take, we do see as the situation evolves, we see an opportunity to sort of evaluate a PSL kind of rate on this growth. I think the limited point Anil was trying to make so far, given that there was no rate differential or a major rate differential, we did not have that segregation. That being said, clearly right now with the rules being laid as they are, I think we are better placed than most other players to take advantage of the PSL rules and possibly mitigate some or most of the impact, which may occur on a sectoral level. Now the second question, I'll just maybe

give a minor clarification. See the OpEx increase you see has been to build muscle and not fat. We have stopped hiring. Or again, as I said, I think we are adequately staffed in all the mid and back office function. Most of the employee cost increases you would see would be towards increasing the tooth-to-tail ratio only. Now this quarter for example, we added 23 branches on the small ticket lab site to deepen our presence and penetration in geographies where we saw a larger opportunity from a risk reward ratio. Also, we have added 238 odd people on the ground, all front end sales and credit staff to avail of this opportunity. So, I think also as Anil mentioned, we are in the midst of a technology transformation exercise. So, all of these consciously we are aware that while we have been now put post listing into a quarter-by-quarter cycle, but there is an investment play which is also there. But that being said, I think much of the platform is built out. We see the drags on account of these coming down, material in a more pronounced way, and you will see the results of these in the forthcoming quarter.

Bhavik Dave: Perfect. That's helpful. And sir last question is on like what we are seeing in our books, like we have a reasonable amount of unsecured business that we've built over the last couple of years. Just wanted

to understand, and also the small ticket home loans and other products, just wanted to understand on the asset quality bit, are we seeing any signs of stress building up in terms of our unsecured business loans or anything that you are calling out, considering RBI has been talking about the consumption bit of unsecured? Any thoughts on how our book is spanning out? Any early warning indicators or anything that we're tightening just to be a little more conservative versus how the market is playing out? Just any thoughts on that?

Anil Kothuri: So, two questions you've asked, small mortgage and unsecured. Our small mortgage customers continue on an even keel. For them, the stressful event was COVID and they couldn't keep their businesses open and there was loss of demand, all that has bounced back. So, if anything, they're seeing better times than they did in the past few years. So, post-COVID, that has continued to get better quarter after quarter. The portfolio performance will continue to get better quarter after quarter. Now in terms of unsecured, the Reserve Bank's directions were regarding loans for consumption whereas the loans that we do are exclusively for working capital. Now this is colloquially called business installment loans or UBL, unsecured business loans in the market. And these have been in existence for about 25 years. So, it is a very established method of lending based on the borrower's documented income and followed by personal discussion and all that. So, we do this like any way else that is about 13% of our AUF and those loans again are performing better than they used to. There was a COVID related kind of shock, but after that they have been continuing to get better. We are not doing consumption. So, we are not.

Bhavik Dave: So, it's fair to assume that the bounce rates in this 30 DPD, 60 DPD are like broadly stable, right? Like what we are penciling in for. Is that a fair assumption?

Anil Kothuri: Yes, it is. In percentage terms, 30 plus is exactly what it was a year ago.

Moderator: Thank you. The next question is from the line of Sameer Bhise from JM Financial Limited. Please go ahead.

Sameer Bhise: Thanks for giving me the opportunity and congrats on a steady set of numbers. Just wanted to

get product-wise yields on an incremental basis versus what were they 6 months or a year back.
Product-wise lending rates or yields?
Anil Kothuri: On gold loans, we are onboarding at 16 versus 15.75 a year ago. So, that has improved. Large ticket loan against property, we are onboarding at 12.52 versus 11.42 a year ago. Small loan against property, we are onboarding at 17.5 versus 17.1 a year ago. Business lending, 17.5 versus 16.9 a year ago.
Sameer Bhise: And secondly, the bump up on the yield this quarter is mainly due to some of the gains on co-lending?
Anil Kothuri: That's right. We sold down some bit of our portfolio, so there's a gain on sale, which adds to the interest income line.
Moderator: Thank you. We have the next question from the line of Prateek from Citi Group. Please go ahead.
Prateek: This is just a follow-up from my previous question with regards to the gold loans, which were classified as Stage-2 and substandard. Could you just tell me, are there any provisions created up here, source?
Anil Kothuri: There are provisions created in line with any Stage-2 gold loan that there is.
Prateek: Okay, so no additional provisions being created apart from as per the regulations?
Anil Kothuri: That's right, a Stage-2 gold loan, whatever provision is required is created.
Prateek: Just a follow up from the previous question. So, with regards to the business loans, you said what is the new yield for new originations?
Anil Kothuri: Yes, 17.5 I think is what I said.
Prateek: Versus 16.9 previously.
Anil Kothuri: That's right.
Moderator: Thank you. The next question is from the lin

e of Akash Jain from Vijit Global Securities Private Limited. Please go ahead.
Akash Jain: Congratulations on a good set of numbers. My question is regarding the guidance for ROA. As you said that operating leverage will kick in and cost to income ratio is likely to increase further, so what kind of guidance would you like to give us?

Anil Kothuri: We discussed ROA in response to a previous question. I said that we are at a consistent 2.3, 2.4 over the past few quarters and with the addition of new capital and operating leverage kicking in, we should definitely cross the 2.5% mark and it should improve from here on.
Akash Jain: And sir my second question is considering the growth, then what kind of capital adequacy do you foresee say by FY25 and would you require additional capital?
Anil Kothuri: So, the landscape is changing quite rapidly. What we are doing is to try and make our capital last as long as possible. To this end, we are entering into co-lending arrangements and we also sell down bits of our portfolio every quarter. This is to ensure that our off-book portfolio comprises a reasonable part of our overall AUM so that the capital required is a smaller proportion of the AUM than otherwise. So, by doing all this, we hope to make the capital last as long as possible.
Akash Jain: And sir what is the expectation in terms of off-book AUM as a percentage of total AUM?
Anil Kothuri: For the quarter ended September, we were at about 14% in terms of off-book AUM and we have commenced co-lending only after the September quarter that coupled with our normal sell down program should take this number up rather than down is what I would guide.
Moderator: Thank you. The next question is from the line of Shreepal Doshi from Equirus Securities. Please go ahead.
Shreepal Doshi: I just have a couple of questions. So, firstly, since we've done a capital raise, would we still continue with our strategy to have a decent size of off-book in the overall scheme of things?
Anil Kothuri: Yes, we haven't raised an inordinately large amount of capital. When you look at the landscape, there are companies with a capital to AUM of 30%, 40%, 50% or even 60%. So, our tier one post the fund raise is about 21%, I think. So, our endeavor is to try and make this capital last as long as possible. So, you cannot start the off-book strategy and do it one shot when your capital is lower. So, we will attempt to do it consistently. That's how we will make the capital last as long as possible.
Shreepal Doshi: So, what percentage would we be trying to maintain as a strategy off-book loan book?
Anil Kothuri: So, we are at 14 right now and we will try and take it up from here on, okay, so maybe we will try and get to maybe 4% to 5% points higher than this.
Shreepal Doshi: So, one last question on the loan gold guidance. So, for FY24, FY25, what is the guidance that we are sort of having, or what is the target that we're keeping in mind?
Anil Kothuri: FY25. So, our endeavor will be to ensure an AUM growth of between 25% and 30%. 25% I'm comfortable guiding and like I said we have 4000 people coming to work every day and we have over 3 lakh customers who can be cross sold too, so there is a lot of work happening and we'll try and top that.

Moderator: Thank you. Ladies and gentlemen, we have no further questions at this time. I would now like to hand the conference over to Mr. Shreepal Doshi for closing comments. Over to you, sir.
Shreepal Doshi: Thank you, Dorwin, once again. Thank you all for participating in the call, and we would like to thank the management of Fedbank Financial Services for giving us the opportunity to host this call. Thank you, everybody, and have a good evening.
Anil Kothuri: Thanks everybody for joining the call.
Moderator: Thank you. On

behalf of Equirus Securities, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

Call: Jan 2024

Secretarial Department

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Ref. FEDFINA/ CS/ 36 / 2023 -24
To,
National Stock Exchange of India Ltd.,
Listing Department
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex,
Bandra (E), Mumbai – 400 051 To,
BSE Limited,
The Corporate Relationship Dept.
Rotunda Building,
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai- 400 001

Re: Scrip Code: 544027, Symbol: FEDFINA

Sub: Transcript of Earnings Conference Call held on Monday, January 15, 2024

Dear Sir/Madam,

Pursuant to Regulation 30(6) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended, please find enclosed the transcript of the earnings conference call which was held on January 15 , 2024 .

The transcript of the earnings conference call shall be uploaded on the website of the Company at https://www.fedfina.com/ under the section ‘ Investor Relations ’ in due course.
The above is submitted for your kind information and appropriate dissemination.

Thanking you,

Yours Faithfully
For Fedbank Financial Services Limited

Rajaraman Sundaresan
Company Secretary & Compliance Officer
Membership No.: F3514

“Fedbank Financial Services Limited
Q3 - 9M FY '2 4 Earnings Conference Call”
January 15, 202 4

MANAGEMENT : MR. ANIL KOTHURI – MANAGING DIRECTOR AND
CHIEF EXECUTIVE DIRECTOR – FEDBANK FINANCIAL
SERVICES LIMITED
MR. C. V. GANESH – CHIEF FINANCIAL OFFICER –
FEDBANK FINANCIAL SERVICES LIMITED
MR. AMIT SINGH –INVEST OR RELATIONS – FEDBANK

MODERATOR : MR. ANUJ MOHATA – EQUIRUS SECURITIES

Moderator: Ladies and gentlemen, good day and welcome to the Q3 / 9-month s FY24 Conference C all of Fedbank Financial Services hosted by Equir us Securities. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Anuj Mohata from Equir us Securities. Thank you and over to you, Mr. Anuj.

Anuj Mohata: Thank you, Z ico. Good afternoon everyone . I welcome you all to the Earnings Conference Call of Fed bank Financial Services to discuss the Q3 / 9-month s FY24 performance of the company.

We have the senior management team with us, represented by Mr. Anil Koth uri, MD and CEO, Mr. C. V. Ganesh, CFO, Mr. Amit Singh, Head , Investor Relations .

I would now like to hand over the call to Anil sir for his opening remarks, post which we can open the floor for question and answer. Over to you, sir.

Anil Kothuri: Thank you, Anuj, and welcome to everyone on this call. We finished our board meeting a couple of hours ago and have declared our Q3 results. This was a profit after tax of INR654 million or INR65.4 crore s for the quarter. That's a 28% growth on a year -on-year basis.

Our return on assets was 2.5% and our return on equity was 14.3%. That was for the quarter gone by. Now, this was on the back of an AUM growth of 34% year -on-year. Our AUM in the quarter was INR107.1 billion. This AUM was because we had disbursals of INR33 billion for the quarter, which includes INR11.2 billion for non-gold and the remainder, which is about almost INR22 billion for gold. So, our disbursements have grown 24% year -on-year and 14% quarter -on- quarter.

So, we've seen some disbursement growth in the quarter gone by. As far as asset quality is concerned, our level of absolute GNPAs have actually declined by INR8.18 crore s and by 15 basis points quarter -on-quarter. So, our GNPA or gross stage 3 stand at 2.2%. The other important fact on as set quality is that we've taken up our LGDs on mortgage loans to 23% from the earlier 20%. So, we've taken up our provision by about 3% on mortgage loans. As a consequence of this, our overall PCR is now 24. 5% and our net stage 3 is 1.7%.

During the quarte r, we commenced co -lending on gold loans and the co -lending AUM stands at INR1.8 billion. We started this in December and in one month, we've covered about INR1.8 billion. We've also sold down our portfolios through direct assignment transactions. So, INR457 crore s was the total quantum of portfolios sold, the investor share of the portfolios sold.

The other positive development that has happened albeit after December 31st was the fact that our credit rating has got upgraded. We are now rated AA plus stable by CARE ratings. Now, this is a two -notch upgrade over the past 14 months.

We used to be AA minus till December 22 and in December 22, we got upgraded to AA and January 24th, we got upgraded to AA plus. C RISIL has also rated us and we are rated AA positi ve. This happened in the first week of January.

So, the outlook for Q4 remains good and strong. Our disburs als have grown in Q3 and will continue to grow in Q4. And this is because we are now present in 17 states and union territories, 609 branches.

We added two branches in the quarter gone by. So, with that preamble, I'll open up for questions and Yes.

Moderator: Thank you very much. The first question is from the line of Sameer B hise from JM Financial. Please go ahead.

Sameer Bhise: Yes, hi. Thanks for the opportunity and congrats on a good quarter. Anil

, I just wanted to understand how do you see the ROA flow through for a co -lending model in gold? And also, what are the current rates of direct assignment that you guys are getting? These are my two questions. Thank you.

Anil Kothuri: The ROAs on gold will obviously be very high, Sameer. The reason for that is that it's two -fold.

The first is that our overall AUM goes up because we have access to a segment that we hitherto wouldn't cater to. Our yields on our gold loan are about 17.5% -17.75%. We've stayed anchored to that yield. Because we do co -lending, we are able to access customers at lower price points. Let's say we have somebody at 13.5%. The difference between 13.5% and 9.5% is 4%. 80% of the loa n goes to the partner's book. 20% stays on our book. It is 4% into 5, which is 20% that you get on your own capital in terms of the spread alone.
That's in comparison with the normal 10% or 9% spread that you get on a regular home loan. Obviously, it is RO A accretive, ROE accretive for the co -lending business. As far as our mortgage and unsecured DAs are concerned, the sell -down rate is approximately close to our cost of borrowing, which is why we pursued the sell -down strategy because it also releases capital, which we can re -deploy.
For unsecured loans, there's obviously a premium of 100 basis points over our current borrowing rates.
Sameer Bhise: Okay. How much of co -lending do we intend to scale this up to?
Anil Kothuri: We'll wait and watch the next quar ter, but our intent is to take it up to as much as is possible because it is hugely capital -efficient for us. We will just see how the subsequent quarter goes and we will scale it up quite significantly.
Sameer Bhise: Okay. Great. That's all from my side. I'll come back in the Q&A space for other questions. Thank you and all the best.
Anil Kothuri: Thanks so much.

Moderator: Thank you. Our next question is from the line of Vivek Ramakrishnan from DSP Mutual Fund. Please go ahead.
Vivek Ramakrishnan: Good ev ening and congratulations. My question is on the credit environment that you're seeing is it still robust, collection efficiency is holding up, and the provisions that you have made, you know, you've nudged up the loss -driven default. So, could you just ex plain the methodology around that? Those are my two questions. Thank you.
Anil Kothuri: Hi, Vivek. So, the first question first, the overall credit environment, I think, continues to be benign in that our collections are on track and we see our customers, you know, paying up. So, I have no additional point to make other than the fact that it continues to be robust.
Yes, the LGD, what happens is that we've had LGDs of about 20-ish percent thus far. So, what we've done this quarter is to take up the LGD on mo rtgage loans from 20% to 23 %. We used to have a management overlay of 1 %. Now, what we've done is to take the whole thing up to 23 %. This is an annual, you know, refresh exercise that we do and we've done that and we've taken up to 23 %, Yes.
Vivek Ramakrishnan: Thank you very much and wish you all the best.
Anil Kothuri: Yes, thanks.
Moderator: Thank you. Our next que stion is from the line of Madhuc handa Dey from MC Pro. Please go ahead.
Madhuchanda Dey: Hi, I have a question on your interest margin. Like, this quarter we saw a tad drop in interest margin, but as you mentioned that you have seen credit rating upgrades, it should have a positive impact on your borrowing cost. You are getting more aggressive through the co -lending in gold loan, which is also a high yielding segment. Given all these pieces and given that you have raised a lot of capital also, what is your take on interest margin going forward, maybe in FY25, if you could give us some color?
Anil Kothuri: There are three factors wh ich will come into play in terms of

our interest margins on the coming quarter or in the coming years. The first is the fact that our product mix will continually get enriched by higher yield products, okay, whether it is small mortgages or gold loans. So, that is point number one.
Point number two is that we will continue to do co -lending. So, therefore, there is lower capital and there is no interest cost to be paid on that. So, that is the second point. The third point is that we very recently got a rati ng upgrade. So, it will hopefully have a positive impact on our cost of borrowing. That is number three.
Against all of this, there is the fact that there has been an increase in risk weights over the past, what, month or so after the RBI circular. The eff ect of that is not yet played out. We also have money that we have raised in the IPO, okay, which, you know, we have seen the impact for only one month in the quarter gone by.

So, we will see the entire full three -month impact in the subsequent quarter. So , that will also take up our margin. So, these are the different factors at play because of which I expect that we will reasonably maintain the current margins if not improve on them.
Madhuchanda Dey: Okay, I mean, as you rightly mentioned, this increase i n risk weight is going to increase your cost of bank borrowing, right? What kind of conversations are you having? What kind of increase in rates do you expect because of this?
C V Ganesh: So, can I come in here, Anil? Sorry.
Anil Kothuri: Yes, please go ah ead, Ganesh.
C V Ganesh: Yes, Madhu. So, we have had conversations with banks and we have reason to believe that we will come out relatively with a lower increase in rates than we had originally guided. And we also believe that we will come out with a lower increase in rates than the peer group.
Madhuchanda Dey: I mean, why is that? Because of your credit rating.
C V Ganesh: So, there are various factors, right? Please also note that currently, we are sitting as of 31st of December, we are sitting on ca sh and cash equivalents of about a little over INR1,500 crores. Okay, we have the IPO money which has come in, plus we have our regular liquidity and investment.
Now, this amount would typically cover at least 5 to 6 months of disbursements in a normal year. So, we are sufficiently carrying liquidity. And I think it positions us well to have these conversations with the banks.
Also, the fact that our lending is non -consumer, it is to the MSMEs, that is also a strong point, which positions us well in thes e conversations. Yes, I am sorry, I cannot give you more guidance than this. But all of this will play out in Q4. And you will, I think when we come out with the full year results, you will get to see a little more data around this.
Madhuchanda Dey: Okay, I just one question, which is a little general question. Some of the other gold loan financing companies that we speak to, they have been saying that because of the increase in risk weightage on, you know, unsecured consumer loans, that could actually moti vate people to, you know, take gold loans, in case if they have surplus gold in their household. Do you see this factor playing out at all? Is there any kind of credibility to this kind of argument?
Anil Kothuri: Difficult to say, Madhuchanda. I'll tell yo u why. One hand, the kind of person who borrows against gold is completely different from the unsecured customer. So that is my intuitive understanding. The second thing is that once people begin to take on debt, they will need to, it becomes a lifestyle a nd they will need to substitute with other kinds of debt.
That is also a feature of the lending industry. So there could be some migration of unsecured to gold. But really, the kind of people who borrow small ticket unsecured is different from the kind of people who take gold loans. The customer

profile is different. So I think the impact may be there, but it'll be muted. That's my take.

Madhuchanda Dey: At least you guys have not seen it so far?
Anil Kothuri: Yes, we haven't seen anything so far.
Madhuchan da Dey: Okay. Thank you. Thanks for all answering all my questions.
Anil Kothuri: All the best.
Moderator: Thank you. Our next question is from the line of Nischint Chawathe from Kotak Institutional Equities. Please go ahead.
Nischint Chawathe: Just a smal l question. How do you think about leverage, optimal leverage for the business? And what is the conversation with rating agencies on this?
C V Ganesh: So can I take this question?
Anil Kothuri: Yes.
C V Ganesh: Thank you. Yes. So Nischint, we are all said and done the subsidiary of a bank, right? And that means that from a financial leverage, while it is a hypothetical construct for most NBFCs, for us, it is a demonstrable lever. And our banking covenants permit us to go up to 6.5x to 7x over equity.
So tha t's the extent to which we can currently lever based on our partnerships with lending institutions. However, I think in the course of the, you know, the last few quarters, we have also embarked on a journey of, as we have put in our deck, delivery on stron g margins, strong ROAs, and strong ROEs. So what the whole securitization and co -lending program is to, help us allocate the equity we have to the higher yielding loans.
And at the same time, collaborate with partners who have access to lower cost of funds than us, to ensure that we do not vacate the other segments and are also making margins there without allocating equity. What that does is it permits us to travel far with a lesser amount of equity. So essentially, I think what we have demonstrated is wit h two things, one with the fresh equity rates,

as well as this monetization program of loans, we have like a solar charged battery, we have a
borrowing substitute in the form of these two instruments, which should allow us to go much
further with much less er gearing than what we had originally estimated.
And that is precisely why, and one of the bigger reasons why, all the rating agencies have taken
a very positive or upgraded view on us, because they see us as being able to not only lower
gearing over an e xtended period of time, but they also, at the same time, see us being able to
generate stronger return metrics.
Nischint Chawathe: So I think that net, what we are saying is that maybe you can theoretically go up to 6x, 6.5x to
7x on balance sheet, and you can probably have another 20%, 25% outside of that. Is that a fair
reading?

C V Ganesh: That would be a fair statement, whether we choose to go there or not would be a choice on us.
But, I think we would have our own criterion from time to time. But yes, some of these levers
are available to us.
Nischint Chawathe: So and the second question is on your coverage on Stage 2 and 3 loans, we're seeing a gradual
inch up on a sequential basis. So is this sort of some revisit of estimated losses or is it to do wit h
just the changing product mix?
Anil Kothuri: So, Stage 2 and Stage 3 have to do with product mix, yes, Nischint. Because as for each product,
there is a certain model LGD that is required. So depending on the change in mix of by each
stage, the ECL provi sion is an output variable.
Nischint Chawathe: And how many years of data have you considered for calculating LGDs? And then how
frequently does this get revisited?
Anil Kothuri: So we refresh our LGDs every year. And we've been considering data since 2017. So how many
years is that? That's about six years of data at this point in time.
Nischint Chawathe: So you'll consider data since 2017. And it's not like rolling six years, but, you know, keep on
sort of,

you know, adding to the data. And you probabl y revisit it like, I mean, once a year, it's
like typically fourth quarter, is it or like first quarter.
Anil Kothuri: So that's right. So this time, we've done it at the end of the third quarter. So 2017 to 2023 is six
year data that we have. So on that b asis, we've worked our LGDs that you see on slide 37 of our
Investor PPT.
Nischint Chawathe: Okay. So you have revisited something between the second and the third quarter. That's what
my question was?
Anil Kothuri: That's right.
Nischint Chawathe: Okay. P erfect. Thank you very much and all the best.
C V Ganesh: Nischint, I'll just add one point, just to add a little more color to the optics around what you may
see as the coverage on Stage 2 and Stage 3. Currently, 86% of our loan book is secured. Right.
And secured either by gold or property. And if you see the LTVs we have published, the LTVs
on the properties in the range of 52% to 55%. And on the gold loans is 70%. So when you look
and form a view on the coverage, please also consider the security covers we run with.
Nischint Chawathe: Yes, of course. No doubt. Thank you.
Moderator: Thank you. Our next question is from the line of Renish Bhuva from ICICI Securities. Please go
ahead.
Renish Bhuva: Yes. Hi, sir. Just two questions from my side, one on the credit card side...
Moderator: Sorry to interrupt, sir. May we request you to use your answer, please? Your audio is not clear,
sir.

Renish Bhuva: Am I audible now?
Moderator: Yes, sir. Please go ahead.
Renish Bhuva: Okay. Yes, so just two questions from m y side. So one on the credit cost side. So if you look at
the sequential movement in the ECL provision, so the net increase is hardly INR10 crores,
INR11 crores, but our P&L provision is close to INR25 odd crores. So I'm assuming there will
be some write -offs. So can you please throw some light on this write -off numbers, please?
Anil Kothuri: So, Yes, we have done a INR17 crores write -off in the quarter gone by. Yes. Okay.
Renish Bhuva: Okay.
Anil Kothuri: Yes. So that includes mortgage loans, unsecured loa ns, as well as gold loans. So that's the
number that we've done.
Renish Bhuva: In Q3, you have done INR17 crores write -offs. Correct. What's the write -off in this quarter?

Anil Kothuri: Q3 is the quarter gone by. Yes.
Renish Bhuva: Okay. Okay. Cool. And so going ahead, I mean, let's say the annualized credit cost, which stood at 0.9% or let's say 90 basis point in Q3, including these write -offs. So what should be the steady state credit cost? I mean, or if you can throw some light on the, let's say, write -off pool, which we might have as on Q3.
Anil Kothuri: Our sense is that the standard credit cost should be about 80 basis points. So that's what we will guide. Q3, we take these write -offs on a chunky episodic kind of a basis. So we chose to do some of it in Q3. So which is why the number is INR17 crores.
Renish Bhuva: Got it. Okay. So should we assume this is a peak write -off, at least for this year?
C V Ganesh: So can I come in here, Rinesh?
Renish Bhuva: Yes. Yes.
C V Ganesh: The fact that we have increa sed our PCR on the mortgage book, which constitutes over 55% of our total book, means that we have done a PCR increase on the entire stock in Q3. So it's like a one-time raising on the entire book. So in that sense, it's like not a frequent exercise. So li ke, for example, the same PCR in Q4 would be only on the incremental. So I think with that perspective, it should come back to a more normalized number towards the range which I indicated.
Renish Bhuva: Got it, sir. And sir, my next question is on the, let 's say, the AUM mix side. So clearly, when we look at PPT, incrementally, we are growing high lending book, which is your gold loan, the small ticket LAP. So what should be the id

le mix, let's say by FY'25 in terms of small ticket LAP plus gold loan put toge ther? And if that has to play out over the next four to five quarters, so where do you see the asset on yield settling and ultimately the NIMs? Because naturally, if we continue to grow our high lending book, that will have a positive impact on NIM. So how do you see this NIM profile internally?

Anil Kothuri: Let's talk about the product mix first and the NIM separately.
Renish Bhuva: Yes.
Anil Kothuri: Now we have three of our products which yield 17% plus, which is gold loans, small mortgage and unsecured loans. Now the proportion of medium ticket mortgage is lower and it is going to keep coming down.
Now, overlay on this, the fact that we are going to do co -lending, so therefore, your yields will be a little higher because you recognize only the spread on the book. Therefore, there is an upward bias to the yields for these two factors.
So I'm happy and comfortable guiding that our NIMs will be definitely there at the current levels and how much they will improve by we will be able to cost once we do the an nual operating plan for the next year.
Renish Bhuva: Got it. But so directionally, I mean, considering the recent rating upgrade, plus, considering the business model, wherein we don't have any sizable exposure to any unsecured PL, wherein the risk rate wi ll come into picture when it comes to borrowing costs. So directionally NIM should improve, right? I mean, considering the yield mix change towards 17% yield book plus the rating upgrade?
Anil Kothuri: Yes, NIMs should definitely be at least at the current level, if not better. Yes.
Renish Bhuva: Okay. That's it from my side, sir. Thank you.
Anil Kothuri: Thanks, Re nish.
Moderator: Thank you. Next question is from the line of Bhavik Dave from Nippon India Mutual Funds. Please go ahead.
Bhavik Dave: Hi. Good evening, sir. There are a few questions. One is just to have a little bit of the main point…
Moderator: Sorry to interrupt, sir. May we request you to use your handset, sir. The audio is slightly muffled, sir.
Bhavik Dave: Is it better now?
Moderator: Yes, sir. Please go ahead.
Bhavik Dave: Yes. Okay. Sorry. So just a little, just to dig a little deeper into the main argument, just wanted to understand what's our incremental cost of borrowing? After like, suppose we've got a rating upgrade, the incremental cost of borrowing, has it come down meaningfully for us?
Anil Kothuri: No. So the rating upgrade is only 10 days old, Bhavik, and we haven't done any borrowing since then. So there is no obviously impact as yet that is crystallized. But, give it a little time and I'm sure it will have the appropriate impact on our cost of borrowing.

Bhavik Dave: Because when we look at the quarter -on-quarter cost of borrowing movement, it's like even if we've not borrowed quite a bit, the cost of funds increased from 8.5 t o 8.7. That's a 20 basis point up move. Considering we had like capital benefit this time around, just trying to understand, are we like borrowing at a significantly higher cost today and that will come down post this upgrade? Like what was like maybe the incremental cost of borrowing before this upgrade? If I like ask that of it now.
C V Ganesh: So can I come in here, Anil, can I? Yes. So Bhavik, again, we cannot give out numbers which are not already in the public domain. But I'll tell you the argument fo r NIM expansion. Okay. Just before the equity rate, we were running at a leverage of 5.5.
Bhavik Dave: Correct.
C V Ganesh: September reported number was 5.45. By November, it had crossed 5.55 level.
Bhavik Dave: Correct.
C V Ganesh: As a result of the equity rate, the December, mentioned gearing is 3.69.
Bhavik Dave: Sure.

C V Ganesh: Okay. That is a significant drop in gearing.
Bhavik Dave: Correct.
C V Ganesh: Now from a NIM expansion, if you have more equity.
Bhavik Dave: Correct.
C V Ganesh: That also results in an expansion of net interest income. So that's point number one. Okay. Now on the borrowing side, the banks or our lending partners have always seen us as different from the peer group with the same rating.
Bhavik Dave: Okay.
C V Ganesh: Isn't it? So, you know, the impact of this would be in two ways. One, a AA plus gives us access to maybe funds which earlier had a threshold which would not permit them to invest in. So it gives us access to deeper pools of liquidity than what w e earlier had. And per se on the market borrowing side, it opens up pools which were not earlier available to us or may have been available at a higher cost. Okay.
Now, when and how much this will play out is a little bit into the future. It will have to b e seen. As you know, right now, you know, RBI is tightening liquidity around bank lending to NBFCs. And in line with our earlier guidance, you know, I think when the times are tough for NBFCs, bank owned NBFCs like us come out with a better advantage than some of the other peers.

I think that's the limited point we are making. And that should also help both from an availability and a cost of funding. On a relative basis we believe we will continue to enjoy those advantages, which will be further boosted by the upgrade.
Bhavik Dave: Understood. And second, sir, again, a question regarding your incremental growth, right? Like when we see our disbursement this quarter, the growth is significantly coming from small ticket and medium ticket LAP, right? Just wante d to understand from you, one is how is the yield or the competitive density in these segments because a lot of affordable housing companies are also getting a little competitive when it comes to LAP in the small and medium ticket. That's question number o ne. So yields on this product, how are they shaping up?
Second is on the business loans. When I see your last four or five quarters, the numbers that you've reported, the number is like hovering around this 300 -- sorry, 330 crores , 340 crores , 350 crores , 360 crores range. Any thoughts on this? Why are we not increasing the density or what's happening on this part of the loan book? That's question two.
Anil Kothuri: Sure. So, look, competition always exists, okay, but it is quite low in the small mortgage segment, okay? That's because we are present in several states, you know, 17 states, and there is nobody else who's present in so many states. There are regional players and there are players who go deeper into the market as opposed to wider like us.
So, therefore, there is less competition in the kind of ticket size that we cater to. The competition tends to be a little more concentrated and slightly smaller ticket sizes, INR8 lakh, you know, INR7 lakh, that kind of stuff. Our average ticket size is INR12 lakh, INR13 lakh.
Okay. So, the second point is that it's a reasonably virgin market and it's getting created as we speak, and my estimate is about 3% of the overall loan against property AUM is in this segment. And even this 3% has got created over the p ast maybe four, five years. That's my assessment. So, that's as far as competition is concerned.
Now, in terms of unsecured, we keep our originations calibrated to our risk appetite, okay? We want to keep less than 15% of our book as unsecured. The curren t number is 13% and directionally take this down.
Bhavik Dave: Okay.
Anil Kothuri: And our strategy is to originate and sell the bulk of this down. You'll notice on one of our slides,

Slide 25, that our percentage of book for unsecured has actually increas ed. It used to be 27% and now it's now 32%. A year ago, it was 13%. So, we have

these relationships and these pipes
in place now. So, we will take up our unsecured originations to feed the appetite of our buyers in future.
Bhavik Dave: Understood. And, sir , one more question is regarding the conversation around increasing our PCR or the ECS on Stage 2 and Stage 3. When I see your business mix increase is broadly more towards the LAP, the small and medium ticket LAP over the last nine months.

So, in that con text, what led to this increase? Because even after the increase, we're still a little lower than a lot of these affordable housing companies who do both housing and LAP in that 8 lakh to 10 lakh ticket size. You think this 24% -25% ECS we have on Stage 3 i s good to go for now and we won't require any further change in this? Is that the way to think about it?
Anil Kothuri: So, what we have is the LGD on the entire stock and we do an annual refresh of the exercise of the entire stock. So, the most recent refr esh was done using data ended November 30th. Okay. On that basis, this is more than adequate. Okay.
Bhavik Dave: Sure.
Anil Kothuri: Now, obviously, we keep doing this every year and, you know, the number will either go up or down depending on how the por tfolio and our collections have performed and stuff. Okay. So, that's the point about this. We've guided that we'd like to keep taking this up and we will keep taking the provisioning up with the passage of time.
Bhavik Dave: Understood. And, sir, last que stion is on your operating expenses. And like when I see your other operating expenses, X of employees, that remains flat quarter -on-quarter and we've seen like a healthy disbursement growth this quarter.
Just wanted to understand what's playing out here a nd what -- is this 56% cost to income that we've achieved, which is a big deal in terms of the quarter -on-quarter decline. Do you think that this is sustainable? Anything on the other operating expenses that we've been able to deliver this quarter?
How are you thinking about it? Like is 56% cost to income a reasonable number to work with? Or do you think that maybe this was a one -off and it will like go back to that 58%, 60% odd level that we were at?
Anil Kothuri: So, I'll tell you the different moving par ts here. Okay.
Bhavik Dave: Yes.
Anil Kothuri: So, last quarter, we had the IPO money for what, 20 days, 25 days or something. Okay.
Bhavik Dave: Correct.
Anil Kothuri: This quarter, we will have the IPO money for the entire quarter. Okay. So, obviously the income will go up to that extent. Okay. So, that is one moving part. The second thing is that normally your cost gets reset in the first quarter of the year and the impact of that increase happens in the first and second quarters. Okay.
Bhavik Dave: Right.
Anil Kothuri: That is now behind us. Okay.
Bhavik Dave: Right.

Anil Kothuri: Q4 for everybody tends to be an extension of Q3 in terms of how the costs play out and stuff. Okay.
Bhavik Dave: Yes.
Anil Kothuri: For these reasons, I believe that the gain s that we made will probably consolidate on those in the subsequent quarters.
Bhavik Dave: Okay.
C V Ganesh: Sorry. I'll just add one point to what Anil said. That is that we normally front end the branch expansion.
Bhavik Dave: Correct.
C V Ganesh: So, th is year, in the first half of the year, we added 34 branches to our small ticket LAP and affordable home loan network. So, in the last three years, you would have seen that we have grown from about 59 branches to about 172 at current count.
Bhavik Dave: Correct.
C V Ganesh: That's a significant increase in firepower for this high yielding product. Now, obviously there are new hires who have come in. We have done some reengineering of the construct in terms of

the credit and underwr

iting teams and so on. Now , this engine will slowly start firing with higher
productivity. Right. And so that also will translate to an improvement in opex.
See, I think last time -- the last quarter when we guided, I think what we took pains to say is that
we don't see this as a s print, right? We see it as a marathon. We will not compromise on the
build expense. We are in it for the long haul.
Bhavik Dave: Correct.
C V Ganesh: Right. We have to go far and we will build it surely but slowly, but very clearly. I think there is
a commitment out there in terms of bringing down the cost to income in a gradual way. There
are also economies of scale playing in, right? All of this will help us in the journey to optimizing
opex to AUM and opex to AUF and consequently expansion of ROEs.
Bhavik Dave: Sure. But from a one -year or two -year perspective, this 5.5% that you have achieved this quarter,
you think this will eventually trend down maybe in FY '25 -'26. It will maybe improve by 10 -20
basis point every year. Is that a fair assumption?
C V Ganesh: See, we don't want to put numbers out there. All we are guiding is gradual improvement in
margin.
Bhavik Dave: Sure. Fair point. All right. Okay, sir. Thank you so much. Thank you.
Moderator: Thank you. Our next question is from the line of Shubhranshu Mishra from Phillip Capital.
Please go ahead.

Shubhranshu Mishra: Hi, sir. Good evening. Thank you for the opportunity. Three or four questions. The first one is
given the fact that we are focusing more on mortgages and we also have a substanti al part of the
gold loans. The 23% LGD is largely coming out of the mortgages because the LGD for gold
loan would be lower. That's the first question. Second is…
Moderator: Sorry to interrupt, sir. May we request you to use your handset, sir? Your audio is not clear, sir.
Shubhranshu Mishra: Okay. One second. Hello. Is this clear?
Moderator: Yes, sir. Please go ahead.
Shubhranshu Mishra: Right. So, the first question is around the LGD. If you can spell out the LGD for each product
because I think the 19%, 2 3% increase of the LGD my suspicion is that it's starting mostly
because of mortgages.
The gold loans won't have such high LGDs. So, if we can spell out the LGDs also because we
are taking six years of data for the LGD. So, when we roll it over the next fe w years, the COVID
impact would also come off. So, should we see LGDs coming off in the next couple of years and
we should see improvement in ECL coverage going forward?
And the third would be around opex. What sort of employee addition and branch additio n are
we going to look at in FY '25? We have had a sharp increase in the last three, four years. And if
we can speak on the risk management in the unsecured as well as a small ticket LAP. Thanks.
Anil Kothuri: Thanks very much. I'll take your questions one after the other. The first up, you had a question
on increase in branches. So, this year what we've done is to take up our small mortgage branches,
whereas we focused on taking up the AUM in the existing gold loan branches. So, that's why
our small mortga ge branches have increased from 130 to 180 approximately. So, about 50 -ish
branches we've opened this year.
Now, every year when we make the annual operating plan, we firm up the expansion, whether
it's for gold or mortgage, and that process is underway. S o, specifically where we will add
branches in the coming year, I will be able to talk about in the subsequent call. So, at this point
in time, we are rationing out branches across these businesses, and we will firm that up by the
end of the month.
The seco nd thing is for gold, the LGD is 0.75%. So, that is what the model says. And obviously,
there is nearly no loss to be had on the gold NPAs. That is transient, that gets created at 90 DPD
and gets extinguished by 150 DPD. So, we

carry about 60 days of NPA o n gold.
Now, in future, what will happen to the LGDs, well, it obviously depends on the collection
performance in the current year, okay, and really what the translation of one bucket to the next
is and how much we are able to collect and arrest. And most importantly, how much we are able
to crystallize in terms of loss at the time of enforcement of collateral.

But it's reasonably fair to say that there is a certain industry standard for mortgages, and we are

kind of there. Now, how much we will seek to pr ovide against that is a matter of choice. The industry is at about 25% -ish, and we are at about 23%. So, there's not too much of a gap.
Finally, in terms of risk management, I'll just encapsulate this in a nutshell. We choose our markets with some care an d caution. We make use of data from the Bureau, as well as intelligence from the market and open up branches. We seek to populate our branches with people who have relevant experience in the same geography so that nuances of either property or business in a specific location are understood, and individual learning translates into organization learning.
We have a standard personal discussion template, okay, based on which there is -- there are decisions made. Essentially, what we do is to try and ascertain t he individual's income for mortgage loans as accurately as we can. We seek to triangulate it using various data points, which is to say that if he has a certain surplus every month, we try and see what he's done with that surplus -- the past year or the ye ar after and use that to validate our assessment. We have a salesperson, a credit person, and a collections person in each branch so that we are able to optimize our performance on all three vectors.
As far as unsecured lending is concerned, we lend only t o customers who have declared income on their documents, okay. Typically, these customers are P&L, balance sheet, tax returns, audited financials, and about 30% of our customers are objective rejects, and the remainder are subjective rejects, and that's th e way this works. So some data regarding the quality of the book is provided on slide 34 with regard to the kind of score bands of customers that we lend to. Yes, so this is a bird's -eye view of our risk management.
Shubhranshu Mishra: If you could just sp ell out one question that's unanswered, what's the LGD product -wise?
Anil Kothuri: Product -wise, LGD, mortgage is 23, gold is 0.75, and unsecured, we write off at 90 DPD, Yes.
Shubhranshu Mishra: Understood, sir. Thank you so much. I'll come back and decla re.
Anil Kothuri: Yes, you're welcome.
Moderator: Thank you. A reminder to all participants, you may press star and one to ask a question.
C V Ganesh: Ladies and gentlemen, to ask a question, you may press star and one.
Moderator: Thank you. We have a ques tion from the line of Sagar Doshi from Fintuit Investments. Please go ahead.
Sagar Doshi: Yes, so basically, just wanted to know, like, we are on a small page as of now, and looking at the leverage that we can pull off. What is the growth rate that could be expected, let's say, a year or a further two years period from now on?
Anil Kothuri: So you look at our past, we had a INR1000 crores of retail AUM in FY' 18, and as of right now, we are at just shy of INR11,000 crores. Okay, the opportunity is vast. We have all the resources,

branches, employees, as well as capital and the ability to raise debt. So from here on, I'm happy guiding a compounded growth rate of 25%, and we will try and top that.
Sagar Doshi: Okay, and any other new products that we may go in, apart from what we are doing?
Anil Kothuri: No, for the foreseeable future, we will optimize our performance in the products that we offer rig

ht now, and we will refine our current operating model for superior results.
Sagar Doshi: Okay, thank you.
Moderator: Thank you. Our next question is from the line of Shubhranshu Mishra from Phillip Capital. Please go ahead.
Shubhranshu Mishra: Hi, sir. Thank you for ta king my question again. Which part of the book are we going to do the Co-Lending in? And second question is, how do we differentiate our gold loan portfolio from our parents' gold loan portfolio? Thanks.
Anil Kothuri: Currently, we have Co -Lending arrangem ents for gold loans. Okay, and that has got tested through the month of December, and we're going to scale that up in the coming quarter, okay.
As far as our parent Federal Bank is concerned, they lend to a different segment of customers, their average tic ket size is between three and four times our average ticket size, and their average yields on the portfolio are also significantly lower than ours.
Look at the previous quarter's investor deck, you'll see that their yields are, I think, about 10.15% or so, okay, our yields on the gold loan portfolio are upwards of 17.5%. So, we cater to a completely different customer base in different geographies. So, it's different.
Shubhranshu Mishra: Understood. Thank you so much, sir.
Anil Kothuri: You're welcome.
Mode rator: Thank you. Ladies and gentlemen, that was the last question of our question and answer session. As there are no further questions, I would like to hand the conference over to Mr. Anuj Mohata for closing comments.
Anuj Mohata: Yes, thank you, Zico. O nce again, thank you all for participating in the call, and we would like to thank the management of Fedbank Financial Services for giving us the opportunity to host

this call. Thank you, everybody, and have a good evening.
Anil Kothuri: Thanks, guys. Have a good results season. Thank you, again.
Moderator: Thank you. On behalf of Equirus Securities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2024

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May 02, 2024
Ref. FEDFINA/ CS/ 1 03/ 2024- 25
To,
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Bandra (E), Mumbai – 400 051 To,
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Dalal Street, Mumbai- 400 001
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ub: Transcript of Earnings Conference Call held on Monday, April 29 , 2024
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ear Sir/Madam,
P
ursuant to Regulation 30(6) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended, please find enclosed the transcript of the earnings conference call which was held on April 29, 2024 .
T
he transcript of the earnings conference call shall be uploaded on the website of the Company at https://www.fedfina.com/ under the section ‘ Investor Relations ’ in due course.
T
he above is submitted for your kind information and appropriate dissemination.
Thanking you,
Y
ours Faithfully
For Fedbank Financial Services Limited
R
ajaraman Sundaresan
Company Secretary & Compliance Officer
Membership No.: F3514

“Fedbank Financial Services Limited Q4 FY 2024
Earnings Conference Call”

April 29, 2024

MANAGEMENT : MR. ANIL KOTHURI – MANAGING DIRECTOR & CHIEF EXECUTIVE OFFICER, FEDBANK FINANCIAL SERVICES

LIMITED
MR. C.V. GANESH – CHIEF FINANCIAL OFFICER,
FEDBANK FINANCIAL SERVICES LIMITED
MR. AMIT SINGH – HEAD (INVESTOR RELATIONS),
FEDBANK FINANCIAL SERVICES LIMITED
MODERATOR : MR. SHREEPAL DOSHI – EQUIRUS SECURITIES

Moderator: Ladies and gentlemen, good day, and welcome to Fedbank Financial Services Limited Q4 FY'24 Earnings Conference Call, hosted by Equirus Securities.
As a reminder, all participant lines will be in the listen-only mode. And there will be an opportunity for you to ask questions after the presentation concludes.
Should you need assistance during the conference call, please signal the operator by pressing the "*" then "0" on your touchtone phone. Please note that the conference is being recorded.
I now hand the conference over to Mr. Shreepal Doshi from Equirus Securities. Thank you, and over to you, sir.
Shreepal Doshi: Thank you, Steve. Good afternoon, everyone. I welcome you all to the 4Q FY'24 Earnings Conference Call of Fedbank Financial Services.
Today we have the management team of Fedbank Financial Services represented by Mr. Anil Kothuri – MD and CEO; Mr. C.V. Ganesh – CFO; and Mr. Amit Singh – the Investor Relations Team Head.
With this brief introduction, I will now hand over the call to Mr. Anil Kothuri and the management team for their opening remarks, post which we can open the floor for question-and-answer. Over to you, sir.
Anil Kothuri: Thanks, Shreepal. Good evening, everybody, and welcome. I hope you have had the opportunity to look at our Results and our Investor Deck, which were uploaded about an hour and half ago on our website as well as on the stock exchanges.
This is a busy time of the year and we have completed an active quarter in what has been a busy year. And I will just take you through the highlights of the quarter:
We saw a strong AUM growth in the quarter, 14% increase over the quarter gone by. Our AUM closed at Rs. 12,191 crores. This is up from Rs. 10,748 crores at the end of Q3.
Now, this happened on the back of disbursals of Rs. 4,337 crores. If these disbursals are split as gold loan disbursals of Rs. 2,849 crores and installment loan disbursals of Rs. 1,488 crores. So, this takes disbursals for the year to Rs. 13,579 crores, of which Rs. 4,202 crores are installment loan disbursals. So, this is the growth that we saw in Q4.
I must particularly call out what happened to our gold loan business. The AUM there registered a 17% quarter-on-quarter increase. So, we closed our gold AUM at Rs. 3,969 crores, so that's 17% quarter-on-quarter and 33% year-on-year. The tonnage of our gold or the weight of gold that we have in our vaults is about 9.5 tons at this point in time.
Now, on the back of all this, we recorded a net profit for the year of Rs. 244.7 crores. And for Q4 it is Rs. 67.7 crores. So, our profit for the year is up 36% over the previous financial year, and our profit for the quarter is up 73% year-on-year and 3% quarter-on-quarter.

Our asset quality also improved during the quarter. We ended Q3 at about 2.2% GNPA and Q4 we closed at 1.66% GNPA. So, that's a reduction of 53 basis points over the quarter, or in absolute terms we reduced by about Rs. 29.3 crores. Now, this reduction of Rs. 29.3 crores was largely owing to the fact that we sold a large NPA account to an ARC that was worth Rs. 23.9 crores. So, Rs. 6 crores is the reduction that we have seen over and above the ARC sale that we have done. The sale that we have done has been at whatever price that we have been carrying the asset at on our books, so there has been no gain or loss owing to that sale, it just deflated our GNPA and released our capital.
Now the progress on our off-book strategy has continued, and our off-book AUM went up from 17.4% the previous quarter to 18.7%. Now, the kind of off-book that we did change in the quarter, this quarter's off-book was largely gold loan co-lending, and that went up from Rs. 176 crores at the end of Q3 to Rs. 522 crores at the end of Q4, so that's about Rs. 350-ish crores that we have added to our co-lending book in the quarter.
We expanded our distribution further by adding 12 branches in the quarter, taking our total branch count to 621. And while I did mention in the last call, since it's a Q4 event I will mention it again, we have received a rating upgrade. We are rated AA+ by CARE and India Ratings, and

CRISIL has assigned us a long-term credit rating of AA with a positive outlook.
Finally, the ROA for FY'24 is 2.4%, ROE is 13.5%. The corresponding numbers for Q4 are 2.5% and 12.2%, respectively.
So, with that brief preamble I will open up for questions now, and we can discuss any aspect of the business you'd like me to address now.
Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Sneha Ganatra from SNUD Life. Please go ahead.
Sneha Ganatra: I just wanted to know, first question is, how do you see the growth going ahead? And any internal target of the mix which we are focusing? And regarding the gold loan also, considering the continuous uptick on the prices, how is the momentum or the growth path we are seeing going ahead for the next fiscal year?
The second question is, what is the branch expansion strategy? And any internal target of the cost-to-income ratio which we are targeting? And any operating leverage benefit which we expect could be occurring in the upcoming years also? And I would like to know what your guidance on the impairment cost is going ahead?
Anil Kothuri: That's five different questions, and I will attempt to answer them in order. The impairment cost, we believe, on a sustainable basis will be something like 80 basis points. So, that's what we are comfortable guiding ahead. That is question one.
Question two is that we believe that from where we are, we should be able to comfortably grow at a rate of 25% plus. And we will take advantage of any tailwinds that the environment affords us from time to time. Like in the previous quarter we saw that the gold loan business had some

advantages going for it, including an increase in gold loan prices. So, that is something that we are comfortable guiding.
Now, with regard to the mix, we are a lender to small businessmen, and we are seeing a far greater traction in our small mortgage business. That's also has the highest behavioral tenor of all our products, so which is why, with the passage of time, it will continue to dominate our balance sheet.
Now the other two installment loan products that we have, which is medium-ticket mortgage and unsecured, we have less than 250 people deployed to both these businesses put together. So, whatever we originate there, we will warehouse on our balance sheet for six months, which is the minimum period, and one or two months after that we will sell down. So, that is the strategy pertaining to the other two businesses.
You would have seen evidence of this in our Investor Deck, Slides #24 and #25. As a percentage of on-books, the small mortgage business is up from 24% to 29% in the current year, and that trajectory should continue in the foreseeable future. That's as far as the product mix is concerned.
So, I hope I've answered all your questions, Sneha.
Moderator: So, the current participant line has been disconnected. We will move on to the next question.
The next question is from the line of Renish from ICICI. Please go ahead.
Renish Bhuva: Congrats on a good set of numbers. Just two questions from my side, one on the disbursement yield side. We have seen across the market; disbursement yield fell by almost 40 basis points to 50 basis points on a sequential basis. So, what is going on? I mean, since we are growing our AUM at 14-odd-percent, is this because of that? Or there is, let's say, increased competition is leading to the moderation in disbursement yield?
Anil Kothuri: So, the yields on a per

product basis continue to hold, Renish, okay, whether it is gold loans or small mortgage or medium ticket mortgage or unsecured, the yields on a per product basis continue to hold. Any changes that we see are owing to the changes in the mix that we would have seen in the quarter. That's basically it.
The second factor affecting yields, as calculated, would be the fact that we have embarked on co-lending for our gold loan business. So, that is where we recognize interest income as the spread, as opposed to the entire yield that we charge the customer. Or to give you an example, if the customer rate is 15% on the co-lend portion of the portfolio, we only recognize 15% minus, say, 9%, 6%. So, that is the only difference. But otherwise, I can confirm that on a per product basis the yields have held across the spectrum.
Renish Bhuva: And second question, again, on the loss on the direct assignment portfolio. Now does it mean that the asset quality for the already assigned portfolio has deteriorated, and hence we have to compensate for that. Or how one should read the loss on the net gain on assigned portfolio versus Rs. 160 odd crores of net revenue last quarter?

Anil Kothuri: It's Rs. 16 crores, actually, last quarter. This is a net gain. The way this works, and I'm sure you know this is that, on what you fell down in the current quarter, there's an upfront gain that you book. And if it is down in previous quarters, there's a negative to the portfolio, owning to the unwinding of the gain that you booked. Okay?
Now in quarters two and three, we had sold down a lot of our portfolio, especially because we were getting into an IPO, and the date of the IPO was far from certain. In the month of September '23, our debt/equity had actually touched 5.8%. Okay? So, we sold down quite aggressively in Q2 and Q3.
In Q4, our appetite for off-book was met through the co-lending route, okay, so which is we only sold Rs. 284 crores. Okay? So, as a consequence of that, the unwinding and the upfronting kind of cancelled each other out. We had a negative of about Rs. 15 lakh or so in that quarter. So, had we stuck to the same trajectory of sell-down as Q3, we would have made, let's say, Rs. 16 crores more in this quarter. But from a commercial standpoint it did not make sense doing it, especially because we were flushed with funds post-IPO and our co-lending arrangements had fructified.
Renish Bhuva: And just a last question from my side on the cost of borrowing front. So, if you can throw some light on, let's say, the blended cost of borrowing for this quarter and the incremental cost of borrowing in current quarter?
Anil Kothuri: Sure. I will let Ganesh answer that, our CFO, he will answer that one.
C. V. Ganesh: Yes. Hi, Renish. Thank you for the question. So, see, on an overall basis, as you would know, in quarter three RBI had increased risk weights on bank lending to NBFCs. As a result of that, there has been a small increase in our cost of about 10 bps, 12 bps in terms of the blended cost of funds. But that being said, post our credit rating upgrade, we have been able to tie up incremental commitments at rates reasonably lower than the blended cost of funds, which gives us confidence that slowly but surely the cost of funds, we have seen the peak, and they should start coming down from here.
Renish Bhuva: Would you like to give the numbers?
C. V. Ganesh: It's not in the deck. I would be a little hesitant to do that, Renish.
Moderator: Thank you. The next question is from the line of Mr. Shreepal Doshi from Equirus Securities. Please go ahead.
Shreepal Doshi: Sir, my question was pertaining to margins. So, as you highlighted to the earlier participant that yields are broadly sticking where they were, and COF is likely to have peaked out. So, is it fair to assume that we will be able to hold NIMs at current levels?

And if not, then what is the guidance that we have for FY'25 and FY'26?
Anil Kothuri: So, from where it looks right now, our customer yields should stay at the current levels. Okay? The wisdom that we have received on the trajectory of interest rates is that the rate cuts will be more back-ended than front-ended during the course of the year, which is why we believe that

our cost of borrowing will also stay sticky during the course of the year, which is why we believe that our spread will stay constant. The only thing that will increase the spread is that if we do more co-lending for gold, which is what we are in a quest for, our spreads might increase from here on. That really is the way this will work in the course of the current year. Of course, if interest rates correct sooner than we expect, then that's a benefit that we all have.
The second factor I would like to overlay is that we have a large gold loan book, and our AUM is positive based right from the first bucket itself. So, we have the inflows to borrow short-term. As of the end of March, we have zero commercial paper, zero short-term borrowing. So, I believe that before the long-term interest rates correct, there will be liquidity, and the short-term interest rates will ease. That will give us a chance to borrow at the shorter end, so then that could depress our cost of borrowings, resulting in higher spreads. So, that's how I think it will pan out.
C. V. Ganesh: In terms of new business originated, we have had a phenomenal Q4. In fact, we disbursed approximately Rs. 1,000 crores more than our best quarter till date. The only challenge was that much of that business was back-ended towards the end of the quarter, which is why when you arrive at a mathematical yield, there is an optical illusion there, which suggests a meaning which is not actually there. When you see the income coming out of that in Q1 of this year, it may lead to a positive surprise.
Also on the gold loan business, there are these twin tailwinds of the gold price rise as well as one of the peers possibly going slower, which also explains why we have had a phenomenal quarter for gold loans. I think the team is geared up to be much more aggressive in that product. So, all of this gives us a lot of confidence entering the new fiscal year.
Moderator: Thank you. The next question is from the line of Sameer Bhise from JM Financial. Please go ahead.
Sameer Bhise: I just wanted to understand or hear your thoughts, especially in context of the greater regulatory scrutiny with respect to the gold business, how are you positioned and your thoughts on the same

with respect to how tightening or how tighter have your processes been. Some details there would be helpful.

Anil Kothuri: So, Fedfina has been doing the gold loan business since 2011, okay? And we have been audited every year since then. It's also pertinent to note that we are audited by RBI Trivandrum as opposed to RBI Bombay, and the large gold loan companies are all audited by RBI Trivandrum, okay? So, in audits year-after-year our practices have got scrutinized, we have got feedback, and things have moved on.

And obviously, recently there has been a lot of regulatory action, and there has been information coming in about what the regulator has said and what practices exist and stuff. So, internally we have also gone and checked as to where we stand to all this. All these issues have got discussed, and from our standpoint, got addressed several years ago, mostly pre-COVID and stuff. So, all of what the regulator has said and which has been in the public domain in the months of Feb and March is really quite old hat for us, okay? And we are reasonably robust from that standpoint.

So, our understanding of the regulations, our adherence to those regulations, as well as our execution of the gold loan business where absolutely everything gets run out of the system right from KYC to training people to auditing to managing the auctions, doing the auctions at taluka level, district level, the periodicity of those auctions, the fact that we auction on a per-customer basis, all of that is done and dusted for us. And I'm happy to confirm that, yes.

Sameer Bhise: Great. This is comforting. Also, just wanted to understand in terms of seasonality, how would the business look, say, given that we had a very strong Q4 in terms of growth, do you expect exceeding those in the near term in terms of disbursements? Or do you think that there could be a meaningful dip in the near term given the way the business is shaped?

Anil Kothuri: Our gold loan business has a few different variables which drive growth, one of which is the price of gold. And we saw the price of gold increase in the previous quarter. We believe that impact will last till the mid of May, given that we take the 30-day average of price of gold, that's regulatory how your lending rate is calculated. So, the previous growth will trickle in to the middle of May or so. So, we are in a good place there.

The second thing, obviously, is the progress of opening branches. And we did not open branches last year. And we intend opening up a few branches this year. So, this is the second thing that will take up our AUM. The third is obviously productivity. Now, last year our AUM per branch started at Rs. 6.3 crores per branch and we closed at Rs. 8.7 crores. So, we have had a ramp-up in productivity. We've also had a ramp-up in the amount of new gold that's coming to our vaults over the previous years. So, all of these factors contribute to the increase in gold AUM.

I believe that for the current quarter there seems to be an upward bias in the price of gold, so that should contribute. And that should counter away the fact that seasonally Q1 is a weak quarter. The second factor is that one large player is still not disbursing loans. So, whether it's Fedfina or anybody else doing gold, they will see some overflow of demand coming there. So, Q1 will be a good quarter for gold based on all of this. But I don't think it will be comparable to Q4. In Q4, we saw an AUM increase of Rs. 556 crores, I think, for gold. We won't see that kind of increase this quarter. But it will be a reasonably good quarter is my estimation.

Moderator: Thank you. The next question is from Nirmal Bari from Nuvama Asset Management. Please go ahead.

Nirmal Bari: My first question is, if you can give the slippage and write-off numbers for the current quarter and the full year.

Anil Kothuri: We're just getting that. And while we get that, do you have a second question?

Nirmal Bari: Yes. Actually, I would like to understand a bit more on the net gains on direct assignments side. I understand that an earlier participant had asked the same question and you had said that unwinding of discount led to this. But an unwinding of discount should lead to a positive number being added, right, because we are discounting like till Q3 in this case, and then that unwinding should add a positive number. Shouldn't that be the case?

Anil Kothuri: I will just explain giving you a numerical example, okay? Let's say in a certain quarter, Q1, you sell Rs. 100 crores and you book a Rs. 10 crores gain on sale, okay? That is essentially the discounted cash flow of the future receivables, assuming a certain prepayment rate and all of that. You discounted a certain rate. That is your gain on sale. At the end of Q1, you say that this is what it is, and that's the gain you book.

At the end of Q2 what will happen is there will be some repayments, prepayments and stuff. Let's say your Rs. 100 crores portfolio comes down to Rs. 95 crores, okay? Then at the end of

Q2 you again estimate wha

t the present value of your discounted future cash flows is. That
number will obviously be less than what you estimated at Q1, okay, because your portfolio is lower. Now that difference you charge off to P&L, and that is the unwinding that I was alluding to. So, while you have a gain on sale in the quarter that you book the transaction, in every subsequent quarter you have an unwinding of that gain on sale, so that when the transaction gets nullified you're done and dusted. So, that's basically how it works.

What happened in Q4 was that we did a lot of direct assignment transactions in Q2 and Q3 because, like I said, we did not have visibility to the IPO, and we wanted to secure our debt/equity ratio. And that unwinding is what hit us in Q4. And the gain on sale just about compensated for the unwinding that hit us, okay, which is why it was a negative Rs. 15 lakh as opposed to a positive Rs. 16 crores in the previous quarter.

Nirmal Bari: And what was the total quantum of direct assignment done in this quarter?

Anil Kothuri: There are Rs. 284 crores.

Nirmal Bari: And my final question is, again, a data-keeping question. On the credit cost, if you can give us a split of current quarters and full-year credit cost between standard asset provisioning, NPA-related provisioning and the write-offs.

Anil Kothuri: Sure. First, I will give it to you for the entire year then. For the entire year we have had an ECL impact of Rs. 6.5 crores, okay, write-offs of Rs. 73.6 crores, and a recovery of bad debts of Rs. 14.2 crores. So, the net of all these numbers is Rs. 65.9 crores, which is the total credit cost that we had over the course of the year. The corresponding numbers for Q4 are write-offs of Rs. 28.86 crores, recoveries of Rs. 3.3 crores, and an ECL of Rs. 7.83 crores, giving us a net of Rs. 17.73 crores.

Nirmal Bari: And this Rs. 28.86 crores would include the large account that we sold to ARC?

Anil Kothuri: That's right. It would include the large account that we sold to ARC, yes.

Nirmal Bari: And the first question on slippage, if you can give that number, I think.

Anil Kothuri: We will just get back here. We will go through the question, and we will just get back.

Moderator: Thank you. The next question is from the line of Pranav Gupta from Aionios Alpha Investment Advisor. Please go ahead.

Pranav Gupta: Congratulations on a good set of numbers. A couple of questions on the cost side. So, we have seen overall OPEX remain steady for this quarter. I mean, flattish if you compare it on a Q-o-Q basis. Could you talk about two things? One, where we are in the journey of transitioning of the Salesforce? And secondly, is this an indication of some of the operating leverage coming in, or is it just a function of the back-ended growth? That's the first question.

Anil Kothuri: So, I will talk about Salesforce. Salesforce has gone live, and we did a pilot in 10 branches, to start with. We will take -- 20 branches, sorry, to start with. And we are observing how it works, and then we will expand it to the rest of the business. Okay? So, that's where we are on our Salesforce journey. And that has happened in the month of April. Okay? So, that's as far as Salesforce is concerned.

Now, otherwise, on our expense journey, we believe that our expenses will not increase significantly here on in proportion. Our expenses are directly linked, 90% of our expenses are anyway directly linked to originations and underwriting. And the platform costs are much, much smaller. So, whatever expenses we incur has to do with the origination. So, the trajectory of these will ebb and flow with how much we originate.

Now, for the year gone by, we were at a cost-to-income of about 58-ish-percent or a cost-to-AUM of 5.2%, okay? Now, that is down from, I think, 5.6% a year ago. So, we want to keep making progress on a cost as a proport

ion of AUM, and improve that by maybe 30, 40 basis
points during the course of the year. That is where we are.

C. V. Ganesh: So, I will just add maybe a couple of numbers from a quarterly improvement in OPEX here on. See, as of quarter three, okay, our OPEX has a percentage of average loan book has gone down in Q4 by 30 bps, Q4 over Q3. So, OPEX as a percentage of average AUF has improved 30 bps, okay, Q4 over Q3. Now as Anil articulated, given that we have a program of selling of some part of what we originate, this improvement would be a little more material when you look at the OPEX-to-AUM. So, there again, our OPEX to average AUM has shown an improvement of 40 bps quarter-on-quarter, Q4 over Q3, right? Now that being said, typically in Q1 you have employee-related costs, which is a step-up in salaries and all that which come in. But the way these metrics are moving, this gives confidence that we are on the right path and the trajectory is downwards.

Pranav Gupta: Just wanted to understand two things, mainly on the other expenses bit. That's sort of remained flattish for the last three quarters or so, if I look at it on an absolute basis. Is this an indication that from here on we might see that that group might not sort of match up to the AUM bit? That's the first bit.

Second is, obviously, we understand that given the fact that we are transitioning from having a slightly lower share of AUM off-book to a higher share, cost-to-AUM will move down faster. But if you look at cost-to-assets as well, that's even an improvement. Should one expect that improvement to continue through FY'25 as well? That is what I was trying to figure out.

Anil Kothuri: I did not get your first question, Pranav. The second bit I did, but I did not get your first question. Please repeat it.

Pranav Gupta: So, if you look at other expenses of the line item, the lines have sort of remained flattish over the last three quarters. From here on, should we expect that probably other expenses growth is in line with either expansion of branches or much lower than AUM growth? Or is this just something that has stayed here for a bit and then will start in line with AUM again?

Anil Kothuri: There are two large components of the other expense lines. One is what we invest on technology, and the second is the leases that we pay for our branches. Now, this year we have opened 50 small mortgage branches, so the expenses have gone up in line with that. And we have also done development of our new LOS, which is Salesforce-based. So, those are the two items of expense that we have incurred. So, next year we will open branches so, obviously, the lease expenses for those will happen. But otherwise, I think they will stay reasonably range-bound. There is no other head of expense that will increase. So, our other expenses are linked to, you can say, branch expansion. And that's the only thing that will impact this over the coming year.

Your second question was about cost as a percentage of assets. The trajectory of costs will not increase as quickly as the trajectory of assets. So, we should see this coming down also just the way cost as a proportion of AUM will come down.

Pranav Gupta: Just one last bit, could you give the break-up of other income?

Anil Kothuri: The break-up of other income. I will just tell you what this other income includes. Broadly, it is income that we get for distribution of Federal Bank products and marketing activities that we do, profit on sale of G-Secs, net gain on sale of fair value charges. So, all of that is what other income is composed of.

And I have the breakup of our credit cost. So, we started the year with a Stage-3 of Rs. 164.5 crores. We added Rs. 116.9 during the course of the year. We reduced Rs. 89 crores and wrote off Rs. 26 crores and giving us a closing balance of Rs. 165.28 crores during the course of the year. Okay? So, between last year and this year we have added less than Rs. 1 crores to our Stage-3.

Moderator: The next question is from the line of Kunal Khudania from DSP Asset Managers. Please go ahead.

Vivek Ramakrishnan: Hi, this is Vivek here. My question is on the cost-to-income. I joined the call a little late, so sorry if we had already answered it before. Is there a cost-to-income ratio or a cost-to-AUM ratio that you're guiding us to? And another tricky way of asking the same question is, for a mature branch what would be the cost-to-income or a cost-to-AUM?

Anil Kothuri: For the year gone by, we had a cost-to-AUM of 5.2%. We believe that in the coming year it should be better by between 30 basis points and 40 basis points. Okay? So, that is the answer to part one of your question.

Part two of your question, we do have metrics depending on the kind of branch that we have, but the metrics are not cost-to-income. They are more about the absolute cost that we want to incur in each branch in relation to the AUM of that branch. And these are different for different kinds of branches, there are gold loan branches, non-gold-loan branches. There are historical branches in South India which were architected to be of a certain size, and rest of India branches are a little bigger because the AUM per branch in the rest of India is a lot bigger. So, there are different dynamics and particulars. But to abstract this at a slightly higher level, I think how you should look at us is that we were at 5.2% on a cost-to-AUM, and that should improve by 30 basis points, 40 basis points during the course of the year.

Moderator: Thank you. The next question is from the line of on the line of Harshvardhan Agrawal from Bandhan AMC. Please go ahead.

Harshvardhan Agarwal: Just wanted to understand the amount of sell-downs that you have done in Q2 and Q3, this is just to understand the negative BA income that you have got. So, just understand that flow, if you can help us with that.

Anil Kothuri: Harsh, you will find this on Slide 40 of our Investor Deck. In Q2 we sold down Rs. 527 crores.

In Q3 we sold down Rs. 457 crores. In Q4 we sold down Rs. 284 crores.
Harshvardhan Agarwal: So, basically this Rs. 1,000 crores roughly that we sold down was yielding us Rs. 15 crores income on a quarterly basis. Is that correct?
Anil Kothuri: Well, each quarter we disclose the net gain on sale that we get, which is upfronting minus unwinding. For Q4, those numbers exactly cancel themselves out.
Harshvardhan Agarwal: So, sir, what I am trying to ask is, this Rs. 285 crores that we sold in Q4, would have yielded somewhere around Rs. 15 crores, Rs. 16 crores. And the unwinding of the Rs. 1,000 crores of the previous year were around Rs. 15 crores, Rs. 16 crores?
Anil Kothuri: Yes, the upfronting during the fourth quarter was Rs. 16.5 crores, the unwinding was about Rs. 18 crores. So, that's how we got a negative Rs. 1.5 crores.
Moderator: Thank you. The next question is from the line of Mayank Mistry from JM Financial. Please go ahead.
Mayank Mistry: Sir, my question is on the average ticket size of medium ticket LAP, which we have mentioned on Slide #18 as Rs. 67 lakhs. So, basically last quarter it was at around Rs. 49 lakhs, which have increased significantly to Rs. 67 lakhs. So, what explains this significant growth? I mean, is there a major sell-down, or is it only on the fresh disbursals? Can you please explain this?
Anil Kothuri: So, what we did was we previously used to restrict this business up to a ticket size of about Rs. 1 crores, we now let them go up to Rs. 2 crores. So, that is what explains this inflation in ticket size between the last two quarters.
Mayank Mistry: So, this is the on-book average ticket size of medium ticket, right?

Anil K

othuri: That's right.
C. V. Ganesh: So, Mayank, I will just come in here. See the point is, when you originate, it is always on-book, right? But typically, I think we have a stated policy or strategy that for we keep the higher yielding assets on books, and the lower yielding assets we originate higher ticket sizes where we see appetite for an onward sale, and we optimize on that. So, obviously, after a seasoning period, as required by the direct assignment rules, these would be available for sale. And which opportunities we would capitalize on based on the wide array of partnerships we have who have the appetite to buy these.
Moderator: Thank you. The next question is from the line of Aravind R from Sundaram Alternates. Please go ahead.
Aravind R: I hope you can hear me. Sir, like the ECL provision as a percentage of assets across Stage-1, Stage-2 and Stage-3, I can see that it has declined a bit. I just wanted to understand, are we comfortable with the current levels? Or do we want to fortify it to the FY'23 or above levels? That's my first question.
And the second question is on like what would be a branch addition and employee addition plans for gold and non-gold businesses?
And the third question is on the other income, what are the potential opportunities you are seeing in terms of other income, like, say, cross-selling insurance products or any other third-party products? Is there anything in addition to whatever we are doing now, like do you see any significant opportunities in the coming years? Thank you.
Anil Kothuri: Hi, Aravind. Yes, we have applied for a corporate agency, we will get our license hopefully in the month of May or June. And at that point in time, we will use our distribution network of gold and non-gold branches to also sell insurance. We currently don't embed insurance with our gold loan customers. And health insurance and life insurance are products that we can cross-sell to these customers. So, that's an opportunity that's there.
Now, number two with regards to the ECL provision that we have. So, on Stage-1, Stage-2 and Stage-3, each of our products will continue to maintain the same provisions that we used to previously. So, any changes that you see is owing to the mix. It's also owing to the fact that our gold loan has had a stronger growth than the other products in terms of AUM and the ECL provision required on gold loan, especially for Stage-1 is negligible.
Also on Stage-3 what has happened is that we sold one large account to the ARC that was provided to the extent of 53% or so, okay? So, given that we sold it off, that provisioning also has corrected itself. On Stage-2 accounts, we used to have a restructured book at a point in time, okay, where we used to provide as per Stage-3 kind of levels. Now that book also has more or less gone, which is why the provisioning for Stage-2 has come down. So, these are the different variables that impact provisioning.

But otherwise on a product-by-product basis, we continue to be provided as we used to be. And

you may recall that at the end of Q3 we actually took up our provisioning for mortgage loans
from 19.5% to 23%. That's for Stage-3 loans. So, that's the migration in Stage-3.
Finally, you spoke about our plans to grow and expand. In the coming years we want to open
about 50 gold loan branches and 30 small mortgage locations. So, that is the plan for the year,
and we will execute it, try and front-end that during the course of the year. That's the intent.
Aravind R: Any color you can give on, like, which region it would be, like these branches, or is distributed
throughout the country?
Anil Kothuri: So, the approach that we followed is to try and grow efficiently this year, which means that we
are not opening any new regions, because a new region is overheads in terms of regional
leadership and all that. So, the br

anches that we have identified will add up as four, five, six
branches in each of our existing regions for gold loans and ditto for our non-gold businesses.
We already have leadership built out for the branches. These are the only production-related
expenses that we will incur in terms of people and premises. And that's a more efficient way of
growing in the current year. That's our thinking.
Aravind R: And just one last question, if I can squeeze in. What would be the credit growth guidance, like,
either segment-wise or the overall? Is there any guidance on that?
Anil Kothuri: Our cost of credit, you should assume, 80 basis points.
Aravind R: No, credit growth.
Anil Kothuri: Credit growth. Advances?
Aravind R: Yes, advances growth, yes.
Anil Kothuri: That I've already guided 25% growth. And we should try and top that if there are tailwinds, like
there were in the previous quarter.
Moderator: Thank you. As there are no further questions, I would now like to hand the conference over to
Mr. Shreepal Doshi for closing comments.
Shreepal Doshi: Thank you, Steve. I would like to thank the management of Fedbank Financial Services for
giving us the opportunity to host the call. And thank you to all the participants for being part of
the call. Thank you all and have a good day.
Moderator: Thank you. Ladies and gentlemen, on behalf of Equirus Securities, that concludes this
conference. Thank you for joining us. And you may now disconnect your lines. Thank you.

Call: Jul 2024

"Fedbank Financial Services Limited
Q1 FY '25 Results Conference Call"
July 19, 2024

MANAGEMENT : MR. ANIL KOTHURI – MANAGING DIRECTOR AND
CHIEF EXECUTIVE DIRECTOR – FEDBANK FINANCIAL
SERVICES LIMITED
M R. C.V. GANESH – CHIEF FINANCIAL OFFICER –
FEDBANK FINANCIAL SERVICES LIMITED
M R. AMIT SINGH – INVESTOR RELATIONS – FEDBANK
FINANCIAL SERVICES LIMITED

MODERATOR : MR. SHREEPAL DOSHI – EQUIRUS SECURITIES

Moderator: Ladies and gentlemen, good day and welcome to the Fedbank Financial Services Limited Q1 FY '25 Results Conference Call hosted by Equirus Securities. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Shreepal Doshi from Equirus Securities. Thank you, and over to you, sir.

Shreepal Doshi: Thank you, Siddhant. Good evening everyone. I welcome you all to the Earnings Conference Call of Fedbank Financial Services to discuss the Q1 FY '25 performance of the Company. We have the senior management team of Fedbank Financial Services represented by Mr. Anil Kothuri, MD and CEO; Mr. C.V. Ganesh, CFO; and Mr. Amit Singh, Head, IR.

I would now like to hand over the call to Mr. Anil for his opening comments, post which we can open the floor for question and answer. Over to you, Anil, sir.

Anil Kothuri: Thanks, Shreepal and welcome everybody to the Q1 Earnings Call of Fedbank Financial Services Limited. As you're probably aware, we are in business to empower emerging India with easy access to loans. We do this -- we cater to the small self-employed customer. And for this, we have a twin-engine strategy, which basically consists of loans against gold and mortgage loans. This strategy played out well and was validated during the quarter gone by.

In the quarter gone by, we've seen an AUM growth of INR996 crores. So that is an 8% growth quarter-on-quarter, and year-on-year, it is about 40%. Now the bulk of this AUM growth came from the gold loan business. The gold loan business grew by 15% quarter-on-quarter and 46% year-on-year. We benefited from an increase in gold prices and the productivity of our gold loan branches also shot up during the quarter. In fact on a year-on-year basis, our tonnage of gold actually increased about 26% while the AUM went up 46%. That's the gold loan business.

We also made progress on our off-book strategy and increased our off-book AUM from 18.7% in the quarter gone by to 20.7%. So as a result, the non-gold -- the increase in our balance sheet was 500 and -- was about INR590 crores, of which INR560 crores or so was the gold loan business. So the quarter gone by has seen very strong growth, unlike a typical quarter one that is on the back of the gold loan business. Now, as a consequence, we -- our AUM grew by 8.2% quarter-on-quarter, INR996 crores.

We delivered a profit after tax of INR70.23 crores. That is up 30% year-on-year and 3.8% quarter-on-quarter. Our cost to income also improved from 57.3% in the previous quarter to 55.4% in the current quarter, and our ROA and ROE were 2.4% and 12.3%, respectively. So

these were the highlights of the quarter gone by in terms of growth and disbursals.
On -- our GNPA increased by 30 basis points in the quarter gone by. This is in line with what happened in quarter one last year where we also increased by about 30 basis points. It was a challenging collections environment in quarter one and we are hopeful of consolidating from hereon.

The other update is that from a system standpoint, we implemented Salesforce across the 180 mortgage branches on our network. So all disbursals now -- all our throughput is on Salesforce right from the login stage to the disbursal stage.
From a regulatory standpoint, on the 8th of May, the Reserve Bank mandated disbursals only through electronic form beyond a threshold of INR20,000 for the gold loan business. We cut over to a 100% electronic disbursals regime the very next day. So all our disbursals on the gold loan busi

ness are entirely through electronic form and we are now -- we are entirely in compliance with the RBI directive. That's the update on regulations there.
What I'll do now is to hand over to C. V. Ganesh, who will take us through the financials and the numbers on -- with a little more detail, and I'll come back to taking questions.
C. V. Ganesh: Yes. Thank you Anil, and thanks everyone for your participation on this call. This quarter in specific was a momentous one for us, and we crossed at least three milestones. The first one was that our gross disbursements crossed INR5,000 crores for the first time in our history. The second is that our AUM growth during the quarter came in a whisker under INR1,000 crores. And the third milestone was that our average gold loan AUM per branch has now crossed INR10 crores per branch. So across these three milestones, we have had a good quarter.
Coming on to disbursements. Our gold loan disbursements for quarter one stood at INR3,970 crores, which was up 39% quarter-on-quarter and 73% year-on-year. Mortgage loan disbursements at INR737.6 crores were also up 74% year-on-year and business loan disbursements grew 21% year-on-year.
On the AUM side, at the end of -- on the loan book side and on the total overall balance sheet side, as of June 30, our balance sheet is just shy of INR12,000 crores, an increase of 27% over Q1 FY '24. Our AUM as of 30th June stood at INR13,188 crores, which is an increase of 40% over the corresponding quarter of June '23 and an increase of 8% over the last quarter.
Of the total AUM growth we achieved in quarter one of INR996 crores, 59% of that AUM growth was contributed by gold loans alone. The fact that this happened after a transition to a fully digital disbursement mode in a cash-intensive industry vindicates the head start we had in this matter.
The gold loan AUM grew 46% year-on-year and 15% sequentially over last quarter and now stands at INR4,562 crores, constituting 35% of our AUM and 38% of our on-balance sheet loan book, which is up from 33% of AUM and 35% of loan book in the March '24 quarter. The mortgage AUM grew 40% year-on-year and 5.88% sequentially.
As Anil articulated, the financial sector and NBFCs, in particular had multiple regulatory headwinds in Q1 '25. Mentioning a few, there was the cap on gold loans in cash. Then on April 29th, RBI came out prescribing new guidelines on fair practices to be adopted by regulated entities in terms of when interest can be charged from, collection of advance installments, charging for interest -- modus of charging for interest in the month of disbursement, etc.

The minutiae in the new guidelines may have some impact on revenue and asset quality for NBFC sector in the transition period, and our results also need to be seen in that context. I now come to the profit and loss account. Our net interest income at INR249.6 crores grew 19% sequentially quarter-on-quarter and 41% year-on-year, outpacing the loan book growth. This included a net gain from direct assignments of INR21.5 crores. Adjusted for the sales, the core net interest income has grown 7.5% sequentially and 28.5% year-on-year, which is again more than the loan book growth in the corresponding period.
As against this net interest income growth, operating expenses grew 9.7% quarter-on-quarter and 31.5% year-on-year, some of which is a wage-related quarter one impact. This resulted in pre-provisioning operating profit, PPOP, growing 18.6% quarter-on-quarter and 55.7% year-on-year to INR128.8 crores.
Credit costs came in higher at INR35.2 crores, up 98% quarter-on-quarter due to a one-off write-off of a trade receivable amounting to INR3.7 crores, technical write-offs of INR16.7 crores

during the quarter, and the overall increase in ECL provisions due to bucket delinquencies, especially in the mortgage book. Consequently, PAT was INR70.2 cro

res, up 30% year-on-year
and 4% quarter-on-quarter.

Due to our income expanding at a higher TAC than expenses, our cost-to-income ratio has improved to 55.4% from 57.4% in quarter four '24. We expect to continue to scale up our branch infrastructure over the next two quarters to aid a sustained AUM growth, and that investment may temper the cost-to-income in the short term, but will be medium and long-term accretive.

The Company continued to move forward in its policy of deleveraging through co-lending and direct assignment of installment loans. As on June 30th, our off-balance sheet book stands at INR2,725 crores, up 168% year-on-year from INR1,039 crores in the previous year, and up 20% quarter-on-quarter.

Of this, gold loans held in partner books accounted for INR630 crores, while mortgage and unsecured business loans accounted for the rest. While this earns us a spread while needing to devote only limited capital, it has helped us manage a relatively lower debt/equity ratio at 4 and enhanced capital CRAR at 22.8% without needing to compromise on the exciting loan growth opportunities.

` On the NPA front, our Gross Stage 3 assets stood at 1.97% with Net Stage 3 assets being 1.60%. These are attributable to higher mortgage delinquencies, but our comparatively lower LTVs on the mortgage product, which is mentioned in our presentation, give us comfort on our collections ability.

On the treasury front, on a quarter-on-quarter basis, our average blended interest cost on overall borrowing has gone up 3 bps from 8.75% in the last quarter to 8.78%. The rise is attributable to a full quarter impact of rate resets on borrowings in the last quarter.

Our incremental cost of borrowing for quarter one '25 was 8.63%. Around 88.7% of our borrowings are on a floating rate benchmark, which should help us when rates start to moderate

downwards. Also, roughly 30% of our borrowings are on external-linked benchmark, namely repo or T-bill, which should accelerate the downward journey from a benchmark perspective.

In quarter one '25, 68% of the incremental borrowings in the quarter, or INR1,415 crores to be exact, were at external benchmarks, which were either repo or T-bill linked. Lastly, our net worth as of June 30, '24 was INR2,322 crores and our book value per share was INR62.60.

With that, I now hand over to the moderator for inviting questions.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from Mr. Renish from ICICI. Please go ahead, sir.

Renish: Yes. Hi, sir. Just two, three questions from my side. One, on the asset quality. So we have seen some deterioration this quarter on most of the asset quality metrics, whether it is credit cost, GNPA, 1+ DPD, etcetera. Especially in the mortgage book, though I know there is a seasonality, right, I mean, last quarter, we sold something to RCM there was a sharp fall in the gross NPA ratios. But if you can throw some light on what is leading to this deterioration or this is purely because of the similarity?

Anil Kothuri: All right. So you look at Q1, typically we have the highest GNPA of the year in Q1. I'll just give you numbers that we had last year. In Q4 '23, our Stage 3 was 2%, which went up to 2.3% in Q1 '24. Correspondingly, in Q4 '24, we were 1.7%, and we've gone up to 2%. So a 0.3% increase is something that we've seen the past three years in Q1. Seasonally, I think this is a slightly tougher quarter to collect.

Also, the fact is, operationally, after a hectic March, people take their leaves in April and all that, and that does have an impact. So Q1 seasonally is that. So that's the way it is. Having said that, our understanding and the progress that we are seeing in June, July and all that says -- suggests that our annualized credit costs should be as envisaged. We've guided 0.8% and we should stick to that number is

my guidance.

Renish: Got it. So basically, the trend which we have seen this quarter is purely because of either due to some seasonality or due to some operational challenge, and that should reverse in rest of the three quarters. I mean, is that fair understanding, sir?

Anil Kothuri: Yes. From the field, people said things like it was very hot and there were elections and all of those kind of things, but that's...

Renish: Correct. Correct…

Anil Kothuri: But yes, that's where we are. But having said that, I should we fix this in the coming quarter.

Renish: Got it. Sir, my second question is on the asset yield. So this quarter, we have seen a pretty sharp increase in the asset yield of more than 90 basis points sequentially. Of course, some bit of it is

because of the high growth in gold loan, which is at almost 16% versus mortgage at 14%. So how do you see the asset yield settling over the next three quarters from this base?
Anil Kothuri: You're referring, I presume, to the numbers on slide 35. Is that right?

Renish: Yes. Correct.
Anil Kothuri: Yes. So Q3 shows 17.4%, Q4 shows 16%, and Q1 again shows 17.4%. So our daily average portfolio yield is reasonably constant or has been over the past three quarters. So the undulations that you see which is 17.4% going to 16% and going to 17.4%, is actually a Q4 quirk where we had a blowout March. So the 2 point average the interest income divided by 2 point average actually comes to 16% where a lot of the business was back ended.
It's just a statistical quirk which shows the yields at 16% there, but otherwise if you look at it on a daily average basis it has been rock solid. Our yields were 16.11% in Q3, 16.21% in Q4 and 16.1% in Q1 FY '25. So there has been no change as you would expect in an actuarial business.
Renish Bhuva: Got it. So it's just a mathematical abbreviation. Otherwise trends are pretty much solid. Okay. And my last question is on the cost of borrowing. So again we have seen a pretty sharp increase to 9.3% and I'm assuming maybe some part of the borrowing might have come for a reprice at a higher rate. And if that is the case then it is fair to assume that the bulk of repricing is behind and now the cost of fund should stabilize at around 9% in Q1.
Anil Kothuri: Actually this is again, 2 point average. You look at Slide 45 we've given the daily average cost of borrowing, and Ganesh also articulated this. In Q4, our daily average cost of borrowing was 8.75%. And in Q1 that is 8.78%. So that 9.3% at a 2 point average, what happens is that on the last day of the month you end up taking bank disbursals. So that just distorts the 2 point average.
Renish Bhuva: Got it. And sorry just last question on the branch expansion part what Ganesh, sir was highlighting/ I mean so sir has also mentioned that the cost in the interim will go up. I mean would you like to put any numbers around it? I mean at what level you see the cost inching up once we start the branch expansion plan?
Anil Kothuri: I think our branch opening agenda for the year we haven't embarked on in Q1. We envisage opening 50 gold loan branches and 30 small mortgage branches. Now while those have got identified and work is underway the costs haven't hit us yet. So obviously the new branches will be a drag on cost to income. So that was the point that he was making.
My sense is that the impact should be at about 1 percentage points, 1.5 percentage points in terms of cost to income when we open those branches. So in our 2Q or Q3 depending on how we execute and open up that should be the kind of impact is what I would think.
Renish Bhuva: Got it. Sorry sir just last thing. On this one-off write-off which Ganesh sir was mentioning about the trade receivable, can you just throw some light on, I mean, what kind of a exposure this was?
Anil Kothuri: So this was INR3.5 crores. It was a trade receivable from a

counterparty and it was due for a
reasonably long while. The amount was a little larger. So we had provisioned some bit of it in the past. So this quarter we took a decision to write it off entirely. And the accounting demands that that comes on the credit cost line because that was a receivable.

The objective of Ganesh articulating it is to say that it has nothing to do with the portfolio performance. That INR3.5 crores has nothing to do with the portfolio performance. That's all.
Yes.
C. V. Ganesh: So that was a legacy item Renish. It was a one-off. So the idea of pointing it out or calling it out was that if you exclude the effect of that item the credit cost would be lower by about 16 bps.
Renish Bhuva: Got it sir. Okay.
C. V. Ganesh: So that has to be seen in that perspective and not to be confused with any loan quality in that regard.
Renish Bhuva: Got it. Thank you sir and best of luck, sir.
Anil Kothuri: Thanks so much.
C. V. Ganesh: Thank you.
Moderator: Thank you. The next question is from the line of Pranav Gupta from Aionios Alpha Investment Advisors. Go ahead, sir.
Pranav Gupta: Yes. Hi. Good afternoon and thanks for the opportunity. Congratulations on a decent set of numbers. Just a few questions. One just touching up on the asset quality bit like you mentioned there was some seasonality that we saw in this quarter mainly coming in from the mortgages book. Just to sort of crosscheck that have you seen any geographical SKU or whether it's coming

more from the mid -- the small ticket mortgages or the medium ticket mortgages? Any deeper understanding on that bit, that will be really helpful?

Anil Kothuri: The -- what we've seen in quarter 1 is an impact across the board Pranav. It's not that anyone geography has blown out or something. What we've seen is an increase across the board and this is basically due to the collection effort or the intensity or the difficulty of realizing money on Q1 whichever it is.

There is nothing to call out from a geography standpoint. It is not that one geography is -- has done significantly worse than the other. And what we've seen is in the small mortgage business because the number of tickets in the larger business tend to be lower. So therefore the efforts are a little more concentrated there.

Pranav Gupta: Okay. Just to understand this a bit better is it fair to assume that we should -- while we see improvements in stage 3 through the year as we've seen last year because of the seasonality sort of going away, is it fair to assume that we should start seeing pullbacks in one-plus and 30-plus buckets as well going forward?

Anil Kothuri: Yes, most definitely.

Pranav Gupta: Okay. The second bit is on the branch openings. You mentioned that we'll be opening 50 gold loan branches and 30 mortgage branches like we have guided. Are we still sticking to our

reduction of 40 basis points reduction in cost to average AUM guidance for '25 or is there any change there?

Anil Kothuri: No, we're sticking to that. In fact the branch openings were part of our long-term planning process and whatever guidance we have in terms of our cost to AUM or our cost to income includes these initiatives. It is just that they haven't played out in Q1 and they will play out in Q2 and Q3.

Pranav Gupta: Understood. Sir just one last question on the Salesforce bit. So you mentioned that now Salesforce is life on -- live on all the mortgage branches. When do we see this sort of being implemented fully on the gold loan bit and also is there any additional cost that is sort of planned for Salesforce implementation in the year going ahead?

Anil Kothuri: So the gold loan business is on a different system. It's called Prosper by -- Prosper [inaudible 28:22]. This is something that we implemented in the year 2021 and absolutely

everything we do in the gold loan business is on this system. It's probably the industry standard or industry-leading gold loan system implementation that we have so which is why we are now a cashless, paperless gold loan business.

Now the implementation is for the small mortgage business which is the -- which is where the bulk of the tickets reside. Now that one we've digested in the previous quarter all our 180 branches are live. So that is behind us. Whatever costs relate to Salesforce implementation are there in the numbers that you see and they will continue for the rest of the year.

Pranav Gupta: Understood. Thank you so much and good luck for the future quarters.

Anil Kothuri: Thank you so much, Pranav. Thank you.

Moderator: Thank you. Our next question is from the line of Deepak Mandhana from Avighna Investments. Please go ahead, sir.

Deepak Mandhana: Hello. Hi sir. Congratulations for the good set of numbers. My basic two, three queries were one that the -- what is the average tenure of the loans in each of the segment, business loans, mortgage loan and the gold loan?

Anil Kothuri: So the gold loan business has an average tenure of between four months and five months. Having said that, about 70% of the customers renew their loans, okay? So they do a re-pledge or they simply renew their loans using the Fedfina app. So that's the second loan or a third loan they take. For the unsecured loan business, the door-to-door tenure is three years. So therefore the average tenure is just shy of two years, let's say, about 19 months, 20 months or something like that.

Deepak Mandhana: Okay.

Anil Kothuri: The mortgage business -- the larger mortgage business, the medium ticket mortgage business tends to have a behavioral tenure of 4, 4.5 years, whereas the small mortgage business has a tenure of about 7, 7.5 years.

Deepak Mandhana: Okay.

Anil Kothuri: So those are the tenure dynamics.

Deepak Mandhana: Okay.
Anil Kothuri: So if we just continue to originate just the way we are doing, the portfolio will continue -- will continually get biased towards small mortgages, simply because it has the longest tenure of all products.
Deepak Mandhana: Correct. So is this a prime reason that obviously when I see during the quarter, the disbursements have been of INR50 crores and your AUM size have only increased by INR10 crores. Your AUM has gone to INR131 crores as compared to last quarter when it was -- I mean, INR10 billion. Your AUM -- current AUM is INR131 billion and last quarter was INR121 billion.
Anil Kothuri: Correct.
Deepak Mandhana: And if I see the disbursals is INR50 billion during the quarter. So the net impact of roughly INR40 billion is the amount that you guys would have received back in terms of the people who would have prepaid or their loan tenure would have ended. Is that a correct thinking?
Anil Kothuri: That's correct. I'll just split this a bit for you, Deepak. So of the INR5,000 crores disbursals, about INR3,700 crores is gold loans, okay? Now, the 3,700 -- INR3,970 crores, beg your pardon, so say INR4,000 crores out of the INR5,000 crores is gold loans, okay? Now the INR5,000 crores disbursal for gold loan results in a roughly INR600 crores balance sheet increase.
The way to look at gold loan is how a bank would look at, let's say, a savings account or current account. There are deposits and there are withdrawals, okay, both of which will be large numbers, but the net growth in balances is what's material for the bank. So there's a lot of volume in the gold loan business when it comes to disbursals and repayments, including automatic renewals, which count as both disbursal and repayment, for instance, okay? So INR4,000 crores results in about INR600 crores of balance sheet growth.
On the non-gold business, the installment loan business, we have about INR1,000 crores of disbursals, okay, which r

esult in balance sheet growth of something like -- AUM growth of about INR450 crores.
Deepak Mandhana: Okay. I get that. And the last question was, in the terms of borrowing -- on the side of borrowing, how much is your borrowing assigned from Federal Bank in terms of percentage to overall?
C. V. Ganesh: See, we have about 28 lenders at the current date and roughly 13%...
Deepak Mandhana: Okay.
C. V. Ganesh: Okay? A little over 13% is from Federal Bank.
Deepak Mandhana: Okay. Thank you.

Anil Kothuri: Thanks so much, Deepak.
Deepak Mandhana: Yes.
Moderator: Thank you. The next question is from the line of Mayank Mistry from JM Financial. Please go ahead.
Mayank Mistry: Thanks for the opportunity. Sir, I had three questions. First is on the asset quality again. So we had this high credit cost as per -- we understand due to some seasonality, there was also a one-off and so, but our PCR has dropped since last two quarters. So what is the comfortable level of PCR that we are planning to achieve? Because you still continue to maintain the credit cost guidance at 0.8%. So isn't it the PCR at a slightly lower level?
Anil Kothuri: So when we look at our overall PCR first up is 1.2%, which is the same as the previous quarter, okay? And you can see this on Slide 43, the total ECL provision as a percentage of -- ECL provision as a percentage of total assets is 1.2%, which is the same that has been in the previous quarter, okay?
Now, what happens quarter-on-quarter is that the mix changes, okay? The gold loan business, for instance, did extremely well in the previous quarter. And because of the nature of security and the extreme liquid nature of the security, we are required to provision a far lower amount on, let's say, gross stage 3 or stage 2 for that, okay? So what I can confirm is that on a product-wise basis, our PCR has not changed. It is only the variance in mix that changes the PCR.
Mayank Mistry: Okay. So basically, our gold loan mix is increasing and because of that, denominator is -- but the provision on this book is lower. So that's why the blended PCR is lower. Am I right?
Anil Kothuri: That's right. So if you look at it at a product-wise level, it has not changed and the mix -- product-wise mix contributes to any changes in this.
C. V. Ganesh: So Mayank, I'll just maybe add a little more light to this. Roughly, on the gold loans NPAs, we carry a PCR of about a little under 8%, okay, which is much higher than what is needed, but traditionally, in the last many quarters, we have never had any principal loss or interest loss in any auctioning of gold. But in spite of that, we have, as I said, a little under 8% of PCR on gold loan. On mortgages, we have around 20% of PCR. And that, based on empirical data, is based on our -- the way our LTV works, our recoverability data and so on, right?
And lastly, on the business loans, we have a policy of writing off once it crosses 90 days to 120

days and whatever residual, we have a PCR of at least 58% to 60%. So that's roughly the split. Now between this, as we articulated early in the call, there have been two things which have happened. I did mention that some of the higher provisioned loans, we conservatively took a technical write-off for it, which means we have provided 100%, right?
So that -- what that -- what happens when such a thing happens is, optically, since it goes off the loan book, the loan provision also goes off. So the PCR seems to optically drop. And the second thing which I want to highlight is as -- based on the tremendous growth we have seen in the gold

loan book in the last two quarters, that also -- given that that comes at a lower PCR, optically that also, at an entity level, it does not do justice when you look at a number in absolute.
Mayank Mistry: Okay. Got it. Sir, my

second question is on the branch. So the number of branches have declined for gold. So which geography has this occurred? So basically, what can be the reason to -- for this decline?
Anil Kothuri: So these are two branches we've -- which we've consolidated with neighboring branches in Tamil Nadu, okay? So it's just two branches because our density of branches was high and it seemed more optimal to consolidate these two branches.
Mayank Mistry: Okay. And sir, my last question is on -- again, on the borrowings, the floating mix of the assets and borrowings that you mentioned. So, on the assets side, if I've heard correctly, it's -- 88.7% is floating rate loans. And on the borrowings side, 30% is EBLR linked. So are -- on the borrowings side, only 30% is floating or what is the exact mix?
C. V. Ganesh: No. So -- Yes. So maybe -- thank you for that question. It helps me clarify the matter. Around a little under 89%, 88.7% to be exact, of our loans are linked to floating rate benchmarks. Now, these floating rate benchmarks are either linked to three-month, six-month or one-year MCLRs of the respective lending institutions or linked to external benchmarks. Out of the floating rate loans linked to external benchmarks, we said 30% is lent -- is on external benchmarks like repo rate or T-bill rate, where your transmission is on a much more accelerated basis. On the MCLR front, we might see a slower transmission. So that was the limited point of providing that clarification.
Mayank Mistry: Okay. So these all on the -- totally on the liabilities side, right?
C. V. Ganesh: That is correct.
Mayank Mistry: Yes. Okay. Got it. Thanks.
Moderator: Thank you. The next question is from the line of Harshit from Premji Investment. Please go ahead.
Harshit: Yes. Sir, just one data keeping question. So if you look at the breakup of asset under finance in the total, there is a slight mismatch, if you can -- on the presentation.
Anil Kothuri: Yes.
Harshit: Yes. So if you can just help clarify that mismatch as to what exactly the balance is? Is it within the mortgage, gold loan or business loan?
Anil Kothuri: You're talking about the balance 2%?
Harshit: Around INR1,500 million. Yes, that INR150 crores balance.
C. V. Ganesh: Can you just help with the slide number for our benefit?

Harshit: Yes, I'll just help you. It's on Slide 31.
Anil Kothuri: So these are basically some Ind AS adjustments, okay, which is EIS, OCI gain and all that, which adds up to INR154 crores.
Harshit: Sorry, sir. Can you again repeat that part? What are these?
C. V. Ganesh: Yes. So basically, see, what we do is, while you have the principal outstanding which flows from an Indian GAAP basis, okay? Now the Ind AS accounting standard has certain accounting adjustments to the loans, right? Now what we have done is we have aggregated that and held it separately at a bucket level. While that is attributed to the loans, but it's coming separately as a line item...
Harshit: That I understand. Got it, sir. Okay, sir.
C. V. Ganesh: So there's nothing else in the balance sheet other than what you see. I think...
Harshit: Understood. Okay.
Moderator: Thank you. The next question is from the line of Rahil Shah from Crown Capital. Please go ahead.
Rahil Shah: Hi. Yes, good evening. So just firstly, what is the outlook or guidance when it comes to AUM

growth and return on assets for FY '25?
Anil Kothuri: We've consistently guided an AUM growth of 25%, Rahil, okay? And we said that we will take advantage of any episodic opportunities to better that. In Q1, we saw the advantage growing -- owing to rising gold prices and the absence of some competition, our gold book -- and gold business has had a good run. We don't know how long this will last, but otherwise, we should be able to grow at 25% on a Y-o-Y basis from hereon. So that is growth. In terms of ROA, I think we sho

uld look at an ROA of between 2.7% and 2.75% for the entire year.
Rahil Shah: Okay. And in the beginning of the call, somewhere you mentioned once we start opening the new branches -- you have a branch opening agenda. So once you start doing that, you will see an impact of a certain percentage on cost to income. But then in the middle again, you mentioned you stick to your guidance of cost to income reduction gradually. So just clarify my confusion and can you please also suggest a certain outlook for cost to income for the whole year? What can one expect?
Anil Kothuri: Okay. So in Q4 '24, we were at 57.4%, okay? We should see a bettering of that and come in at 56% at least across the year. Now in Q1, we are better than that, okay, because we haven't opened branches as envisaged. What Ganesh pointed out is that the quarter that we open the branches, we will have the cost, but not the revenues from there, so that could be Q2 or Q3. So that impact will be there. But if you look at our annual financials, we should be able to come in at 56%.
Rahil Shah: Okay. So annually you'll be able to reduce over FY '24 but once we open there will be a certain
Anil Kothuri: [Inaudible 44:52]

Rahil Shah: Yes. Got it. Perfect. Okay. Thank you and all the best.
Anil Kothuri: Thank you so much.
Moderator: Thank you. The next question is from the line of Aravind R from Sundaram Alternates. Please go ahead.
Aravind R: Good evening, sir. Like, you were talking about EBLR borrowings and MCLR borrowings. Similarly, on the asset side, I mean, like, do we reset the rates for the products every year or something like that? Or is it always a fixed yield given to the customers?
Anil Kothuri: So we have different kinds of asset products, and I'll lay them out for you. The gold loan is a short-tenor product. So -- and there is a jumping interest rate regime in [46:18 woke/Vogue] where the customer can either service the interest on a monthly basis or service interest at a higher rate on a lump sum basis. So that is gold loan.
The unsecured lending business is entirely fixed rate business. And given that the maturity of the loan or the weighted average tenure of the loan is under two years, so that's the characteristic of the business. Our medium ticket mortgage business is entirely a variable rate business, and it is repriceable depending on our reference rate. We have done, I think, four or five rounds of repricing between 2018 and now, so that the repriceability of the portfolio is established.
The small mortgage portfolio has some loans which are variable rate, some loans which are fixed rate. Most recently, we've migrated to a regime where we have a three-year fixed rate and it is repriceable thereafter. So that's what -- the certainty in the short term is what the borrower seems to like. So it's a three-year fixed rate followed by the ability to reprice. So that's as far as small mortgage is concerned.
Aravind R: Okay. When we talk about repricing like either in medium ticket or small ticket loans, is it like an MCLR for a bank? We have an internal rate, internal reference rate, based on that, we give a rate to them after that -- after that fixed-rate period?
Anil Kothuri: Correct. We have an internal reference rate, and -- which we change in line with our borrowing. And the most recent change that we did was, I think, in July last -- April, this year, sorry. So -- and the repricing then follows depending on the movement in that rate.
Aravind R: Understood, sir. And I don't -- last time, I remember like asking you like what could be the, like, other source of other income, like fee income. You also mentioned about brokerages for insurance. I mean, like, have we got that? And have we started the operations on that?
Anil Kothuri: Yes. We've got our insurance agency license in June, and we are in the process -- we've tied up with insur

ance companies and the income for insurance should start trickling in this quarter onwards.
Aravind R: Sure, sir.
C. V. Ganesh: We are in the process of formalizing agreements, Aravind.

Aravind R: Okay, sir.
C. V. Ganesh: It may have some lead time...
Aravind R: Sure. Sure.
C. V. Ganesh: After this partnerships will begin but it is a slow but sure process.
Aravind R: Understood, sir. Yes, but it will be like structural income for us. Yes.
C. V. Ganesh: Yes.
Aravind R: So it will be -- the focus would be on general insurance or would be -- you would be also interested in like life insurance?
Anil Kothuri: So there are different opportunities here. First is that a lot of our customer base is underinsured, okay? So there is life insurance that most definitely is an opportunity. COVID has brought to the fore the need for health insurance. So that is an opportunity. And plus, there is some credit protect kind of insurance products that we can do. So, all these opportunities exist.
Aravind R: Understood, sir. Yes. Thanks. Thank you. Thank you so much.
Moderator: Thank you. The next question is from the line of Sanjeev Agarwal from Avighna Investments. Please go ahead.
Sanjeev Agarwal: I have two specific questions for you. Please confirm if I'm audible.
Anil Kothuri: Yes, you are. You're a little blurred. I don't know whether you can get close to your instrument. It could be better.
Sanjeev Agarwal: Sure. I think my system is having some problem. I'm so sorry for that. The first question goes like this. Could you please throw some light on the competitive landscape on the gold loan business for your company?
Moderator: Sorry to interrupt, sir. Can you please use a handset before speaking?
Sanjeev Agarwal: Sure.
Anil Kothuri: Okay. I'll paraphrase the question. He's asked me to throw light on the competitive landscape in the gold loan industry. So basically, there are banks and NBFCs which operate in this segment. NBFCs offer the promise of convenience and turnaround, whereas banks offer lower rates and they typically cater to their existing customers. If you look at the structure of the industry, approximately INR5 crores AUM is with banks and about INR1.3 crores, INR1.4 crores -- INR1.4 lakh crores is with NBFCs, okay? So that's the structure of the industry.
Now we compete within the NBFC space. So therefore, the other -- there are two large listed players, NBFC players, and another third multi-product company which offers gold loans. These tend to be competition for us. South India is relatively over-penetrated in gold loans. The rest of

India, less so. So the opportunities for growth are in rest of India. Now, so this is the competitive landscape.
The gold loan borrower typically tends to be a habitual gold loan borrower. He seeks to maximize not just the emotional value of the gold that he has, but also the financial value, so which means he pledges it and takes money for working capital. When there's a festival, he releases it and uses the ornament. The women folk in the family use that. So that is basically what it is. The opportunities include widening the base of gold loan borrowers, and that typically is happening non-South India. So that constitutes the landscape.
Sanjeev Agarwal: And sir, going forward on the second question, sir, as you rightly pointed out, in this market, when the gold loan prices have gone up, this happens to be a favorable scenario for the company since the underlying assets put on mortgage by the clients are basically adding value or getting value added as such.
So in a kind of a downturn, how does the company -- I understand that the gold loans are for a shorter period, but still in such a shorter period, how is the company coping up with such a downturn in the gold prices? Because somehow the LTV w

ould get impacted in such a short period of time.
Anil Kothuri: You're right. So we have a robust risk management process, which tracks the price of gold on a daily basis, and we take portfolio actions accordingly. The price of gold that we give is the average of the past 45 days. But however, if the price of gold declines, then we will use the latest price of gold.
Now we run it like a margin finance product. Anybody whose LTV approaches, let's say, 88%, he gets a margin call notice. He has 15 days to top up either cash or collateral. Otherwise, we auction the gold. So this is a process that's been in place quite for over a decade now, and it has also got stress tested.
I remember during, when was it, '22, between the 15th of February and the close of March, the price of gold actually declined by about 17%, I think, in those 45 days. So that's a scenario that

we've handled and we have some experience with that.
Sanjeev Agarwal: Thank you, sir. Thank you for your time.
Anil Kothuri: You're welcome.
Moderator: Thank you. The next question is from the line of Harshad Bhagwan from Visolitech Invesment Advisors. Please go ahead.
Harshad Bhagwan: Yes. So I wanted to ask regarding the gross stage III assets, like they have increased from 2.2% to 3% on the mortgage side in this quarter. So could you just throw some light on this?
Anil Kothuri: Yes. So like I mentioned early on the call, it was a challenging collection environment in Q1. And typically, in Q1, we see an increase in GNPA. So we've seen that in Q1 last year and Q1 the previous year, which has also happened now.

This year, the percentages have been aggravated by the fact that we've also sold down a lot of mortgage loans. So the net increase in our mortgage portfolio is only about 50 -- Yes, is about what, INR70 crores or something for the -- I'll give you the exact number, but it's about INR70-ish crores for the quarter.
So there has been a numerator increase and a denominator stagnation, which has caused the percentage to increase. But having said that, we are committed to resolving this in the coming quarter.
Harshad Bhagwan: Okay. And my next question is regarding the -- like, are we targeting any numbers for the ROAs and ROEs in upcoming years? Like, is there any target set ahead for targeted return on assets that we shall achieve in upcoming years?
Anil Kothuri: Yes. The ROA target, and I mentioned this [inaudible 56:23], is between 2.7% and 2.75%, and the ROE for the year should be upwards of 14%. That's what we're targeting.
Harshad Bhagwan: For the next year or there is a timeframe for that?
Anil Kothuri: Sorry.
Harshad Bhagwan: For the next year, upcoming year or specific timeframe...
Anil Kothuri: The current year, FY '25.
Harshad Bhagwan: For the current year.
Anil Kothuri: That's right.
Harshad Bhagwan: Okay. That's it from my side. Thank you.
Anil Kothuri: You're welcome.
Moderator: Thank you. Ladies and gentlemen, that was the last question. I would now like to hand the conference over to Mr. Shreepal Doshi for closing comments.
Shreepal Doshi: I would like to thank the management of Fedbank Financial for giving us the opportunity to host the call and would like to thank all the participants for being part of the call. Thank you all and have a good evening and a good weekend.
Anil Kothuri: Thanks, everybody.
Moderator: On behalf of Equirus Capital, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Oct 2024

(no extractable text — likely a scanned image PDF)

Call: Jan 2025

Secretarial Department

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January 30, 2025
Ref. FEDFINA/ CS/ 226/ 2024- 25
To,
National Stock Exchange of India Ltd.,
Listing Department
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex,
Bandra (E), Mumbai – 400 051 To,
BSE Limited,
The Corporate Relationship Dept.
Rotunda Building,
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai- 400 001

Re: Scrip Code: 544027, Symbol: FEDFINA

Sub: Transcript of Earnings Conference Call held on Friday , January 24, 202 5

Dear Sir/Madam,

Pursuant to Regulation 30(6) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended, please find enclosed the transcript of the earnings conference call which was held on January 24, 2025.

The transcript of the earnings conference call shall be uploaded on the website of the Company at https://www.fedfina.com/ under the sect ion ‘ Investor Relations ’ in due course.

The above is submitted for your kind information and appropriate dissemination.

Thanking you,

Yours Faithfully
For Fedbank Financial Services Limited

Rajaraman Sundaresan
Company Secretary & Compliance Officer
Membership No.: F3514

“Fedbank Financial Services Limited
Q3 FY '25 Investor Conference Call ”
January 24, 202 5

Management: Mr. Parvez Mulla – Managing Director & Chief Executive Director,
Mr. C.V. Ganesh – Chief Financial Officer,
Mr. – Jagadeesh Rao – Chief Business Officer (Gold),
Mr. Shardul Kadam – Chief Business Officer (Small Mortgage),
Mr. Amit Singh – Investor Relations .

Moderator: Mr. Shreepal Doshi – Equirus Securities .

Moderator: Ladies and gentlemen, good day, and welcome to Fedbank Financial Q3 FY '25 Investor Conference Call hosted by Equirus Securities. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing st ar, then zero on your touch -tone phone.

This conference call may contain forward -looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantee of future performance and involve risks and uncertainties that are difficult to predict.

I now hand the conference over to Mr. Shreepal Doshi from Equirus Securities. Thank you and over to you sir.

Shreepal Doshi : Thank you, N ivedita. Good evening, everyon e. Welcome to the earnings conference call of Fedbank Financial to discuss the Q 3 performance of the company and the business update. We have with us the senior management of the company represented by Mr. Parvez Mulla, MD and CEO; Mr. C.V. Ganesh , CFO; Mr . Jagadeesh Rao, CBO for Gold Business; and Mr. Amit Singh, Investor Relations.

I would now like to hand over the call to Mr. Parvez for his opening comments, post which we can open the forum for question and answer. Over to you, sir.

Parvez Mulla : Good ev ening, everyone. I would like to extend a warm welcome to all of you for joining the Q3 FY '25 post results earnings call. My name is Parvez Mulla, and I have recently assumed the role of MD and CEO of Fedbank Financial Services. I have been in the BFSI in dustry for over 30 years with my longest tenure being ICICI Bank. It is a privilege to talk to you today and share the update for the company. I joined Fed bank Financial Services in mid -November this year. And during the last few weeks, I have actively engaged with the key stakeholders.

These interactions included discussions with employees across various levels, Board members, investors, analysts and the regulator. Additionally, I had the opportunity to visit branches, meet customers, allowing me to und erstand our operations and on -ground realities. These experiences have provided me first impression insight into the strengths and areas to work on. FEDFINA, is an organization with a strong foundation built and majorly owned by Federal Bank backed by a strong and committed Board, a diversified investor base and a robust business model.

FEDFINA has a compelling mix of secured play with a wide geographical presence and a diversified product portfolio. I believe this organization has a lot of untapped potenti al, which represents an exciting opportunity. FEDFINA is predominantly focused on mortgages and gold loans, with a small portion of unsecured business loans. Our Gold loans, which constitute 38% of our AUM business continues to perform well, both on growth and profitability, aided by

increase in tonnage and rising gold prices. Our productivity ranks as one of the highest in the industry.

In our Medium Ticket LAP business, which constitutes about 24% of our AUM, we have built a stable business catering to customers with prime and near prime profiles, who require a loan against property. It is a scalable and profitable business and runs with a strong focus on execution and through direct assignment allows us income with low capital allocation.

On the Small M ortgages business side, However, there are a few short -term challenges that the company has faced and these have required our immediate attention. Our small mortgages business is experiencing a n elevated level of delinquenc ies. We have seen a delay and dro p in realization for deeper bucket NPA p

ool. However, we have identified the areas to focus on and are taking proactive steps to address them.

First, we have appointed our seasoned leader, Mr. Shardul Kadam as the new Chief Business Officer. Shardul has be en handling various functions in our organization since 2011, including setting up and growing this business in its initial stages.

Second, we have reviewed and refined our policies, tightened lending norms and migrated to a robust new business rule engine s supported by Salesforce as our loan origination system providing objectivity in decision -making at scale.

Third, in certain locations, our collection infrastructure has not kept pace with business growth, and we are strengthening our team from grounds up . Fourth, we are implementing product - specific collection structures and have onboarded a dedicated senior collection head for this business.

Fifth, towards enhancing resilience of our balance sheet as a one -time exercise, (a), we have

shored up our provis ions on NP As in the Mortgage portfolio; (b), undertaken a management overlay to factor for the increased delinquencies to take care of the delayed resolutions. We have also done our annual ECL refresh exercise in Q3 and taken additional provisions on that account. These conservative measures, we believe, will strengthen our balance sheet.
Our Unsecured business, around 12% of our loans has been sourced on an originate to sell construct. We have consciously slowed dis bursals in this product. And from a strat egic perspective at an entity level, we would be pivoting to a more secured construct, more than 90% to 95% and reduce emphasis on this product. We have taken additional overlays on unsecured book as a conservative measure.
These measures are crucial to addressing current challenges while fortifying our operational and risk management framework. I am confident that these decisive initiatives will not only resolve immediate issues but also position us for long -term growth, sustainability and value creation for all our stakeholders. With a clear focus, empowered team, a drive for excellence and tough

decisions, and we are confident in our ability to navigate this phase of rebuild and revive successfully . And bring in a period of predictable and consistent outcomes across the metrics of quality ROA and fostering sustainable growth.
Some of the business numbers are as follows: our AUM touched INR14,922 crores, seeing an accretion of INR704 crores in Q3, translating to a growth of 5% Q -o-Q, 39% Y -o-Y.
Mortga ge AUM reached INR7,581 crores and AUM growth of 5.6% Q -on-Q, 38.6% Y -o-Y.
Gold reached INR5,203 crores, and AUM growth of 5.4% Q -on-Q, 52.9% Y -o-Y.
Disbursals have clocked to INR4,395 crores in Q3 FY '25, up 31.4% Y -o-Y.
On the profitability side, our o perating profit has grown 30.9% Y -o-Y to INR144.6 crores. However, our net profit stands at INR18.8 crores in Q3 FY '25, down 71.3% Y -o-Y. This profitability impact is on account of a one -time elevated provision of INR75.5 crores. Mortgage gross Stage 3 st ands at 3.3% versus 3.2% Q -on-Q, and gross Stage 3 is largely stable at 1.9% at an entity level, the net NPA stands at 1%.
I will now hand over to Mr. C.V. Ganesh to take you through the business numbers and the provisioning details.
C.V. Ganesh: Thank you , Parvez. Thanks, everyone, for your participation on the call. While Q3 was a challenging quarter for us, sharing a few highlights. We commissioned 28 new branches in the quarter, including 2 1 in Gold Loans and 7 for Small Mortgages. This takes our branch strength to 693 branches.
Overall, AUM was INR14,922 crores as on December 31. This is up from INR12,200 crores as of April 1. In the 9 months ending December 31, our AUM has grown 22% in the first 9 months of this fiscal. Of this, Gold Loans and Medium Ticket LAP have grown 53% and 45% y

ear -on-
year, respectively. While Small Mortgages grew 32% year -on-year.
The Unsecured business loans AUM has grown 15% year -on-year. Currently, in terms of split, 51% of our AUM is in Mortgages, of which INR3,979 crores i s Medium Ticket LAP and about INR3,602 crores is Small Mortgage. Another 35% of the AUM is Gold Loans, which crossed INR5,000 crores in the quarter and ended December 31 at INR5,203 crores.
Our Gold Loan AUM per branch increased from INR10.7 crores per bra nch to INR10.8 crores per branch, in spite of the addition of new branches. And overall tonnage at an entity level was 10.7 tons.
Now to new loan origination. Our Medium Ticket LAP continued to clock high growth with disbursements of INR562 crores in the q uarter, up 65% year -on-year. However, there was a minor de -growth sequentially partly due to a slowdown in Bangalore due to the government mandating e -khatas of our property records and some challenges with respect to the same.

We have been tightening the policy and process around our small mortgage product. And this has resulted in a slowdown in new origination. New originations for the quarter came in at INR171 crores, a degrowth of 26% quarter -on-quarter. Quarter 3 is historically a weak quarter for gold. In spite of the above, our Gold Loan AUM grew by INR269 crores, which is 5.4 % sequentially quarter -on-quarter and 53% year -on-year.
As Parvez mentioned, strat egically, as we pivot to a more secured construct, we have gone slow on the unsecured business loans and have decelerated originations by 39% Q -o-Q to INR220 crores. On the P&L, our yields have increased by 20 bps, and we have been able to hold and

even im prove cost of borrowings in the quarter. As a result, our spreads have correspondingly grown 20 bps sequentially quarter -on-quarter.
Our net interest income is up at INR284 crores, which is a 7% sequential quarter -on-quarter growth and the 3 1% year -on-year growth. Our net total income is up 6% sequentially and 27% year-on-year. We were able to hold opex flat quarter -on-quarter at INR177 crores. We had a steady operating performance. Our pre -provisioning operating profit came off better at INR145 crores, whi ch is up 14.5% quarter -on-quarter and up 31% year -on-year. For the 9 months of this fiscal our pre -provisioning operating profit crossed INR400 crores, which is 40% up over the corresponding period of last year.
Now on credit cost. Our credit cost for the quarter stood at INR119.6 crores, which is about 4.2% of our average AU F. With this, the credit cost for the first 9 months of this fiscal stands at 2.4% of the average AU F.
Let me deconstruct this for you. We had elevated delinquencies in Q1, which persis ted in Q2. We have seen a continuation of the stress in some parts of the small mortgage book in Q3 also. Also, on the NPA pool, where we had seen a dry up of cash realization, we saw further de -risk in Q3, which has necessitated a re -evaluation of provisi oning on the pool.
Out of this INR119.6 crores, our core credit cost is only INR25 crores, which is 88 bps annualized. As we guided last quarter, we have our annual ECL refresh in Q3 of every year. So when we did this exercise, we got a P&L charge of INR19 crores, which is incremental provisioning on the entire stock of the loan book.
This, which happens annually, accounts for another 67 bps. We did a thorough evaluation of the NPA book and with a view to strengthening the balance sheet, have decided to do a onetime additional provisioning of INR75.5 crores which is another 270 bps. It is primarily made up of 2 parts.
There is a onetime additional provision on the NPA pool of INR57 crores. This is across our mortgage book and the residual book on construction finance. With this, we believe our NPA book is adequately provided for. We have also taken additional managem

ent overlays of INR18
crores, primarily on Stage 1 and Stage 2 lo ans in the Small Mortgage book.

On the GNPA, we have been able to hold our GNPA flat at 1.9% as a result of the additional provisioning on the NPA bucket, our net NPA stands at 1%, down from 1.5% in the last quarter. Consequently, our PCR on Stage 3 has moved up from 21. 9% to 4 5.2% as of December 31. The provisioning on Stage 2 has also gone up from 11. 6% to 12.8%.
On the treasury side, I'll break it up into 2 parts. One is on total borrowings and the second is on incremental borrowings. On a quarter -on-quarter basis, our weighted average interest cost has gone down by 4 bps from 8.7 3% to 8. 69%. This is the third quarter of consistent decline in weighted average cost of borrowing and has been facilitated by resets on our external benchmark linked borrowing book.
About 88% of our total borrowings are floating rate in nature. Of these 41% of our borrowings are external -linked benchmarks and another 47% are linked to MCLR. We added one new PSB lender to the relationship, and our total partners now stand at 41. On the incremental borrowing, our incremental cost of borrowing for the quarter was 8. 69%, 79% of the incremental borrowings raised, during the current fiscal are on floating rate benchmark, which should help us as rates start going down.
On the balance, which are fixed rate in nature also another 17% are of short term in nature and hence resettable on maturities. Consequently, our debt -equity ratio has also improved to 3.98% from 4.09% in September 30. During the quarter, the company continued to move for ward in its policy of deleveraging through co -lending and direct assignment of instalment loans. We added one new bank partner for Gold Loan CLM during the quarter.
Our AUM grew by INR704 crores. On the securitization side, we did INR302 crores of co - lendi ng, and securitized another INR486 crores across the mortgage book and the unsecured loans. Through this, we have been able to improve capital adequacy and improve our leverage position.
Currently our off -balance sheet book stands at INR3,471 crores, up fr om -- up 86% from INR1,864 crores in the previous year. Of this, Gold Loans held in partner books account for INR875 crores. Unsecured business loans securitized stand at INR554 crores and Mortgage Loans securitized accounts for INR2,042 crores. Our CRAR s tands at 21.6%, up from 21.4% in September.
Lastly, our shareholders' equity as of December 31 was INR2,464 crores, and our book value per share stands at INR66.1. With that, I hand it over to the operator for any questions.
Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Renish from ICICI Securities.

Renish : Sir, my first question is on the strategy side. So you did highlight about re -looking at some of the proces s in the way business is structured currently. So just wanted to know what is your sort of initial assessment in what areas we have to sort of restructure the process, etcetera? And does that require additional investment? And if yes, where do you see cost ratios settling down in near term?

Parvez Mulla : As far as my strategic thoughts are concerned, one is we want to look at capital allocation to high ROA -ROE businesses. So -- and clinically look at it. So if business loans is not giving us the ROE that w e want and if the appetite for sell -down is not there for business loans. We want to take a tough decision on it. And so be it, then we want to pivot on secured business construct. If the environment is not helping us make money on it. It doesn't make stra tegic sense for us to continue. That's why we're slowing down that business.

Second is if you look even in the secured business co

nstruct, we want to double down on our LAP and gold business. LAP includes our Medium Ticket LAP business and our Small Ticket LAP business. We would like to be known as a company which is doing LAP. First, there are many players who are doing home loans and also doing LAP. We want to be known as a company which is doing LAP first.

And our Gold business is doing well, and it is a twin-engine strategy, which we have communicated earlier also and it helps us to hedge constructively. Even in the Secured business side, we want to look at a mix of high yield and low yield. That is why we feel Medium Ticket LAP and a Small Ticket LAP, both go hand -in-hand, where one is a high yield, one is a moderate yield business. One is a moderate risk and the other is a low -risk business. So that gives us an adequate diversified hedge.

We also want to b e deep invested in collections, and that is where we were lacking. I personally believe we should have invested into collections. We want to be spending more money in terms of hiring people at the right strategic level as well as at the ground level. Colle ctions in lower bucket is very different from collection in a deeper bucket, especially when you are doing the affordable segment. We want to be deep invested, and there are models which have done well there.

At our opex side, we want to solve it by -- with the aid of tech. Obviously, you might not see it in the immediate. But directionally, we want to go there. We want to look at a frugal opex structure and which will encourage collaboration. So you will see by the next quarter, we telling you about our sy nergies between our gold branches and our Small Ticket LAP branches. Today, our Small Ticket LAP branches do business separately and our gold branches do separately. By next quarter or FY '26, you will see us not putting so much investment on the ST LAP br anches, but trying to do business through the gold branches. And we will pilot some successful models through the gold branches.

So more core business, less DA, overall, trying to focus on the quality of business followed by profitability and growth and tr ying to take these provisions so that we can make credit costs more predictable putting processes which will allow us to scale making processes as lean as possible. So the standard stuff, but focusing more on execution and getting the collaboration right.

Renish : Got it. So just a follow -up on that is that once we go through this part, there will be a lot of AUM mix sort of will change, where in Small Ticket LAP, Medium Ticket LAP or incremental will go at a faster pace, unsecured business will go at a slower pace . And of course, as you rightly mentioned, there will be investment towards collection infrastructure, etcetera.

So I mean, where do you see you want to achieve a steady state ROA after sort of restructuring everything? Or is there any thought b ehind that?

Parvez Mulla : No, definitely, there is a thought. See, if you look at our 3 businesses that I spoke about, our Medium Ticket LAP business, our Small Ticket LAP business or our Gold business. Our Gold business is a good profitable business, very execution focused. We've invested well in it. It is operationally run very, very efficiently. And we have a definite ROA glide path to that. And we are very happy with the kind of glide path that we are getting on our Gold business.

And that mix of Gold b usiness will always remain between 30% to 40%. So we will be between 30% and 35%, and sometimes it might go to 40% when we are trying to slow down on our BL

business. Our BL business in the next 1 year, you will see us reducing our contribution from 12% to 5%. And then slowly, it might slow down. So that is where the piece will be.
Our Small Ticket business, which is the Small Ticket LAP business, you will see us allocating more of o

ur resources and our some of our best people that side. You will see us foc using more on this business, putting in processes tech on this business so that we can scale this business. This business will grow at a much, much faster pace than all other businesses. But it will be grown with quality.
And that is why you have a seasone d leader who has handled risk as well as growth and Shardul who's coming in there comes with a risk mindset as well as a growth mindset. So the idea is to scale it. Today, initially, you will see higher growth in that business, which we are trying to be, but it will pivot to a decent growth rate once we put the processes in place once we put the tech in place.
And that is my only injured business. See one of the advantages of being in a diversified setup is you have 3, 4 businesses, then one business gets i njured, you have the other businesses taking care. But once this business picks up, this will be our pivot business.
And I personally think , if our business loans slow down, it might go down to 5%.
But in that ratio, you will see us putting our portfolio forward. Basically looking at quality then profitable sustainable growth.
Renish : Got it. Sir, just last question to Ganesh. So where do you want to keep the PCR? I mean, in this quarter, with accelerated provision, we've been able to improve our PCR to 40 %-odd. Now of course, this is a one -time exercise. But going ahead on incremental flows, you guys want to keep

PCR at 40% or let's say, typically, injuries in mortgage business is lower, maybe at around 25% , 30%. Gold literally is 0% or maybe 5%, 10%. So how does one see the PCR going ahead?
C.V. Ganesh: So thanks for that question, Renish. See our current PCR rises incidental to the provisions we have taken. Our ECL model has shown a rate of the impact of the ECL refresh exercise is INR19 crores. Now on top of that, we have taken a management overlay of another INR19 crores. Now that is based on the current empirical data, which we see with respect to our delinquencies.
If the delinquencies improve based on the investments we are putting on the ground, then there is a case for a revaluation of these provisions. Now on the PCR, it's not that we will stay here.
But what I can tell you is it will not be as low as it was in the past, but it will also not be as h igh it is as we are reporting for December 31.
Renish : Got it. would you like to guide us for a credit cost for next year?
Parvez Mulla : On the credit cost, Renish, I can assure you that in the Q4, we will keep it sub -1%. So this provision that we are taki ng is a one -time provision for this particular time. And Q4, we should normalize. And the idea of taking this one time is to get a predictability to the credit cost. There, you have to also understand that I am slowing down BL. And that credit cost BL is a part of my credit cost.
Almost -- I mean, if I have to give you some number about 20% to 30% of my credit cost comes from BL. So that is the piece. Once it goes slow down, you will see a far more predictable credit cost.
Moderator: The next question is fr om the line of Vivek from DSP Mutual Fund.
Vivek : Ganesh, thank you very much for giving the split between the various provision numbers, it was very useful. So I wanted to ask about the economic situation, especially in the s mall mortgage business , and yo u said there's elevated delinquencies in select pockets and delayed realization in deeper buckets NPAs. So my questions are , is there an income shock or are there specific geographies or specific clients who are facing this problem? And how is the situation on the soft bucket collection efficiencies in the same areas?
Parvez Mulla : See, Vivek, typically, I don't want to attribute it to the environment. We are in a secured environme

nt. The environment for unsecured is very different and secured is different. There could be inflationary pressures there. But our issue is our own operational issue. The provision that we are taking is because we were under invested in co llections. We personally believe the segment that we are operating in requires a constant touch with the customer, consistent engagement and proactive falloffs.
It is a collection intensive business . And that so I don't want to attribute it too much to the environment. There could be some factors of the environment definitely. And Shardul, do you want to add about the environment?

Shardul Kadam : Yes. So the way we've seen it in particular , the stress build -up has been in certain select pockets for a few states. See, the customer segment, which we deal with is typically an assessed income program. And these are relatively underbanked customers. So it's very important that we need to have the last mile collectio n reach in place, which, as Parvez mentioned, in some pockets, we are falling short of that because of which we've seen some flows.
And typically, after this kind of a customer has some 2 or 3 EMI spending, then obviously, the resolution, the rollback beco mes that much difficult. So in anticipation of that basis, our ground team feedback is where we prudently believe that we should shore up the provisions. Having said that, 96% of our borrowers are having self-occupied properties, I mean the properties whic h are mortgaged with us are self -occupied residential properties. And more often than not, these are the primary assets of these families.
So the way we look at it is, while there has been a shore -up in the provisions we will see resolutions subsequently c oming in here, but it may possibly get delayed as compared to what we've seen in the past. Hence, this particular shore -up.
Vivek : And now I can see the confidence that you all say about keeping the credit cost lower going forward because it's your own effort. The second is a more trickier question on this for Ganesh, with the bank -owned NBFC guidelines out there, are there any thoughts on the management of either yourself or your parent that you want to convey to us? That's the last question.
C.V. Ganes h: So thank you for that question, Vivek. So we have that deal in correspondence with RBI as have many of the other impacted parties as well. So broadly, the way we see it, the October 4 guidelines add 4 stipulations, okay? One is that the upper layer rest rictions will apply. The second is that you have to be listed. The third is that there will be no regulatory arbitrage in the NBFC. And the fourth is that you will follow rules and regulations applicable to loans and advances, that's applicable to banks.
Now we take most of those boxes, right? And for us, so what we have, again, I think the RBI letter is confidential. I can't speak much. But I think at the end, we already seem to be at much of the end state there, which is why the -- if the destination is w here we are, then we have possibly a reason that maybe there is an opportunity to relook in terms of the differential niche, the priority sector segment we lend to.
And we are confident RBI will apply in mind. As of now, they are interacting in a construct ive manner. So we'll keep our fingers crossed.
Parvez Mulla : Yes, Vivek, but just to add there, see, this is a space where the regulator will take the final call. and we are cognizant of that. And as a regulated entity, we have represented our side of the story, and we are hopeful that the regulator will look at it because we are a listed entity. And there are certain challenges of a listed entity going through those things. So it is a representation, a representation both from our parent as well as from us and we are seeking the regulators' exception for this.

And we believe that we have a case for representation. We strongly believe we have a case for representation.
Moderator: The next question is from the line of Shubhranshu from PhillipCapital.
Shubhra nshu : I just have 2 questions. The first one is around this change in the mix that we spoke of just a bit earlier that was not very clear to me? Second is that is there a regulatory pressure to change Gold Loans from a bullet repayment product to an EMI product, which could be yield mitigating?
Parvez Mulla : So the mix that we have today is in our mortgages business, mortgage occupies about 50% of our AUM. So 25% is Medium Ticket LAP, Small Ticket LAP is about 25%. And about 35% to 38% is gold and about 1 2% to 15% is our Business Loans piece. The only piece which we are changing there is busin ess loans, we are slowing down.
So you will see the percentage contribution of business loans going down from 15% to 10% then slowly to 5%. And that additional incre ase will, for the short term might go towards gold, but eventually, it will go towards a small -ticket LAP business. So you will slowly see small -ticket LAP business occupying more percentages and business loans occupying lesser percentage. That's the mix c hange. As far as gold is concerned...
C.V. Ganesh: Is there a regulatory pressure to move to a non -bullet was the question.
Parvez Mulla : No, there is no regulatory pressure to do that, although the regulator has issued guidelines in terms of how Gold Loan companies as well as NBFC is doing gold, have to follow those regulations. And we also have had a Gold Loan audit, and we have successfu lly complied with most of them. Wherever we had certain concerns , we engaged with the regulator and the

regulator clari fied to us, and we complied with it.
So we are on complete sync with what the regulator wants and we have complied with most of the pieces on the Gold Loan side, including the LTV piece, which the industry was interpreting it differently. But as of 1st Ja nuary, we have complied with the regulator has said that we should maintain it completely at a sourcing level, we have reduced our LTV.
Shubhranshu: So Gold Loan won't become an EMI product in the future. Is that a fair understanding?
C.V. Ganesh: So basic ally, we do a mix, Shubhranshu. It's not that we don't have the EMI product. I think the limited answer was that there is no regulatory pressure. In fact, we had an annual RBI inspection for the last 2 years, which happened for us about 2 months ago. And w e have had a very satisfactory outcome.
So I think RBI pretty much is giving us the freedom to choose. And we are very clear of what RBI wants us to do, and we will adhere but there's no product construct level stipulation being guided by the regulator.
Moderator: Thank you. The next question is from the line of Chirag from Fast Water . Please go ahead.

Chirag: So I just wanted to ask regarding, let's say, in the next 2 years, where do you see the cost to income, ROA and ROE, just wante d to know your guidance on that?
Parvez Mulla : Chirag, I would like to jump on that question, but if you could give me Q4 to give you those numbers , because I'm right now guiding on the credit cost for Q4. Directionally, I can tell you that FY '26, you will see us drivin g cost to income. There is a definite number in our head where we want to chase an ROA, ROE for FY '26, but it will be too early for me to give you that number right now.
C.V. Ganesh: So Chirag. I think the point being made here that we will be agile and n imble and calibrate our strategy according to the environment. I think that's what we are saying. We have very clear large numbers in our minds but we will go one quarter to another in terms of that number.
Moderator: The next question is from t

he line of Pranav from Aionios Alpha Investment Manager. Please go ahead.
Pranav : Just a couple of questions. One clarification for Ganesh, sir. So you mentioned the breakup of credit costs were INR75 crores is -- about INR75 crores is onetime and or INR19 crores is for the management overlay. But the math is sort of not adding up, maybe you can clarify or maybe I misunderstood it? So that's the first bit.
C.V. Ganesh: Yes. And I'll just maybe -- just I'll make sure that I clarify appropriately. So our total credit co st was INR119.6 crores. Of that, the core credit cost was INR25 crores, which will be normalized credit cost for the quarter. The annual refresh exercise we did, the ECL refresh exercise which we do once a year, right? Now in light of the elevated delinque ncies, we had, it led to an increase -- and that we do on the entire stock. So that led to an additional charge of INR19 crores.
Now that leaves INR75 crores. Now that INR75 crores, so both of these are normal. So I wouldn't call the ECL refresh also as a onetime because that anyway we are supposed to do annually.
Now apart from this, what we did, that INR75 crores is the onetime element. Out of the INR75 crores, the INR57 crores was towards the NPA pool where we have taken up provisioning and there is another INR18 crores has been on account of management overlays across the small mortgage and the unsecured business loan book.
Pranav : Understood. Now that's clear. So the second question is on the opex, while obviously the guidance that you would want to gi ve us probably next quarter. But just qualitatively, Parvez sir, you mentioned that you want to take -- you want to get more synergies out of the gold branches wherein more LAP bu siness can happen through those?
Could you just give us a qualitative sense of a few of the things that you think are low -hanging fruits where you can reap benefits on the cost side probably through '26, not asking for any numbers , but just qualitative guidance?

Parvez Mulla : See, qualitative wise, you can look first is the BL c onstruct. There will be an opex, which will change there. Second, as I told you, we will look at gold branches and not putting the MSME branches or very few MSME branches is the second construct, which we look. Third is we will look at manp ower wherever we can use, I mean there is an industry which is using the apprentice model, and we want to explore that model in certain functions, and that is where we personally believe there could be a cost saving.

Technology , there is an investment of technology, which we have done on the MSME side, and there is a digital flow, which is happening and which will give us certain process efficiencies once we start scaling our Small ticket LAP business. Next quarter, we should implement sales force on the LAP business. We will also reevaluate certain branches, which are not giving us the revenue, or if the cost to income is not correct in certain bra nches.
So we will look at that. We want to look at frugal construct when we are constru cting the ST LAP business and when I told you that Shardul is coming in, Shardul is also looking at the kind of construct that is there in the ST LAP business and the kind of cost to income that we are incurring on the ST LAP business, he's looking at everything there, including incentives , including the tenure yields where we can get the better cost to income.
So you will also see -- One is, obviously, the back office lift, but a productivity lift on the individual businesses also will give us certain pieces there. We will also explore so me synergies, which we can get with certain partners, which should give us another upside. So these are broad level thoughts, but I will be able to articulate it to you in a more constructive manner. But there are opportunities for us to take it direc

tiona lly with the number that we have in mind.
Pranav : Fair enough . That's pretty useful. The last question, sir, on credit costs. But obviously, again, you mentioned that maybe guidance is something that you will look at in the fourth quarter for FY '26. But a gain, looking at all of the changes in terms of tightening of underwriting standards and imposing correction infrastructure i n the Small Ticket LAP business?
On a more longer term basis, where do you want this business to settle? Because if you look at what was guided to us earlier, we were looking at about 75 to 80 basis points. But with this improved construct, is it fair to assume that the steady state credit costs for this business once the dust settles, could be a lower number than that?
Parvez Mulla : See, as I told you, even with my business loan construct, I'm telling you that by Q4, we will try and do our sub -1%. And then in that sub -1%, I'm telling you that my BL is there. And my BL as a construct will slowdown. And that is almost 20%, 30% of my cr edit cost today. So it will come to the number that you have in mind.
Moderator: The next question is from the line of Aditya from Bandhan Mutual Fund. Please go ahead.
Aditya: I had a question. So in last quarter, you had mentioned that there is some stress in our Small Ticket LAP book. This quarter, we have built a contingent provision to manage that stress. So I

just wanted to understand what are the possible reasons for this stress? And like are these the same as the reason s for the microfinance players?
And what time could it take for this to normalize? Because this is a secured product and the level of stress that I'm expect ing should not be as high as other unsecured products. So what is your outlook on this loan book right now?
Shardul Kadam : Yes, Aditya. I'm Shardul, I'll want to take this call. So first of all, the customer segment, which we deal into does not have so muc h offer an overlap with the micro finance segment, because my average ticket size is ranging at about, say, INR13, INR14 lakhs. So we're talking about the collateral, which is mortgage is roughly in the range of about INR25 lakhs to INR30 lakhs of a proper ty
And we've done our checks also through the bureau scrubs. So we are really not seeing too much of an overlap in the MFI segment. We do have our borrowers who have taken unsecured loans elsewhere. But then again, a large portion of them continue to rem ain current with us or less than 30 DPD, though there may be deeper buckets with unsecured loans.
And we remain watchful on those accounts from a potential stress build. But because, as I said earlier, that 96% of our collaterals offered are self -occupied residential properties. To that extent, we believe that while we may see delays in our EMIs, but ultimately, we should be able to get our monies back.
Now to address as to what has been the reason for the stress. So clearly, this is a relatively underbanked customer segment. So it's important that your last mile collection reach also needs to be in place because the price of our mortgages roughly in the range of about 17%, 17.5% kind of yields.
That is where, in some pockets, we found that we wer e not adequately capacitized on collections, which resulted into certain flows, and we're taking corrective actions in terms of strengthening our collection infrastructure grounds up.
Aditya: So if there's no like issue with the borrower capacity. So this should normalize within next how many quarters?
Shardul Kadam : So the way we are looking at it is, see, there has not been any systemic risk as such, which you're seeing. I mean there have been delays on the borrower side, yes. The sense what we get from the ground is wherever we felt that there was a reason to shore up of provi sions, I

think we've
done that.
The way we are looking at it is with the collection infrastructure falling in place, we already got a dedicated collection head onboarded and we're putting a structure under him. So by Q1 is where we should start seeing a good pull back.

Moderator: Thank you. That was the last question. I will now hand the conference over to Mr. Shreepal Doshi.
Shreepal Doshi : Thank you, everyone, for attending the c all, and thanks to Fedbank Financial Services Management for giving us the opportunity to host this call. Thank you, everyone, and have a good weekend. Thank you.
Moderator: Thank you. On behalf of Equirus Securities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: May 2025

Secretarial Department

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May 06 , 2025
Ref. FEDFINA/ CS/ 15/ 2025 -26
The Manager ,
Listing Department
National Stock Exchange of India Ltd.,
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex,
Bandra (E) , Mumbai – 400 051

SYMBOL – FEDFINA The Manager ,
Department of Corporate Services ,
BSE Limited ,
Rotunda Building,
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai - 400 001

Scrip code: 544027

Sub: Transcript of Earnings Conference Call held on Tuesday , April 29 , 2025

Dear Sir/Madam,

Pursuant to Regulation 30(6) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended, please find enclosed the transcript of the earnings conference call which was held on April 29 , 2025 .

The transcript of the earnings conference call shall be uploaded on the website of the Company at https://w ww.fedfina.com/ under the section ‘ Investor Relations ’ in due course.

The above is submitted for your kind information and appropriate dissemination.

Thanking you,

Yours Faithfully
For Fedbank Financial Services Limited

Rajaraman Sundaresan
Company Secretary & Compliance Officer
Membership No.: F3514

Encl : As above

Fedbank Financial Services Limited
Q4 FY'25 Earnings Conference Call ”

April 29, 2025

Management : Mr. Parvez Mulla – Managing Director & Chief Executive Officer ,
Mr. C.V. Ganesh – Chief Financial Officer ,
Mr. Shardul Kadam - Chief Business Officer (Small Ticket Mortgage) ,
Mr. Jagadeesh Rao - Chief Business Officer (Gold Business) & CMO,
Mr. Suresh Kumar - Chief Business Officer (Medium Ticket LAP &
Business Loans)

Moderators: Mr. Shreepal Doshi - Equirus Securities

 Moderator : Ladies and gentlemen, good day and welcome to Fed bank Financial Services Limited Q4 F Y'25 Earnings Conference Call hosted by Equi rus Securities.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation conclude s. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.
This conference call may contain forward -looking statements about the Company , which are based on beliefs, opinions, and expectations of the Company as on the date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.
I now hand the conference over to Mr. Shreepal Doshi from Equirus Securities. Thank you, and over to you, sir.
Shreepal Doshi: Thank you, Manav. Good evening, everyone. We welcome you all to the earnings conference call of Fed bank Financial to discuss the Q4 Performance of the Company and the Business Update .
We have with us Mr. Parvez Mulla , MD & CEO of the Company , along with other senior managem ent. I would now like to hand over the call to Mr. Parvez for his opening remarks, post which we can open the forum for question -and-answer. Over to you, sir.
Parvez Mulla: Thank you, Shreepal . Good evening, everyone. I would like to extend a warm welcome to all of you for joining the Q4 FY'25 and the full year FY '25 Post Results Earning Call .
I am joined by our CFO – Mr. C.V. Ganesh ; our Chief Business Officer for Small Ticket Mortgage Business – Mr. Shardul Kadam ; our CBO for Gold Business and CMO – Mr. Jagadeesh Rao ; our CBO for Medium Ticket LAP and Business Loans – Mr. Suresh Kumar.
When we connected during our last quarter earnings discussion, I had briefed about our performance and highlighted certain challenges that required our immediate attention.
Elevated delinquencies in the small mortgage portfolio, collection infrastructure lagging behind business growth.
Furthermore, in the interactions, we had listed down our priorities ,
We will allocate capital to high RO A/ROE business , and
Slow down the BL business and move to a more secured construct ,
We will double down on our twin engine strategy of gold and LAP business es,
Within LA P, we will focus on mix of high yield and lo w risk businesses,
 To address the delinquencies, we would be investing in strengthening our collection infrastructure,
We had then appointed new leadership to rebuild our ST LAP business,
We will scale our MT LAP business with a focus on on-book and direc t assignment,
Try and keep the credit costs up 1 % in Q4 FY '25,
We will get more core income and less er DA income .
With respect to these priorities, we have t he following updates in Q4 FY25,
Senior leadership has been put in place in collections.
We have verticalized the collection structure to bring focus at product level. The middle layer and field level hiring is in progress and we expect to complete it by Q1.
We have added resources in call center to optimize the early bucket collections and pre-delinq uency management and added resources in litigation team.
On the small ticket LAP business side, as announced, we have a CBO in place. We are in the process of strengthening the middle management as well as the frontline team. We expect to complete substan tial part of the exercise by Q1.
As mentioned in Q3, the business has fully migrated to Salesforce and the new origination is happening through evolved BRE, requisite changes have been carried

out in the policies and operating guidelines. With

the new pro cesses in BRE, our small
ticket LAP disbursals for Q4 touched Rs. 270 crores, a growth of about 58 % quarter -on-quarter. We still have to reach our full potential here.
We are in the rebuild phase in both ST LAP and collections and you will find us updating you over the next few quarters. In these two verticals, you will see stability in the numbers post the rebuild phase.
In the gold business, we had a fantastic year and quarter with our AUM growing 48 % YOY aided by tonnage growth 18 % YOY. Our LTVs on AUM s tand at 66%. Our doorstep gold loan initiative has paid off really well. We have more than doubled our doorstep gold AUM in FY '25 and touched 15 % of the total gold AUM.
The MT LAP business, the medium ticket LAP business, scaled up handsomely while mainta ining stable yields.
Our credit cost for Q4 is at 1%.
While we have taken focused corrective actions, we do expect some flows to come in in the near term, but normalized by the year end. With the continuous strengthening of collection and
 focus ed executio n, we believe we are well positioned to manage these risks effectively. We expect normalization to set in by the year end paving the way for more stable and predictable credit performance going forward. While we are focusing on rebuilding our ST LAP busine ss in collection, our Gold business and LAP business have scaled up on the back of productivity improvements and give us confidence as we enter the year. Some of the key business numbers for the quarter are as follows.
Our AUM touched Rs. 15,812 crores an d accretion of Rs. 889 crores in Q4 translating to a growth of 6 % quarter -on-quarter and 29.7 % year-on-year.
Gold reached an AUM of Rs. 5,880 crores , a growth of 13 % quarter -on-quarter, 48.1 % YOY. Tonnage growth for the year came in at 18 % YOY reaching 11.3 tons. We have added 35,000 new customers in Gold loans during the quarter.
Mortgage AUM reached Rs. 8,062 crores , an AUM growth of 6.5 % quarter -on-quarter , 29.7 % YOY. Disbursals of Rs. 5,578 crores in Q4 FY '25 up 26.9 % Q-on-Q and 28.6 % YOY.
On the profitability and asset quality side, our net interest income grew 34.6 % YOY to Rs.283.4 crores. Our operating profit grew by 20.9 % YOY to Rs.131.2 crores .
Our gross stage 3 stands at 2 % versus 1.8 quarter -on-quarter . A credit cost for the quarter stood at 1% versus 0.7% last year. Our net profit stood at Rs. 71.7 crores in Q4 FY '25 up 5.9 % YOY .
I will now hand over to Mr. C.V. Ganesh to take you through the detail ed numbers.
C.V. Ganesh: Thank you, Parvez. Thanks everyone for your participation on the call. While Parvez covered the quarterly metrics, let me share some highlights on the year gone by.
Overall AUM was Rs. 15,812 crores as of March 31, 2025. This is up from Rs. 12,191 crores as of April 1. So AUM has grown 30 % in this f iscal. And this is in spite of the discontinuation of new originations in our unsecured business loans. Out of this growth in AUM, gold loans have grown 48 % year-on-year from Rs. 3,969 crores as of March 24 to Rs. 5,881 crores.
With this, gold now constitutes 37 % of our AUM. Our medium ticket LAP grew 44 % year-on-year from Rs. 3,045 crores as of March 24 to Rs. 4,394 crores as of March 25. Medium ticket LAP now constitutes 28 % of our AUM.
Our small mortgage businesses had challenges during the year. However, it grew 16 % year-on-year in spite of those challenges, up from Rs. 3,173 crore s in March 24 to Rs. 3,668 crore in March 25. This business now constitutes 23 % of our AUM. Our unsecured business loan AUM de-grew 9% year-on-year from Rs. 1,826 crore s as of March 24 to Rs. 1,656 crores as of March 25 and now constitutes under 10 % of our AU M.
On the gold side, the gold AUM per branch increased from Rs. 9.1 crore per branch at the beginning of the year to Rs. 12.1 crore per branch at the end o

f March 25 . This is a growth of
 34% year-on-year. Also, overall tonnage grew 18 % year-on-year from 9.5 tons as of March 24 to 11.3 tons as of March 25.
We continue to realign our policy and processes around our ST LAP product. New originations gathered pace in Q4 and have grown to Rs. 270 crore, about Rs. 100 crore more than what we originated in Q3.
We had mentioned in Q3 that as we pivot to an even more secured construct of the balance sheet, we are going slow on the unsecured business loan s and have decel erated originations.
Consequently, in Q4, we have not originated any material new business in unsecured loans. This

compares to Rs. 220 crore in Q3.
On the NIM and spread, on a daily average basis, our yields have increased by 43 bps over the fiscal. Whil e on an average, our cost of borrowings have gone up by 30 bps. Consequently, we have seen a pure spread expansion during the year of 13 bps.
Our net interest income for the full year FY '25 was Rs. 1,071 crores and grew 32 % year-on-year.
Our net total inco me at Rs. 1,226 crore is up 30 % year-on-year.
OPEX grew 28 % year-on-year. Consequently, our pre -provisioning operating profit for the year grew 32 % year-on-year to Rs. 520 crores .
Credit costs for the full year came to Rs. 216 crores at 1.8 % of average total assets compared to 0.7% in the previous year.
Consequently, our ROA has come in lower for the full year at 1.8 % compared to 2.4 % in the previous yea r.
On the treasury side, we continue to have ample access to funds. On a quarter -on-quarter basis, our weighted average cost of borrowings has marginally gone up by three basis points from 8.69% to 8.72%. And this is primarily due to MCLR linked interest resets on existing borrowings. Our incremental borrowing cost continues to be less than this. About 89 % of our total borrowings are on floating rate. Of these, about 47 % are linked to MCLR and the rest are external benchmark linked. During the quarter, we added one foreign lender to the relationship. This takes our total relationships to 42%.
Our debt equity ratio has marginally increased from 3.98 in December to 4.03 as of March. On the capital conservation strategy, the Company continues to move forward in its policy of deleveraging the balance sheet through co -lending and direct assignment of installment loans. And we have multiple partners for the same.
During the quarter, our AUM grew by Rs. 900 crores. We moved Rs. 787 cror es of loans off book which constituted a DA of Rs. 531 crore across the mortgage book and a CLM of Rs. 256 crores on the gold loan book. Through this, in spite of growing AUM at a rapid pace, we were able to improve capital adequacy levels by 30 bps from 2 1.6% to 21.9%.
 Our off balance sheet book as of March 31, 25 stands at Rs. 3,973 crores, up 75 % year-on-year from Rs. 2,276 crores in the previous year. Of this, gold loans held in partner books accounted for Rs. 1,131 crore, unsecured business loans secu ritized stood at Rs. 440 crores and mortgage loans accounted for Rs. 2,408 crores.
Our shareholders' equity as of March 31, 25 was Rs. 2,547 crores up from Rs. 2,464 crores in December 24. Our book value per share rose to Rs. 68.31 as of March 31 , 25 up from Rs. 66.1 in December 31 , 24.
With that , I hand it over to the operator.
Moderator: Thank you very much sir. We will now begin the question -and-answer session. Anyone who wishes to ask a question may press '*' and '1' on their touchtone telephone. If you wish to withdraw yourself from the question queue, you may press '*' and '2' . Participants are requested to use handsets only while asking a question. Ladies and gentlemen, we will wait for a moment while the question queue assembles. We have our first question from the line of Renish from ICICI. Plea

se go ahead.
Renish: Hi, sir. Congratulations on a good set of numbers. Sir, just two things, one on this strategy front We have always been sort of highlighting that the s mall ticket LAP Gold loan will be a road driver. And the rest of the products will be used as a cross -sell or enabler for customer acquisition . But when we look at 4Q, MT LAP has actually outpaced small ticket LAP growth. We just wanted to understand, is there any sort of change in strategy or this may be to offset, the kind of we are going through a rebuilding phase in S T LAP and hence we are just grabbing the opportunity wherever it is possible. How one should look at this?
Parvez Mulla: Hi, Renish. Than k you so much for that question. Renish, the strategy remains same. The strategy is to focus on the ST LAP business and the gold business together. We have always articulated our twin -engine strategy. And last time also, I reiterated that we will be focusing on our ST LAP business and gold business and our gold business growth has come in on tonnage growth as well as price growth and it is healthily growing. There is an opportunistic growth there. But our ST LAP business, if you see, we had mentioned that we are going through an injury there and in Q3 I had mentioned about the challenges which we went through in disbursals and from there the dis bursals have picked up. We are augmenting in terms of our resources also there. So you would have seen over t he last quarter the disbursals have picked up. Our objective is to keep on picking up the disbursals on ST LAP side so the focus is completely there. In fact, I had also mentioned to you about synergizing between the ST LAP business and Gold business. We w orked out a plan there too where in the next year you will see us using both these branches or co -locating these branches and sourcing these businesses together from the same branch. So the strategy remains same. You will see us seeing the growth in the ST LAP business will be

substantial there. Right now , while we are going through the rebuild phase, you are seeing those mixes going slightly differently, but overall at the year end and next year you will see all these numbers falling in place.

 Renish: Got it. It is very clear sir. And secondly, again on the asset quality front, of course, sort of in line with our expectation given the flows has largely came from this small ticket LAP . Now when we look at 1 % credit cost in sort of Q4, F Y'25, how do you see t his credit cost settling in F Y'26. I mean, given again the rebuilding phase in small ticket LAP , do you expect those to increase or sort of it will remain where it is currently and then maybe even in second half of '26 that will come down? I mean, how one should look at this 1 % credit cost moving in F Y'26?

Parvez Mulla : Yes, Renish, again, last time I had given you a broad idea about how I looked at that business. And that time had seen it through a shorter duration. I have had a longer duration to look at that business. And the way we see that business, we are very, very bullish on it. There is that elevated level of delinquency in one plus , which you have seen last time. The Stage 2 also you will see elevated this time. So there are likely to be flows in t he quarters coming and we see those flows coming in the next two quarters. And thereafter I am seeing a plateau and then by year end we will normalize. But as far as the credit cost is concerned, I am expecting it to stay around 1 % plus or minus 10 bps. So I am seeing the credit cost hovering around that range .

Renish: It is very helpful, sir. Thank you and best of luck, sir.

Parvez Mulla : Thank you so much, R enish.

Moderator: Thank you. We have our next question from the line of Vivek Ramakrishnan from DSP Mutual Fund. Please go ahead.

Vivek Ramak

rishnan: Thank you and congratulations on a very strong comeback. Sir, my questions are as follows. I will just ask them in sequence. First, you said that you are going to look at lower risk but higher yielding ass ets. It almost seems too good to be true. So where is the big change that is happening in terms of those kind of products? And in business loans, would you face any challenges in collections given the fact that they have slowed down the business? That's qu estion number one. Question number two is there has been a positive opening up of operating income being greater than operating expenses growth. And that is a very positive trend. So do you expect that to continue given the fact that you have to make inves tments in the next year also? Lastly, Ganesh, sorry to annoy you with the same question, but is there any clarification on the RBI guidelines for bank on investing? Those are my three questions. Thank you.

Parvez Mulla: Thank you so much , Vivek. Vivek , I will just rephrase or in my opening statement I said that within LAP, we will focus on a mix of high yield and low risk businesses. Our small ticket LAP business is a high yield business and our medium ticket LAP business which we do at a lower yield is the low risk business. Both these businesses for us are important as a bouquet for LAP , loan against property. We are one of the few companies which does loan against property as a first proposition. There are many other players who do home loans as a firs t proposition and also do loan against property. So that is why we double down on inside LAP. We do both these businesses. And our small ticket LAP business, we are picking up and the growth there is going to be substantially higher coming from where we we re in Q3. We are picking that up, but in the next year and year after that, you will see growth there. Our medium ticket LAP business has

 seen many cycles, and it has gone through multiple weathers, and we believe that it has weathered those storms for the yield and the kind of underwriting pra ctices that we do there. As far as the BL business is concerned, it is, we mentioned that we are slowing it down and we factored in the apprehension that you said and considering all that, we are still saying that we are expecting the credit cost to stay around 1%, plus or minus 10 bps. There is a n expected rundown of the book that we have and there are certain focused collection efforts that we are doing on the BL side. The reason why we did the BL decision was to mov e to a 100% secured construct. If you remember, we said that our BL business was not giving us the ROE that we were expecting. It was a DSA run business. It was not fitting with our strategy. And we felt it was a strategic decision for us and the board sup ported us. And we believe that is the right way to do it and we will manage the credit cost within that range while doing this BL slowdown.

Your third question was on the RBI guidelines. We had apprised regarding our stance on this. There is no change betw een Q3 and Q4. Our representation which we had sent in Q3 still remains the same and we are hoping that the regulator looks at it with a different eye because we are a listed entity. There has been a representation both from our parent and from our side. T here are a few other companies which are in a similar board like ours because we are a listed entity. And we are expecting the regulator to look at our representation and then come out with the draft guidelines further or finalize those guidelin es. So we s tand at status quo.

Third piece, CVG, you want to pick that up? Operating income. I lost the que stion.
C. V. Ganesh: Vivek, again, thank you for the question. See, on the OPEX side, we are confident that we will be able to keep the core OPEX stable to redu cing. And again, this intertwines with another quest

ion of yours. On the gold loan side, where we see opportunities and fantastic tailwinds to grow a 19 % plus yield business with negligible credit costs. I think all hands are on the table there. So we are seizing every opportunity we can get. And it may mean lesser distractions in terms of something else we were doing, but that it makes sense there. So to add to that question in terms of OPEX , if we see opportunities there to expand our coverage, we will no t hesitate. The idea is to be agile and not choose any particular metric.
Vivek Ramakrishnan: Thank you very much and wish you all the best.
C. V. Ganesh: Thank you , Vivek.
Moderator: Thank you. We have our next question from the line of Ajit Kavi from BNP Paribas. Please go ahead.
Ajit Kavi : Hi. Thank you for taking my question. I just want to ask you a few questions of provisioning expenses which are reported in P&L. The number is around Rs. 32.5 crore , out of which standard stage 3 ECL provision write back has happened around Rs. 11 crore. So in this you know that pro forma calculation I can find that there was around Rs. 40 crore of write -off was made , can you explain about it and what the Rs. 40 crore write -offs have done also ?
 Parvez Mulla: Ajit, I am sorry I cannot relate to the numbers you are mentioning .
Ajit Kavi : I am telling you . See, the total credit cost was around Rs. 32 crore where in stage 1 and stage 2 ECL provision , there was something provision built up of around Rs. 4 crore and in ECL 3 I can find, you know there was provision write back has happened of around Rs. 11.4 crore because earlier the ECL stage 3 provision was around Rs. 106.9 crore which came to Rs. 95.5 crore . Did you get it in Q4 , so there was around Rs. 11.4 crore of write back has happened in ECL stage 3.
Parvez Mulla: Ajit, I am sorry, I am still unable to relate to the numbers. Why do not we, on this particular question.
Ajit Kavi : Can you tell me about the writ e-off numbers of this quarter?
Parvez Mulla: We have not done any write -off in Q4. If at all you have any questions on this particular point, please connect offline. We will happy to provide you.
Ajit Kavi : My second question is how you are seeing the net interest margin going forward?
Parvez Mulla: Ajit, we expect the net interest margin to be stable. As I said, so in the last call, we had highlighted that we will reduce the amount of DA income proportion in our earnings and focus more on core earnings growth. We will continue on that path. As I articulated, we have a large proportion of our borrowings which are on floating rate, which gives us confidence to maintain stability in margins on a continued basis.
Ajit Kavi : Thank you. These were the questions from my side.
Moderator: Thank you. We have our next q uestion from the line of Sneha Gan atra from Star Union. Please go ahead.
Sneha Ganatra: Hello, just wanted to know what is your plan for the branch expansions and the employee total count on the employees decline on quarter -on-quarter basis. And if you wou ld like to share any ballpark number on the growth you are planning to achieve for the next 2 to 3 , any just rough cut numbers also on the growth side ? And what are the expectations on the cost of funds considering we are into the declining interest rate s cenarios? These are four questions from my side.
Parvez Mulla: So Sneha, just to rephrase, you asked on cost of funds, employee count, and the first was on branch expansion, right?
Sneha Ganatra: Branch expansion and the loan growth, if any numbers you would like to share with us. Just ballpark number.
Parvez Mulla: Yes. So Sneha, thank you. On the branch expansion side, we will look at the opportunities going in quarter one, and we should be able to update by quarter one. And as far as the AUM growth is concerned , see, we already have bu

siness loans in our base. So if you take that in the base,
 then you will see around 12 % to 15 % growth. If you remove that from the base, you will see about 25 % to 30 % AUM growth is what we are targeting. On the employee c ount side, yes, there has been reduction. And we are working over the next year on the OPEX side. There are some things which I had articulated last time in my last call. There will be work which we will be doing on the manpower side, on the technology sid e, and on the premises side , trying to optimize and see what is the trajectory we can take there and specific initiatives which we want to do. But

as CVG said, we will be investing for growth, investing in for collections and we will be opportunistically l ooking at branches . But if we do look at branches , you will see us trying to synergize between the MSE branches and our gold branches . So there will be an effort to synergize these two not only in terms of cross -sell but trying to co -locate them . So by quarter one I should be able to give you some specific updates in terms of what we doing there and how we want to scale that up . And your question , CVG , on the cost of funds?

C.V. Ganesh: Yes. So Sneha, on the cost of funds, as I said, we intend to reduce the proportion of DA income contribution to the net interest income gradually. I think the reduction in cost of funds should help us cushion that journey and which is why we guided on a constant spread. That's where I leave it.

Sneha Ganatra: One more question regarding the mention of the Doorstep Initiative, which has been forming around 15% of the Gold AUM. Any internal target that you would like to achieve on that, or just maybe focusing more on this new initiative of the Doorstep i nitiative? Can you just highlight further on that front?

Parvez Mulla: Sneha, there is a disturbance, so I'll just rephrase the question you were asking about are Doorstep gold loan i nitiative, right?

Sneha Ganatra: Right.

Parvez Mulla: Yes, so this Doorstep gold initiative for us is a very, important initiative. We have scaled it up this year and over last year. It's a very, very targeted scale up. Today it has touched about 15%. We want to, our branch led gold business has grown handsomely and the doorstep gold business has grown more handsomely than the branch business. That is why you've seen the percentage increase. In the next one year to two years, we want to take it up by 3 % or 4% points. That means you will see that 15 % number going to about 18 % to 22 % in the next one year to two years. So you will see that business growing much faster than our branch business, and our branch business will equally grow faster. But as I'm saying, the percentage composition of doorstep will increase. So it's a focused effort from our side.

C.V. Ganesh: So I'll add to that, Sneha. See, the Doorstep gold loan business in absolute grew by 500 basis points in terms of share, from about 9.6 % to about a little under 15 now. Now, what we are also cognizant of is the increasing amount of RBI circulars and draft circulars coming around gold loans in particular which is why we will watch how this evolves and then we will be able to give a better guidance.

 Sneha Ganatra: Okay, got it. Thank you and all the best.

C.V. Ganesh: Thank you.

Moderator: Thank you. We have our next question from the line of Mayank Mistry from JM Financial . Please go ahead.

Mayank Mistry: Yes, hi sir. My question is on the gold loan book. So you just highlighted that the gold loan growth is now currently driven by the risin g prices of gold. But even then our LTV is so high at 72% like we are running on the edge at 75 % regulatory requirement. So I mean how are you evaluating the LTV against such a high LTV agai

nst the gold loans ? That is my question , sir.

Parvez Mulla: Yes, so Maya nk, slight correction. Our gold loan growth has seen tonnage growth as well as price growth. Our tonnage growth is almost 18 % growth YOY. And so if you see the 48 % AUM growth , out of that almost 18 % has come from tonnage and then the rest has come fr om price. So that is a very, very healthy growth on tonnage. We have also added 35,000 new customers. So that growth is coming from new customers. On the LTV side, see our average LTV on the book is about 66%. In fact, when the new draft guidelines had come in, we had corrected all our processes and our sourcing LTV had dropped and most of the growth in Q4 has come with the reduced instructions on LTV and complying with the guidelines. So we have seen growth in Q4 complying with the guidelines. And I wil l ask my Chief Business Officer , Jagadeesh to add further on what I said. So Jagad eesh, you want to add?

Jagadeesh Rao : Yes, hi. So just to add with this, on the LTV front, as Parvez articulated, our overall LTV at the top level is at 66%. It is not 71.7%, 71.7% is our origination LTV. So just to add, we also have periodic stress test done. We have a robust test done here. Plus we have put in place a proper margin called mechanism at a LTV level which is regulated by RBI at 75%. So there is no risk that we see because of this process.

Mayank Mistry: Yes sir, but can you just, I mean differentiate what is the difference between the average LTV that you are seeing at 66 % versus the origination . So is this a daily average, mean how is this calculated?

Jagadeesh Rao: Average LTV means as on 31st March 2025, the overall outstanding gold loan book, the tonnage of the outstanding gold loan book and its market value against the total outstanding of gold loan which includes principal plus interest.

Mayank Mistry: This is for origination?

Jagadeesh Rao: No, no. This is on the outstanding book.

Mayank Mistry: On book, okay.
 Jagadeesh Rao: Origination means for the quarter Q4 we have originated X amount of Gold loan and 72 % is the
average origination LTV . So if you go to slide 22 of the investor deck you will be able to see the trajectory , we have brought it out in slide 2 2.
Mayank Mistry: Okay, sir.
Moderator: Thank you. We have our next question from the line of Abhishek Agarwal from Lalit Agarwal and Co. Please go ahead.
Abhishek Agarwal: My first question is on the gold loan origination yield. So I was going through the quarter three investor presentation as well, and there the origination yield is at 15% and this quarter the yield is at a 19. 7%. So just wanted to understand are these two numbers comparable and why the big jump? And the second part to the question would be we have seen in gold loans a lot of competition coming in , so how confident are we that these origination yields are going to be maintained in th e future?
Jagadeesh Rao: So the first part is the correlation between the onboarding yield which we have shown in the last quarter, right? T hat's basically an origination yield of the quarter. So we onboard a customer at a particular rate and this is the w eighted average rate of that rate. When we say 19.7, that is the weighted average rate of the portfolio. So these are the two differences.
C.V. Ganesh: So just to add to what Jagadeesh said, yes, you are right. Those two numbers are not comparable, Abhishek. We were having a similar confusion like you had, where people were mistaking our often quoted origination yield on gold loans with the portfolio yield. So we wanted to clarify that, which is why only for gold loans in that slide, we have put a ma rk there, asterisk there and we have clarified that that is a portfolio yield .
Abhishek Agarwal: Understood and the second part was on how confident are w

e of maintaining these yields given
the competition in the gold loan business ?
Jagadeesh Rao: So we co ncentrate on the retail book and we do not see much of a competition coming there from the customer's requirement or need. We are, are confident to maintain these yields.
Abhishek Agarwal: Understood. And just one more question on the cost to income ratio. So this quarter we have had only one branch added and we have seen a headcount decline as well, but the operating expenses have risen. Now, you have talked about how we are going to be investing in manpower in technology. So that is understandable. But I just wanted to get a sense of the cost to income ratio, which is now above 59 after a few quarters. what directionally, what do you think in the next one, two years? Do you think this is the highest level of cost to income that we have seen and so we are going to taper from here? Or do you think this is going to continue for the next 2-3 quarters until our branches ramp up?
Parvez Mulla: See Abhishek, when we are looking at this business strategically, as I said, the priority is to allocate capital to highe r ROE businesses and look at businesses which are not doing well on the ROE metric to slow down. So that is priority number one. Revive the ST LAP business is priority
 number two. Then scale up our LAP business and gold business opportunistically is priori ty number three. And collections revival is priority number four. And giving you guidance on the credit cost is priority number 5 or 6. And so , if you look at the number of priorities that we are looking at and to get decent guidance on the ROA , these are the priorities that we have listed, and this is how we believe that step by step we will be able to give impetus to the businesses that we want to focus on. In that metrics, these are the metrics which will change. On the cost to income side, I will request you to look at us a year down the line, although there will be initiatives which we will be putting and cost to income typically for our organization has remained sticky over the past 4-5 years , there is a structural component which we are tryin g to change and I don't want to give you a guidance over the quarter because it will not be correct. But I definitely am telling you that directionally there are a lot of things which we are doing and also investing in the growth side for the branches as w ell as investing in collections. But if you look at the cost to average total assets, there could be a dip there. But on the cost to income side, because we are investing, it could be a number which you can ask us in quarter one or quarter two , but we will try and figure out how many reduction items we can do for the investment.
C.V. Ganesh: So I will just add to what Parve z said on that aspect. See, there is always going to be some amount of spend in the OPEX line, which is building muscle. And we will not shy away from that. What we are trying to tell on this call is that the part of the OPEX which is BAU, which is maybe flat or just a going on kind of cost, that consciously we are trying to put it on a downward trajectory. That being said, when we cite an opportunity, we will continue to have tactical investments in growth. This could be in terms of beefing up capacity, either in terms of people

or branches. We are in it for the long run. So we will not be driven by short -term tactical goals.
We will be dr iven by longer -term sustainable return enhancing objectives.
Abhishek Agarwal: Understood, that's really helpful. Thank you and wish you all the best.
Moderator: Thank you. We have our follow up question from the line of R enish from ICICI. Please go ahead.
Renish: Hi, sir. Thanks for the opportunity again. Just a few clarification. So you have said that our AUM growth will remain at 12 %-15

% including BL, which means our LAP and gold loans will grow at 25% ?
C.V. Ganesh: Yes, that's what I said. Without the BL base, they will grow at 25 % to 30 % on the AUM side.
Renish: Okay, so 25 to 30 , not 20 to 25. Okay. And again on this gold loan yields, right , so when you say it's a portfolio yield means including premium interest and charges, right? I mean, versus origination yield of 15. I mean, that's the difference?
Jagadeesh Rao: No, t he structure of the loan is like you originate at a particular rate and the customer has the option to pay interest at different intervals like monthly, quarterly, half yearly. So it's up to the customer to serve the interest monthly and get an onboarding rate continued for the entire tenor or pay a higher rate if he's servicing quarterly or half yearly or monthly. So that's how the
 structure of the loan is. And that's the major difference between the onboarding yield and the portfolio yield.
Parvez Mulla: Renish, just to specifically address the question, the penal charges does not come in the yield line. It comes in the fee line.
Renish: And penal interest?
Parvez Mulla: There i s no penal interest. RBI has discontinued penal interest.
Renish: Got it. It is tenure premium , right?
Parvez Mulla: It's a kind of penal charges which comes separately.
Renish: Okay . Got it. So basically, th ese are tenure premium.
Parvez Mulla: Yes. So, see, there are two elements here. One is a tenure premium. Also, whenever we do a CLM, there is a yield enhancement on the existing book which happens, right? So, that also you need to factor. See, we are allocating capital very dynamically , right? S o, it's basically helping in the yield enhancement on gold loans on what is on the balance sheet.
Renish: Got it. No, this is very helpful , sir. Thank you very much,
Parvez Mulla: Thank you.
Moderator: Thank you. We have our next question from the line of Ad itya from Securities Investment Management. Please go ahead.
Aditya: Hi sir. Thanks for the opportunity. Sir, my question is on credit cost. So, the flows into stage 2 and stage 3 have increased, but we expect the credit cost to be in the range of 1%. So should one expect the PCR to go down going forward?
Parvez Mulla: Hi Aditya, yes. The answer is yes because if you remember last time when we had done a discussion our PCR had jumped and the jump had happened because of a one -time provision that we had don e and we had given a direction saying that our PCR would not go as low as what it was earlier but won't remain as high as it was then. So it will stabilize somewhere in between, depending because, see, the incremental flows will happen at a incremental dif ferent PCR, like whatever the model suggests. So this was a one -time PCR which we had done. And going forward, we will be looking at how our businesses and what cycle we have reached to stabilize at a particular PCR.
Aditya: Understood. S ir, the next question was on small ticket LAPs . So you mentioned that disbursement should keep on increasing from here. But if you look at your GNPA, that has increased, majorly because of small ticket LAPs . So I just wanted to understand what is … and you als o mentioned that you have to invest further in the collection infrastructure. So I wanted
 to understand, what is giving us this confidence to increase the disbursement in small ticket LAP ?
Parvez Mulla: Again, if I will refer it to our previous quarter cal l, we had said that our assessment of our challenges were more in terms of investing manpower in collections. And this kind of a business, our affordable small ticket LAP business, requires collection efforts at a grassroot level. And these are deep, we ar e deeply invested there. And t hat

investment is what is required and if you see our customer , he has an average income of about Rs. 5 lakh so you could sense he is about a Rs. 40,000 -Rs. 50,000 per month customer and you have a Rs. 20,000 EMI. So if there is a one EMI default from the second EMI to third EMI falling down to the NPA is slightly faster , that is why we require a collection infrastructure which needs to meet the customer at a pre -

delinquency stage or at a bounce stage or an ex bucket stage . And these are important timelines where the customer needs to be met by the collection infrastructure, which is the resources that we are putting in either through the call center or through our manpower. That's why we were …our analysis told us that we ha ve a localized problem, and that localized problem needs to be addressed with localized resources. We are seeing some encouraging signs there. And wherever we are seeing flows, we are guiding you accordingly that there could be flows there. But we know tha t if you put the resources there, and you also understand putting resources in Q4, people don't move organizations in Q4. It's typically joining happens in Q1. That's why , once we have the joining happening at a grassroot level , we have already put the lea dership in place. The middle is 50 % done. And the grassroot level people also should join in. That is where we are saying it's a collection challenge which we need to address. And that's why we growing our book, because we believe we understand that busine ss. We are going through its life cycle. We put leadership who understands that business in terms of competition as well as the market. And that's where the growth is and we see an opportunity there and we know how to run this business through the underwriting side and the growth side.

Aditya: Understood, sir. Just to clarify, the current issue is majorly due to lack of info in collection infrastructure and not in the underwriting process ?

Parvez Mulla: Majorly that. Obviously, it's not a very precise science to say that this is how it is. There will be some underwriting issues, there will be some sales issues, but the predominant issue is the collection side manpower.

Aditya: Understood. Next question was on medium ticket LAP . So, sir, if I am not mistaken, the customer profile segment is organized and would have valid documents like an IT return, GST return. So, I just wanted to understand what is the edge for FedFina in this business because there are small private banks and small finance banks also operating in this segment of such ticket size who might have lower cost of funds than us. So what is the edge for FedFina in this business?

Parvez Mulla: See, one is, as I said, we are looking at the small ticket LAP business and the gold busine ss along and we are saying that we want to be a Company which is focused on LAP. It's a proposition for us that a customer at a various life cycle from a 5 lakh ticket size to a 30 lakh reaches out to us

on the ST LAP side from a 30 lakh to 3 crores reache s us to a medium ticket LAP size. So that is one in terms of proposition . Two, in terms of the kind of yields that we are operating in and the kind of markets that we are operating in along with the underwriting guidelines and the kind of delinquencies tha t we are seeing , we believe we are managing the book better than many other players in this and that is why we have a healthy ROE here. Along with that, we have a good appetite when we start looking at DA income and when we look at the other organizations like NBFCs or banks who are interested in this kind of profile and we have a healthy ROE coming from here. So these are our primary reasons we believe we have a proposition. This particular book will remain in the range of 20% to 25 % of our AUM. It is a healthy book, it is a stable book for

us and that's why we believe it's a good asset in our composition. We have Suresh here who is our CBO in this business. Suresh, you want to add anything?

Suresh Kumar : Yes. The arbitrage that we have is, these customer s, they understate their income. They inflate the expenses and all that. So what we do is we combine the declared and derived income and then make a fair assessment of the customer's requirement. So that is where we have a play. So that is niche for us .

Aditya: Understood. two questions here. What would be the share of DSAs for medium ticket LAP ?

Parvez Mulla: See, this will be run through DSA s or partners. This business across the industry runs in a similar fashion. There has been experimentation on a direct sales team model, but I don't think any organization has succeeded in building that model. We will also keep experimenting with it, but we today don't have any story there. It is run through a partner channel.

Aditya: Got it. And in terms of ROAs, w ould this be making Company level ROAs of around 1.7 %-1.8%?

Parvez Mulla: We are doing better than that.

Suresh Kumar : So we do not give out product specific ROAs, but it is making, I think, reasonably more than the numbers you mentioned. See, we do this p roduct on a collaboration basis through a collaboration with other financial institutions, including banks, right? Which is why it is very light on the balance sheet.

Aditya: Understood sir, So those are my questions. Thank you for answering them.

Moderator: Thank you. We have our next question from the line of Patanjali from Chinta Govind Capital. Please go ahead with the questions.

Patanjali : Two questions from my side. One is on guidance for ROA for FY'26. Any light on that? And the second question is on impact of these draft guidelines on gold loans. Any impact for FedFina and your view on growth or cost?

Parvez Mulla: So as far as the guidelines are concerned, in fact, in Q3 also, we had a similar environm ent where I had answered that question on whatever draft guidelines had come and how would it impact us
 and you've seen the growth in Q4 that has happened. These particular guidelines, I think, are very, healthy in terms of the clarifying on the LTV side. Earlier t here was a lot of confusion on the interpretation of LTV. Now these draft guidelines are clarifying it and making it a level playing field for everyone. And that's very healthy. The other guidelines too, I think if at all the guidelines come throu gh, there will be a transition period which each organization will go through. But I think it will be a level playing field for everyone, especially for the gold side , it's just a transition period which each organization will go through. And I think it wi ll be back to a new normal and I don't see a major effect over the years. It will be just a short -term blip for the transition period. I'm sorry, I missed your first question.
Patanjali : ROA guidance for FY'2 6?
Parvez Mulla: I think I've given credit cost guidance and I've given you the cost to income guidance and I have given you that the NIM s will hold. I think it's just a calculation.
Patanjali : I think that one aspect which is remaining is the cost of income.
Parvez Mulla: Yes, we guided on it in the se nse of the rebuild phase and the investment in growth. So that's where and I said on the average assets basis, you can look at a 5 to 10 basis points there.
Patanjali : Understood.
Moderator: Thank you. Since there are no questions, I would now like to hand the conference over to Mr . Shreepal Doshi for closing comments. Over to you, sir.
Shreepal Doshi : Thank you, Manav. And special thanks to the management of the Company for giving us the opportunity to host the call and thanks to all participants for being there on the call. Thank you, and have

a good day. Thank you, sir.
Moderator: Thank you. On behalf of Equirus Securities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Aug 2025

Secretarial Department

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August 01, 2025
Ref. FEDFINA/ CS/ 57 / 2025-26
The Manager,
Listing Department
National Stock Exchange of India Ltd.,
Exchange Plaza, C-1, Block G,
Bandra Kurla Complex,
Bandra (E), Mumbai – 400 051

SYMBOL – FEDFINA The Manager,
Department of Corporate Services,
BSE Limited,
Rotunda Building,
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai- 400 001

Scrip code: 544027

Sub: Transcript of Earnings Conference Call held on Monday, July 28, 2025

Dear Sir/Madam,

Pursuant to Regulation 30(6) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended, please find enclosed the transcript of the earnings conference call which was held on July 28, 2025.

The transcript of the earnings conference call shall be uploaded on the website of the Company at https://www.fedfina.com/ under the section ‘Investor Relations’ in due course.

The above is submitted for your kind information and appropriate dissemination.

Thanking you,

Yours Faithfully
For Fedbank Financial Services Limited

Parthasarathy Iyengar
Company Secretary & Compliance Officer
Membership No.: A21472

Encl : As above

“Fedbank Financial Services Limited
Q1 FY '26 Earnings Conference Call”
July 28, 2025

Management : Mr. Parvez Mulla, MD & CEO, Fedbank Financial Services Limited

Mr. C.V. Ganesh – CFO – Fedbank Financial Services Limited

Mr. Vikram Rathi, CRO – Fedbank Financial Services Limited

Mr. Jagadeesh Rao – CBO, Gold Loans – Fedbank Financial Services Limited

Mr. Shardul Kadam – CBO, Small Ticket LAP – Fedbank Financial Services Limited

Mr. K. Sureshkumar – CBO, Medium Ticket LAP – Fedbank Financial Services Limited

Moderator : Mr. Shreepal Doshi – Equirus Securities

Moderator: Ladies and gentlemen, good day, and welcome to the Fedbank Financial Services Q1 FY '26 Conference Call hosted by Equirus Securities. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone.

This conference call may contain forward-looking statements about the company, which are based on the beliefs, opinion, and expectation of the company as on date of this call. These statements are not the guarantee of future performance and involve risks and uncertainties that are difficult to predict.

I now hand the conference over to Mr. Shreepal Doshi from Equirus Securities. Thank you, and over to you, sir.

Shreepal Doshi: Thank you, Viven. Good evening, everyone. I welcome you all to the Q1 FY '26 Earnings Call of Fedbank Financial Services Limited. Today, we have the senior management team of Fedbank Financial Services Limited represented by Mr. Parvez Mulla, MD and CEO; Mr. C.V. Ganesh, CFO; Vikram Rathi, Chief Risk Officer; Mr. Jagadeesh Rao, Chief Business Officer for Gold Loans; Mr. Shardul Kadam, Chief Business Officer for Small Ticket LAP; and Mr. K. Suresh, Chief Business Officer for Medium Ticket LAP.

I would now like to hand over the call to Mr. Parvez for his opening remarks, post which we can open the forum for question and answer. Over to you, sir.

Parvez Mulla: Thank you, Shreepal. Good evening, everyone. I would like to extend a warm welcome to all of you for joining the Q1 FY '26 post results earnings call. When we last connected during our Q4 FY '25 earnings discussion, I had addressed the direction in which we aim to rebuild the financial year FY '26.

Our priorities continue to be :

1. conserve and allocate capital to businesses with high ROA and ROE
2. to move towards a fully secured lending portfolio,
3. reinforce our twin strategy focusing on gold and LAP business
4. expand gold business through branch expansion and increased doorstep coverage. We expect to open gold loan branches in over 100 new markets this financial year.
5. continue to foster synergies between our gold and LAP operations.
6. Within LAP, we will concentrate on a combination of low-risk -- high-yield ST LAP business and low-risk MT LAP business;
7. persist in enhancing our collection infrastructure to effectively manage delinquencies;
8. establish leadership in ST LAP business and build team for growth and quality;
9. expand MT LAP with minimal capital allocation;
10. increase the core income while reducing reliance on DA income,

11. use DA as a capital-Conservation strategy;
12. move towards a frugal cost structure and
13. ensure that our credit costs remain range bound within the 1% plus or minus 10 bps.

With respect to these priorities, we have taken the following action in Q1 FY '26.

a. Our senior leadership has been onboarded in collections and the field team is being strengthened with full completion expected by early Q2.
b. We have verticalized the collection framework, adding additional resources to both the call center and legal team as well as the field teams.
c. We have strengthened our leadership and field team in the ST LAP business. Consequently, we expect to see steady rise in business activity in the quarters ahead.
d. Our ST LAP business has successfully transitioned to a system-driven file flow architecture powered by our BRE, leveraging API-driven workflows, thereby enhancing consistency of policy execution. This architecture also establishes the foundation for deploying credit scorecards, risk models targeted for roll

out by Q3 FY '26.
e. A similar deployment is currently under evaluation for MT LAP segment with a pilot planned in the coming quarters.
In our collaborative initiative involving gold and ST LAP business, we have successfully merged and co-located 23 branches. That is 23 of our MSE LAP branches have moved into 23 gold branch premises and released/exited the MSE LAP premises. We will persist in our efforts to merge and co-locate more branches.
During this quarter, as promised, we have completed 100% assignment of our business loan portfolio of INR770 crores. It was executed and derecognized from our AUM. This capital release will be deployed in secured businesses. We have transferred INR25 crores of nonperforming assets during the quarter to an ARC via 85-15 SR structure. We have also completed the maiden issue of $100 million in ECB.
On the gold business, we had a good quarter with the AUM growing 39% Y-o-Y and tonnage growing 10% Y-o-Y. Our LTV on AUM stands at 64%. Our initiatives on DSGL have paid off well, where we have grown 81% Y-o-Y. Our MT LAP business grew while maintaining stable yields. Our credit cost for Q1 is 0.8%.
As we implement corrective measures, we anticipate certain flows will persist in the short term, but are expected to stabilize by the year-end. We foresee a return to normalcy by the end of the year, which will contribute to a more stable and predictable performance in the future.
Some of the key business numbers are as follows:
1. AUM reached INR15,697 crores an accretion of INR2,509 crores in Q1 FY '26, translating to a growth of 19% Y-o-Y.
2. Gold reached INR6,332 crores and AUM growth of 39% Y-o-Y.
3. Tonnage growth for the year came in at 10% Y-o-Y to 11.2 tons.
4. Mortgage AUM reached INR8,539 crores and AUM growth of 29.7% Y-o-Y.
5. Disbursals of INR5,933 crores in Q1 FY '26, up 18.5% Y-o-Y.

6. On the profitability side, our net interest income grew 7.4% Y-o-Y to INR268.2 crores.
7. Our operating profit experienced a decline of 0.5% Y-o-Y. Our operating profit stood at INR128.2 crores.
8. We made a choice to lessen reliance on DA income, which was INR 22 crores in Q1 FY '25 compared to a negative INR 5 crores in this quarter, which has reflected in our operating profit.
9. Our credit cost for the quarter stood at 0.8%. Our net profit stood at INR75 crores in Q1 FY '26, up 6.8% Y-o-Y.
10. Gross Stage 3 stands at 2% versus 2% in the previous quarter.
I will now hand over to C.V. Ganesh to take you through the numbers in a little more detail.
C.V. Ganesh: Yes. Thank you, Parvez. Thanks, everyone, for your participation on the call. Q1 has been a lower business quarter for us as the MSME loans reflect the seasonality. While Parvez covered the core performance, let me share some perspectives on the quarter to understand it better.
a. The large unsecured business loan assignment of INR770 crores, which constituted roughly 75% to 77% of the existing book has been done with a full credit risk transfer of this portfolio and all servicing on this portfolio going forward will also be done by the purchasing counterparties, resulting in a mitigation of costs as well.
b. With this, as of June 30, the changed loan book mix is as under :
Gold loans ~ 44% ; Secured mortgage : ~ 54%
& unsecured business loans of approximately 2%. The actual number is 2.3%, which is INR270 crores on a loan book of INR11,689 crores.
c. This transaction facilitated the release of capital for the higher ROA businesses, which we want to scale. And as a result, the capital adequacy as of June 30 has gone up by about 49 bps from 21.9% to 22.4%.
d. While this transaction was done at a small premium, we had to book certain one-off charges

with reference to the origination costs on these loans, which are amortized in the books over the life of the loan. These one-off write-off of

origination costs reflect in the interest income line
and have impacted the yields optically by about 37 bps.
e. Since the above transaction has resulted in the loans being derecognized from our AUM, optically - you will see a flat to marginally negative AUM on a sequential comparison to March '25. Our overall AUM as of June 30 was INR15,697 crores and it reflects a Y-o-Y AUM growth of 19%. However, ex business loans, the year-on-year growth is 33%.
Now on the NIM and spread.
I explained the onetime impact of 37 bps on the yield because of the origination costs on unsecured loans, which we have taken a charge for.

Adjusted for this, our normative yields would have been 16.6% and the spreads would also have been higher by this amount. We have continued our focus on core income growth and done a lesser direct assignment on the mortgage book. This has resulted in net gains from direct assignment coming at a negative number, which reflects the deceleration in direct assignment. While both of these numbers have resulted in a spread compression in the quarter, we expect the spreads to be more normative from next quarter onwards.
Now on the opex side.
The opex grew 9% year-on-year. The operating costs for the quarter reflect a lower origination cost due to overall lesser originations in Q1.
However, they also factored certain cost rationalization measures taken in this quarter, which were done to create room for an opex expansion from the new branch investments, which we plan to do in this fiscal. One example of the rationalization measures is the co-location of 23 branches and consolidation of 3 branches, which Parvez articulated.
As we continue on the branch expansion journey to capitalize on the opportunity before us, we expect the opex to go up to more normative levels, but driven by more capacity-driven spend.
On the treasury side, -
on a quarter-on-quarter basis, our weighted average interest cost on overall borrowings has gone down by 16 bps from 8.72% to 8.56%.
This decline has been facilitated by resets on the external benchmark-linked borrowings as well as a diversification of the resource mix by substituting local currency long-term debt by external commercial borrowings. We did our maiden external commercial borrowing this quarter. It is the first of a few, and it now constitutes 8.5% of our overall borrowing mix. Even on a fully hedged basis, this comes at approximately 70 to 80 bps lower than our local borrowing.
Currently, around 83% of our total borrowings are floating rate in nature. Of these, 45% of our borrowings are linked to external linked benchmarks and another 39% to MCR. As interest rates come down, we will see the benefit of this in our cost of funds and spreads.
Lastly, our incremental borrowing cost for quarter 1 was at an average of sub-8% compared to 8.5% in the quarter 4 '25. The deleverage from our BL assignment has resulted in our debt equity ratio decreasing from 4.03 in March '25 to 3.89 as of Q1 FY '26.
With that, I hand it over to the operator for any questions you have.
Moderator: We have first question from the line of Renish from ICICI Securities.
Renish: Just one feedback. I think we lost the first 15 minutes of opening remarks by Parvez. I don't know that is a problem with everyone, but I was there on the call since beginning, but I joined at maybe 6:45 or so, so I completely missed Parvez's opening remarks. But I will continue with my questions. I'm sorry if that's a repetition.

So two, three things, one on the small ticket LAP business, right? I mean so where do we stand in terms of restructuring of S LAP vertical and sequential fall in disbursement is just due to seasonality or we turn cautious due to the current noise about increasing stress in this product?
Parvez Mulla: Really so

rry about the technical glitch. I will ask the operator to check what -- but I will repeat my opening remarks at the end, if needed.
Renish: No, I think we'll discuss one-on-one. We don't want to sort of waste time for others. Yes, sir, please.
Parvez Mulla: Yes. As far as the ST LAP business is concerned, we had discussed during my Q3 as well as my

Q4 earnings call, we had highlighted that we are doing a leadership change. We have done that. We said that we will invest into people, we have done that. We were supposed to do the BRE change, we have done that. The grassroots level people, which I had said that -- it will take us Q1 plus some part of Q2 to the field level filling.

That's where we are. We have almost 80% of the recruitment there. So as far as manpower and change and systems and processes and the incentives are concerned, we've changed all that. The business growth for us has been -- we had dropped our business numbers in September level. From there on, we have been picking it up. And our pickup has been steady in that sense. So there is no extra additional tightening, which we have done in this quarter. So it's going in the same progress.

Whatever tightening was done, we had done it last quarter and previous quarter because some of the other players are seeing that stress. We had seen that stress earlier, but we had our own issues also to correct. So we had corrected on those parameters, both in terms of industry as well as BRE. So we have not done further tightening this month. The business growth will pick up as we -- as our people mature into their roles.

Renish: Got it. So drop in disbursement in this quarter is just because of seasonality, nothing else?

Parvez Mulla: Yes, it's the Q4, Q1 effect. Q4 was a new team. So it pushed in Q1. You will again see Q2 picking up over Q1.

Renish: Got it. Got it. And my second question is on the gold loan side. So in past 1 year, when we look at the quarterly disbursement run rate, it has actually doubled from INR2,600 crores odd in Q2 FY '25 to almost now crossing INR5,000-odd crores in Q1. Interestingly, when we look at the branch network, right? I mean, we have not added significant branches in last quarter as well as last 2, 3 years. So what is driving this sudden surge in gold loan disbursement? I mean is this purely by productivity gain? Or are we missing any structural changes which you might have done?

Parvez Mulla: So there are 2 parts to this. I will give you an initial answer, then I'll ask Jagadeesh to add it. One is in the last 2 years, if you've seen, there has been 10% to 15% tonnage growth. We might be one of the few companies which has shown consistent tonnage growth while there has been a price growth, but tonnage growth has been 10% to 15%, in fact, higher than 15% in one of the years.

So there is that substantial growth which has happened. I agree with you, last 2 years, the number of branches growth hasn't been much. But this year, we plan to put upwards of 100 branches. And if you remember, we had said that first, we will do the experiment of co-locating the MSE branches with the gold, and we were focused on getting that correct in this quarter. We've identified premises for gold branches, but that execution did not materialize as much as we had thought.

But Q2, you will see substantial opening of gold loan branches, and we will continue to expand our network through gold branches. So those branches will be put in context of FY '26 and FY '27 growth. But our growth, which has come has come from productivity and tonnage. Obviously, we've been aided by price, but price plus tonnage has been the growth.

Renish: Got it. Got it. And a marginal drop in LTV during this quarter, I mean, what is the reason? Otherwise, we have thought it will go up because of the revised RBI guidelines, but...

Parvez Mulla: Yes. See, 2 things, Renish, there

. If you remember, when you had asked me this question in December -- post December 2, we had complied with the draft guidelines of December. So those were pretty strict - and we have complied with those guidelines. The revised guidelines, which came in were a little more relaxed than the December guidelines.

We felt that at a portfolio level, even at a sourcing level, although the LTV benefit is there, we have not extracted the full benefit because there is a price effect which is playing. So just being -- we are satisfied with the growth which has come in. So we have not further done anything with the LTV.

Renish: But I mean, just a clarification. But in system, we have sort of factored the new guidelines, right? Or...

Parvez Mulla: Yes. No, no. Just to clarify, so we are now following the December guidelines, which we are following 75% LTV to be maintained at the overall tenure of the loans. Okay...

Renish: So we have not yet moved to 85% LTV.

Jagadeesh : Yes. The new guidelines has to be adopted in full. We cannot go just by adopting only LTV. There are multiple things moving items. So we are in development stage, and we expect to go live as soon as possible.

Renish: Okay. Got it. And lastly, on the profitability front, right? So since we are largely done with business restructuring at least in terms of secured versus unsecured. So how do you see some of

the ROA metrics moving in near term, let's say, NIM and more importantly, credit cost? And ultimately, where do you see ROE settling in near term, maybe exit quarter of FY '26.
Parvez Mulla: So Renish, that guidance I gave you in similar in Q3 as well as Q4 and the guidance remains same because we had factored in the BL when we mentioned in Q4 too. We have said that we will focus on a secured construct, and we have factored that. And if you remember, I had mentioned that we are going through a certain stress on the SP LAP side, and that could give us certain GNPA flows, but we will still manage the credit cost within the 1% range.

Now the full financial year FY '26 will take into account the fact that I am restructuring the BL piece of which about INR770 crores has gone out, but the balance still remains with me. So I will have to manage the credit cost for that. Plus I have some of the flows, which I will have to manage. So the credit cost will remain range bound 1% plus or minus 10 bps.
The GNPA, as I said, will move up and down, but that's where the credit cost will remain. The NIMs and spreads will be range bound. But net total income, again, the way you had constructed, it will remain in that range only, Renish.
Renish: Range you mean Q1, I mean, this quarter exit or...
Parvez Mulla: No. For FY '26, see, this quarter, there will be certain items which are one-off items. That is why you will see certain items which are depressed and certain items which are slightly appreciated.
What I'm saying is, yes, for FY '26, I mean, if you look at our Q4 FY '25 numbers, the net total income could be in that range. And against that, the credit cost could be in the 1% range and the cost to income, which we had said would go down. But again, we are going to put branches, so it will remain stable in that range.
Renish: Got it. I do have one more question, but I don't know whether I have time or not. Maybe I will come back in the queue.
Moderator: The next question is from the line of Digant Haria from GreenEdge Wealth.
Digant Haria: Firstly, congrats on the good performance, especially gold loan side. So my question is that earlier, like, let's say, a year back, gold used to be around, say, 35%, 40%. Now with the kind of construct we have and the macros are so favorable for gold loans, our gold loan exposure may even go up to, say, 55%, 60% if our small LAP and the mortgage business does not keep pace. And I think it's very difficult for mortgage business to ke

ep pace with gold loans this year. So any thoughts on this? Like are we going to restrict ourselves on gold loans or like we'll let the -- whatever our system allows that growth, we'll take it in, in the gold loan space?
Parvez Mulla: Yes. Thank you, Digant again, I will refer to my Q4 call where we had given a guidance in terms of the mix. And when the BL moves out of our portfolio, the mix for gold changes. So there is that a portfolio mix, which will change in the range of 43% to 45% for gold. And I had guided that it will remain between that 45% to 49% and mortgages will cover the balance. That is our medium ticket LAP business and small ticket LAP business.
Our small ticket LAP business growth will pick up even if that growth might not catch up with the gold loan growth, the medium ticket LAP growth is still there. Furthermore, for our gold loan business, we have about 15% to 18% of CLM. Wherever this mix moves in a particular direction, we have that CLM percentage also there. So we will be in that range between 45% to 48%.
Digant Haria: Okay. Okay. My second question is that in this -- we sold down around INR770 crores of business loans. Like will there be any credit cost associated with that? And either remaining

book or the guidance which you just gave to Renish in the previous question, that includes whatever good bad can happen in the business loan. Is that right assumption?
Parvez Mulla: Yes. So we are keeping that credit cost range bound, taking in those surprises. Say, for example, in Q1, we had expected BL to give the balance BL, which is on our books to give a particular credit cost, but it actually gave us a little more, but we still managed it. So when I'm saying it's 1% plus or minus, we've sort of projected what can BL do, and we factored that in.
Moderator: The next question is from the line of Yash Dantewadia from Dante Equity.
Yash Dantewadia: Congratulations on a decent set of numbers. My question is, again, a continuation of the previous question of somebody who asked, let's say, your gold loan goes up higher, which is clearly going up, the gold loan mix. What kind of exit ROA, ROEs are we going to see this financial year?
Parvez Mulla: See, Yash, the Q4 ROA that we had indicated, I had answered this question by giving an indication that the ROAs in FY '26 will be range bound. There is an upside which we will get

from the cost of funds, but we are also trying to reduce the DA income. So there is that plus and minus, which is happening there.
And that's where we believe that the net total income will be somewhere close to what we showed in -- plus or minus 10 bps, somewhere close to what we showed in Q4. Our cost to income will be in the range what it was in Q4 again. Our credit cost will be 1% plus or minus 10 bps. So that is how we are expecting our FY '26 to move around.
There are two, three investments which we are -- although there is some items on the cost side that we are working on, and we will reduce the operating cost, but there are certain investment on branches, 150 gold branches that we want to put across in FY '26.
That is why the cost to income will move -- will remain flat. There is a flow which is happening from the ST LAP business in the previous quarter, which we have guided. And that flow, we believe will be managed and the BL flow will be managed with a 1% credit cost. So that's the range that the ROA will be.
Yash Dantewadia: You are saying something about investments. You were saying something about some unrealized investments, right?
Parvez Mulla: I don't think so.
Yash Dantewadia: Investments in branches.
Parvez Mulla: I mentioned about investing in branches, gold branches.
Yash Dantewadia: Okay. Okay. Okay. And what gold finance market? Because I think Muthoot Finance and other larger players have kind of guided for a 20% growth or thereabouts. So what kind

of demand are
you seeing on ground growth '26?
Jagadeesh : So we have guided with a 25% year-on-year growth in gold with the current branches in place.
And whatever new branches are going to come in, that will give us the delta.

Yash Dantewadia: And last question. Any new segments that we plan to enter something like portfolio, a lot of NBFCs are giving loans based on equity portfolio and those kind of things. Are we -- vehicle finance, for example, are we planning to enter new segments this year?
Parvez Mulla: Yash, we are focused on rebuilding our ST LAP business, growing our gold business, growing our MT LAP business. We believe we want to be one of the companies which is focused on LAP business. There are other companies which are also doing LAP.
We want to be focused on LAP and build a proposition here. We want to ensure that our management bandwidth is focused on these three products, and we bring them to a very decent healthy profitability. So we won't be looking at other products right now until we fix what we want to achieve.
Moderator: The next question is from the line of Mayank Mistry from JM Financial.
Mayank Mistry: I have three questions. First is mainly on the mortgage book. So our mortgage book Stage 3 has improved on a quarter-on-quarter basis?
Parvez Mulla: Yes, Mayank. I'm listening to you.
Mayank Mistry: Yes. So against what the markets right now and given the SME lenders, most of the lenders usually catering to these segments, they have shown some stress. So surprisingly, this has actually showed some improvement in our book. So what has driven this? And second also on this book, how is it doing in Karnataka? I mean are we seeing any stress coming in from there? That's one.
Secondly, you mentioned something about the additional charge, which has led to your yields of 16.6%. So we actually missed the opening commentary. So maybe that was the end of that part, which spoke about it. So I wanted to know what was that.
Parvez Mulla: Okay. So thank you, Mayank, for the question. See, we were one of the few companies which had talked about the stress in our ST LAP business, but it was more driven with the challenges that we were facing in Q3 and Q4. And we are trying to revive that business. So we had certain flows in Q3, Q4. We are dealing with those flows in Q1 also.
So we've had elevated flows. And those are reflecting in our Stage 2, Stage 3, but there will be certain actions that we have taken. We have taken a onetime hit. We've done an SR structure. So that is why you see certain way in which the GNPA is looking.
So there is that stress, but we are dealing with it, and we've tried to manage our credit cost within 1%, plus or minus 10 bps while we're dealing with the stress. We have done structural changes on the ST LAP side in Q3. This was what we had updated, and we have progressed well there, and our disbursals have been picking up.
We have tightened our BRE, and we have done certain industry-level mapping where we want to focus on. So we are pretty focused on growing this business very, very cautiously. On the yield side, I think you were talking about -- in my opening remarks, I mentioned that we had

done assignment of business loan portfolio of about INR770 crores, which was executed and derecognized from our AUM.
That capital release, we will deploy in secured business. And I also mentioned that we had completed a maiden issue of $100 million in ECB. So these two were mentioned. If there is anything else I missed out which you wanted to know?
Mayank Mistry: No, sir. But just on the -- continuing with that mortgage book. So can you give us a Stage 2 number particular to that segment? And maybe what was that in the previous quarter?
Parvez Mulla: Yes. CVG, we have that number here right now. N

o, we have it particular to that segment.
C.V. Ganesh: We have it at a mortgage level.
Parvez Mulla: Yes, we are disclosing at a mortgage level.
Mayank Mistry: What will that be?
Parvez Mulla: So at a mortgage level, see Q1 FY '26, our stage -- gross Stage 3 is 3.4%. Q4, it was 3.5%. And net Stage 3 will be Q1 FY '26 is 1.9% and Q4 FY '25 was 1.9%.
Mayank Mistry: No, on the Stage 2, sir.
C.V. Ganesh: So Stage 2, we don't disclose. We normally don't give that information. But that being said, it has not moved much in between the 2 quarters, right? But again, I would like to highlight, our mortgage is a mix of medium ticket and small ticket. So it attributes stability to the delinquency numbers. So that's where I leave it.
Mayank Mistry: Okay. Okay, sir. And secondly, on the branch mix, I am seeing, I think there is some -- I think the numbers on the branch mix on the geographical mix, I think the numbers are actually different than -- significantly different from last quarter. So if I'm correct...
Parvez Mulla: So what we have done, Mayank, is the branch -- and I think this was missed in my opening remarks. As a strategy, we had said that we will do a collaborative initiative between our gold business and our ST LAP business. So we have successfully merged and co-located 23 branches. That is 23 branches of our ST LAP business have moved into 23 gold branch premises.
So we have co-located them and released the ST LAP premises. And we will continue this effort of co-locating these branches. So you will have these branches being double counted. That means they will serve gold customers also, and they will serve our ST LAP customers also.
Mayank Mistry: Yes, sir. Yes, I got. Actually, I was talking on the geographical mix of branches. I think that the 135 branches are in the North, right, not in the West. The mix is, I think, somewhat different from last quarter.
Parvez Mulla: Mayank, let me check that and get back if we've done some -- the mix has not changed between West and North, but if there is some error on our part, we'll correct it.

Moderator: The next question is from the line of Aditya from Securities Investment Management.
Aditya: Sir, my question was on employee cost. So our employee count has increased Q-o-Q, but our employee costs have fallen. So what is the reason for the same?
C.V. Ganesh: So as I explained earlier, there is a certain part of origination costs, which are given as employee incentives, right? So we have changed the structure. And the employee costs reflect lower originations in the quarter. So that's the primary reason. Also, as Parvez mentioned much of the Unsecured business loan team has moved out.
Aditya: Understood. So how should we build this employee cost going forward? So INR90 crores should be the run rate?
C.V. Ganesh: So thank you for that question. See, as Parvez articulated in his opening remarks, we are building up for capacity expansion, and we are recruiting people for these new branches. We will not fall short of capitalizing on the gold loan opportunity. So many of the people will start coming on board from Q2. So you will see the muscle getting built up here.
And you will see -- consequently, you will see the employee cost coming back to a more normative number. Also as origination picks up, obviously, Q1 is not normative for the rest of the year. So you will see the employee cost coming back. So I would urge you not to read too much into the employee cost.
Aditya: Yes, sir how big was the business loan team for us? And what are we going to do with the employees in that department?
Parvez Mulla: So we had a 90-member sales and credit team. And the entire set of team, we have either moved them into other verticals where they were given a choice whether they wanted to move into other verticals or they have chosen where we waited them to find another assignment out

side the
organization. And we've given them a long period to do that. So we've given them both the
options. And right now, we have about 5 employees remaining.
C.V. Ganesh: many of these employees were lateral. And I think what you also see an effect of -- see, we
stopped new originations in unsecured business loans in December. Right? Now we are 6, 7
months away from that. Much of that cost has gone away.
Aditya: Understood. And sir, you mentioned that 83% of our borrowings are floating. So how are they
paid on the advances side? How much is fixed, how much is floating?
C.V. Ganesh: See, the entire gold loans is fixed, but it gets reset because it's shorter tenure. Similarly, on the
small ticket LAP, the small ticket LAP is almost entirely fixed in nature, right? So the medium
ticket LAP is the one which is floating in nature right now. And that constitutes about 30%, 31%
of the mix right now. So roughly the residual other than medium ticket LAP, everything else is
fixed.
Aditya: And what is the frequency of repricing the medium ticket LAP loans? So is it based on repo
only, does it get repriced next day? How is it getting repriced?

C.V. Ganesh: We normally do it annually once we see a more stable pattern. So that's how -- where you are
getting, I think we will be benefited from this mix, which we have. And that's what's giving us
comfort in terms of establishing new floors on the ROA every quarter.
Aditya: Got it. Got it. And in your opening remarks also, I think you mentioned that your incremental
borrowing costs are below 8%. Is that correct?
C.V. Ganesh: That is correct.
Moderator: The next question is from the line of Renish from ICICI Securities.
Renish: Again, I'm just going to your slide on this geographical mix. Now I don't know, as you already
mentioned that there was error, but just wanted to double check that on the best zone, we are
scaling gold loan business, but at the same time, we are scaling down mortgage. I mean is that
the trend or there is an error in that side.
Parvez Mulla: Sorry, Renish, scaling down what?
C.V. Ganesh: Mortgage.
Renish: Mortgage business, and we are scaling the gold loan business. I mean I will just tell you which
slide I'm referring to. I'm referring to your Page #23 of PDF. Now if you look at gold loan, the
orange bar, the share of best branches has actually gone up from 30-odd percent in '23 to 47%,
roughly 5% over the last 2 to 3 years.
Similarly, when you look at mortgage loan, the same has gone down by 5-odd percent. So
essentially, it means that we are going slow in best in mortgage, but at the same time, we are
going fast in gold loan?
Parvez Mulla: Yes. See Renish, you are talking about the geographical AUM mix. So the slide which you...
Renish: Yes, yes. AUM. Okay. Yes, I'm talking about geographical AUM mix, you're right.
Parvez Mulla: Yes. So the AUM could be -- yes, the AUM could be because -- see, in the Western markets, if
I have grown faster in gold loan, that's how it will reflect. And if you heard us 2, 3 years ago,
we had consciously said that the southern markets in gold, we will not expand as much.
We will expand in the gold in the northern markets and Western markets, and that's what we
have done. And that's what is reflecting on the gold. Similarly, in the mortgage side, you will
see us penetrating our AUM in those white spaces where others have not penetrated deep. So
that's how that strategy over the years has been played.
Renish: Got it. Got it. So it's a well-thought strategy, right? I mean there is.
Parvez Mulla: Yes, yes, yes. And it is basically opportunistic in the sense of seeing that we have a proposition
if you have southern states which are already invested by certain other players who have done
well there, we might as well focus on Maharashtra and Gujarat, which will give us an expansion
much better.

And the Gujarat market behaves differently for gold and differently for our small ticket LAP. It
might be a favored business for gold, but Maharashtra might be a favored business location for
me in the ST LAP side. So that's how we would do it.
C.V. Ganesh: I'll just also add that Parvez in his opening remarks mentioned that we will chase profitable
growth, not just growth ! So we will keep recalibrating the markets and the growth in those
markets depending on how the credit behavior is panning out and how the profitability or the
yield is playing out there.

Renish: Got it. Got it. Maybe just last question and this is more from a strategic and slightly medium- to long-term perspective. But let us say, assuming 45 gold, 55 mortgage and obviously 1% credit cost. Are we aspire to deliver more than 15% ROE or maybe in our mind, that's the path we are taking.
C.V. Ganesh: So can I answer that, Renish?
Renish: Yes.
C.V. Ganesh: Very clearly, our leverage is at an all-time low at 3.89. As we keep growing the book business, the leverage will keep going up. And that's your multiplier for on the ROA. On the ROA, we are establishing new floors. In Q4, we reported 2.2%. Q1 is 2.3% and our whole strategy has been to fortify the balance sheet and lend more certainty on our return metrics, right, and minimize cyclicality on the earnings.
I think if you consider the trajectory, you will be able to extrapolate how the leverage will grow, how the margin expansions will play out and how the ROAs will work. And I think that will lead you to a number like the one you seem to be indicating within a certain timeline. Moderator: The next question is from the line of Avnish Tiwari from Vaikarya.
Avnish Tiwari: Around INR935 crores DPD and around INR596 crores DPD. How much of these would be from business loans, which is largely your residual book?
Parvez Mulla: Avnish, I couldn't hear your question properly. Can you repeat it, please?
Avnish Tiwari: Sure, sure. So for example, you give this 30-plus DPD and 1 plus DPD on a portfolio level. And looks like around INR596 crores, if I calculate on 30-plus DPD, around INR935 crores on 1 plus DPD ballpark numbers.
And you have around INR270 crores of business and then you have around INR600-plus crores AUM. So I just want to see how much of your book you have right now in business loans, how much of it is sitting in 30-plus DPD or 1 plus DPD ballpark? That's a book you would try to manage in terms of credit cost, right, effectively?
Parvez Mulla: Yes. So Avnish, I don't know the crore numbers, but I can give you an indication that in the 30-plus DPD, about 0.3% to 0.4% will be BL, which is coming. That is incremental which is coming there is because of that BL.
Avnish Tiwari: So this is percentage of overall AUM or percentage of this BL AUM? What is this 0.3% to 0.4%?

Parvez Mulla: You are seeing our portfolio quality indicators in our Investor Presentation where we've shown the 30-plus DPD.
Avnish Tiwari: Okay. So 30-plus DPD percentage number which we are seeing out of that 0.4% is because of BL. Is that what you're saying?
C.V. Ganesh: Yes, that is correct. And also, if you see somewhere in the sell-down slide, we are mentioning that the residual loan book on business loans is INR270 crores. And that runs down quite rapidly.
So that's a decreasing number, right? So -- and they are -- many of them are of recent vintage.
Parvez Mulla: Yes. Just to correct, Avnish, I'm just doing the calculation on the fly as you are asking me. Of the 5.1% -- so around 35 to 40 bps is BL.
Avnish Tiwari: Got it. So 35 to 40 bps of overall portfolio is sitting in this particular 30 DPD?
Parvez Mulla: Yes.
Avnish Tiwari: Great. Second question I have is whatever you have, let's say, AUM number is INR618 crores and AUM is INR270 crores. So the difference betwe

en the 2, is there any risk on you if something goes bad than those or that is the guy who has been assigned that loan to?
C.V. Ganesh: So all of what has been sold, we have a risk only to the extent of what is retained in our books, which is coming in the INR270 crores number. The balance is what is remaining of the assignment. There is a full transfer of credit risk and there is zero credit enhancement or FLDG in any of these assignments. So to answer your question, there is no credit risk on the difference over 270 Cr.
Avnish Tiwari: Great. And lastly, this INR270 crores, which is right now on your books, typically monthly or quarterly, how much is the rate you're receiving money at? Like how many quarters or it takes for you to run? Of course, you will see how much eventually close to the credit cost, but let's say, roughly what is the duration which this book will run down or itself?
Parvez Mulla: See, by March '26, you can visualize that this INR270 crores will go down to about INR120 crores. That INR120 crores will go down slowly. But this INR270 crores will go down to about INR120 crores.
Moderator: The next question is from the line of Patanjali from Nuvama.
Patanjali: I had one question on MT LAP side. Have we reduced the off book to sell down in MT LAP. I'm asking this because you have disbursed about INR450 crores in MT LAP, but AUM increased by about -- around INR420 crores. So wanted to understand, have you reduced off book in MT?

Parvez Mulla: Yes. I mean the off book on MT LAP will depend on what's available in the market and what's our strategy for that quarter. So in this quarter, we would have done a little bit lesser than the previous quarter.

C.V. Ganesh: Yes. And also, as I explained, Patanjali, there was a capital release on the BL. I think one of our themes has been that we will use DA strictly as a capital conservation strategy. So since we anyway had the release on capital from Unsecured BL, we didn't need to do too much of MT LAP assignment.
Patanjali: Understood. It has nothing to do with asset quality, right? Asset quality is fine in terms of prepayment behavior.
C.V. Ganesh: Nothing at all. See, our loan book is entirely monetizable. It is a lever we have how much and when, and we will choose to exercise that option based on how we want to calibrate...
Moderator: The next question is from the line of Shreepal Doshi.
Shreepal Doshi: So my question was on MT LAP and ST LAP. So going ahead, how are we looking at growing these 2 segments, especially like when do we see the ST LAP revival coming in? Because this quarter, the MT LAP growth has been pretty healthy. So what has driven that? And the second part was on the ST LAP portfolio?
Parvez Mulla: See, the MT LAP healthy growth will continue. So whatever this quarter you are seeing, it will continue. It has a cyclicality. So Q1 will be different from Q4. But quarter -- year-on-year basis, you will see that growth. And MT LAP is a seasoned business. It has seen multiple years, and we have a very good portfolio book, which is building up there. So it will continue with that growth rate.
Our ST LAP business, as we mentioned, it is going through its own rebuild phase. And as I told you on a monthly basis, we were doing lesser number of disbursals in September. Since that time from that low, we've picked it up. We reached a peak in March, April. And then for Q1, again, it has its seasonality. It is picking up. We see our ST LAP business also doing the same growth rate like MT LAP going forward.
So these two businesses will have that growth rate. We are just being cautious a little bit because the market environment has been a little cautious on the ST LAP side, but we've built in the BRE engine and we have done away with certain industries which had given us those problems. So we see a decent growth rate ahead for our ST LAP business

.
Shreepal Doshi: Got it. Sir, just like to what you highlighted in your latter part of the comment. So when you talk about the environment at the industry level or, let's say, system level, how are you seeing -- what are some of the, let's say, industries or let's say, some of the geography or some of the customer profiles wherein you are seeing the rejection rates being elevated or -- yes, so just some color on that.
Parvez Mulla: Shreepal, I would not want to give you a color because see, what has happened is we are trying to rebuild our book. And our book has an issue about certain challenges that we faced in our collection infrastructure. So it has the mixture and paint of that, and that is predominant. So the market kind of a feedback -- so for example, the market might face certain challenges in particular state, we might face it in some other state.

And that state -- the state that market is talking about for us could be a mixture of our own issue plus the market issue. So that's why it's very difficult for us to give you a market-related information in that distinctive manner. Once we settle down our flows by Q3, we should be able to give you that answer much more clearly.
Moderator: As there are no further questions from the participants, I now hand the conference over to the management for closing comments.
Parvez Mulla: Operator, I understand there was some glitch. Is there anything I need to do? I need to repeat my opening comments or...
Shreepal Doshi: Sir, you might just want to give some color of it, and then truly we can conclude the call. I think that will be helpful.
Parvez Mulla: Yes. So since I understand there was a glitch and some of you didn't hear the opening comments, I will just highlight some that we continue on our priorities of conserving and allocating capital to businesses with high ROA, ROE. We have promised that we will move to a fully secured lending portfolio, and we've done that. We mentioned that we will focus on our twin engine strategy of doubling on gold and LAP businesses, the high-yield ST LAP business and low-risk

MT LAP business. We will expand our gold business through branch expansion. We have done that.
We have also guided that we'll be opening 100-150 branches. We will continue to foster synergies between our gold and LAP operations. We have given you an update that we've merged 23 branches. That means co-located 23 branches. Our ST LAP branches have now been -- the premises has been released, and those have been now co-located with gold premises. We are persisting in our -- enhancing our collection infrastructure to manage delinquency. We are continuing to expand our MT LAP business with minimum capital allocation.
We are reducing our reliance on DA income, using DA as a capital allocation strategy rather than a profit strategy. We had promised that we will ensure the credit cost remains 1% plus or minus 10 bps, and we've adhered to that in this quarter. We've said that we have done a 100% assignment of our business loan portfolio of INR770 crores, which was executed and derecognized from our AUM. This capital release was essential because we wanted to deploy it in our secured business. We have transferred INR25 crores of nonperforming assets during the quarter to an ARC via 85-15 SR structure.
We have completed a maiden issue of $100 million in ECB. Our gold business had a very good quarter. AUM grew 39% and tonnage grew 10%. Our MT LAP business grew while maintaining stable yields. And overall, our net profit stood at about INR75 crores, which is up 6.8%. So all in all, we are trying to walk the talk, and we are trying to focus on the promises that we made to you in Q3 and Q4. We are trying to rebuild, and we are focusing on building a good high ROA franchise. Thank you.
Shreepal Doshi: Thank you, sir. Thank you, and thank you for giving us the opportun

ity to host the call. Thank
you to all participants for being there on the call. Thank you.

C.V. Ganesh: Yes. Thank you, Shreepal. Thank you, everyone.
Moderator: On behalf of Equirus Securities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Oct 2025

Secretarial Department

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October 25, 2025
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Bandra Kurla Complex,
Bandra (E) , Mumbai – 400 051

SYMBOL – FEDFINA The Manager ,
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Rotunda Building,
Phiroze Jeejeebhoy Towers,
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Scrip code: 544027

Sub: Transcript of Earnings Conference Call held on Friday , October 17, 2025

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended, please find enclosed the transcript of the earnings conference call which was held on October 17, 2025 .

The transcript of the earnings conference call shall be uploaded on the website of the Company at https://www.fedfina.com/ under the section ‘ Investor Relations ’ in due course.

The above is submitted for your kind information and appropriate dissemination.

Thanking you,

Yours Faithfully
For Fedbank Financial Services Limited

Parthasarathy Iyengar
Company Secretary & Compliance Officer
Membership No.: A21472

Encl : As above

“Fedbank Financial Services Limited
Q2 FY '2 6 Earnings Conference Call”
October 17 , 202 5

Management : Mr. Parvez Mulla, MD & CEO , Fedbank Financial Services Limited

Mr. C.V . Ganesh – CFO – Fedbank Financial Services Limited
Mr. Vikram Rath i, CRO – Fedbank Financial Services Limited

Mr. Shardul Kadam – CBO, Small Ticket L AP –
Fedbank Financial Services Limited
Mr. Jagadeesh Rao – CBO , Gold Loans – Fedbank
Financial Services Limited
Mr. K. Sureshkumar – CBO , Medium Ticket L AP –
Fedbank Financial Services Limited
Moderator : Mr. Sh reepal Doshi – Equirus Securities

Moderator: Ladies and gentlemen, good day, and welcome to the Fedbank Financial Services Q2 FY '26 Conference Call , hosted by Equirus Securities. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing st ar then zero on your touchtone phone.
This conference may contain forward -looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not a guarantee of future performance and involve risks and uncertainties that are difficult to predict.
I now hand the conference over to Mr. Shreepal Doshi from Equirus Securities. Thank you, and over to you, sir.
Shreepal Doshi: Thank you, Swapnela. Good evening, everyone. We welcome you all to the earnings conference call of Fedbank Financial Services to discuss the Q2 performance of the company. Today, we have the management of the company represented by Mr. Parvez Mulla, MD and CEO; Mr. C.V. Ganesh, CFO; Mr. Shardul Kadam , CBO for Small Ticket LAP business; and Mr. K. Suresh, CBO for Medium Ticket LAP.
I would now like to hand over the call to Mr. Parvez for his opening remarks, post which we can open the forum for question and answer. Over to you, sir.
Parvez Mulla: Good evening, everyone. I would like to extend a warm welcome to all of you for joining the Q2 FY '26 post results earnings call . I am joined by our CFO, Mr. C.V. Ganesh; our CBOs, Mr. Shardul Kadam; Mr. Jagadeesh Rao; Mr. Suresh Kumar; and our Chief Risk Officer, Mr. Vikram Rathi.
Continuing what we had articulated in our previous calls , I wish to emphasize priorities for your company :
1. Conserve and allocate capital to businesses with high ROA, ROE .
2. Focus on our twin-engine strategy of Gold and LAP businesses .
3. To move towards a fully secured lending portfolio.
4. Expand Gold business through branch expansion and increased doorstep coverage .
5. Continue to foster synerg ies between our Gold and LAP operations .
6. Within LAP, we will concentrate on a combination of high -yield ST LAP and low -risk MT LAP .
7. Expand MT LAP with minimal capital allocation .
8. Establish leadership in ST LAP team and build team for growth and quality .
9. Continues strengthening our collection infrastructure to effectively manage delinquencies .

10. Aim for increased core income while reducing reliance on DA income, use DA as a capital allocation strategy .
11. Move towards a frugal cost structure .
12. Ensure that credit costs remain 1% plus or minus 10 bps.
With respect to these priorities and more, we have taken the following actions in Q2 FY '26 :-
1. Entering this quarter, the company has successfully sold a deep delinquent pool of gross non -performing assets of ST LAP and HL amounting to INR79.5 crores. This includes technically written off principal outstanding value of INR41 crores. We have sold this to an asset reconstruction company for an upfront cash payment of INR32.6 crores.
2. If you recollect, during Q1 FY '26, we have done a 100% assignment of business loan portfolio of INR770 crores, and it was derecognized -- it was executed and

derecognized from our AUM. Similarly, during this quarter, 100% assignment of business loan portfolio of further INR115.6 crores was executed and derecognized from AUM, reducing the total on -book exposure of unsecured lending to less than 1%. In addition to ring -fencing us from any deterioration in unsecured lending, this also enables us to reinvest the proceeds into products with higher returns on ROA.

3. On the gold business, we had a good quarter with th

e AUM growing 36% Y -o-Y and 6% Q -on-Q and the tonnage grew by 4% Y -o-Y. Our LTVs on AUM stand at 62%. Our initiatives on DSGL has paid off well, where we have grown 71% Y -o-Y.

4. In this quarter, we have opened 57 new gold loan branches. In line with our guidance, we will continue to open new branches in the next 2 quarters.

5. In our collaborative initiative involving gold and ST LAP branches, we have successfully merged and co -located 49 branches till now, which includes 23 branches, which we had done in the first quarter. That means 49 branches of small ticket LAP business hav e released the premises and moved into 49 gold branch premises. We will persist in our efforts to merge and co -locate more branches while we open new branches.

6. Despite facing yield pressure, the MT LAP business has disbursed INR554 crores achieving a quarter -on-quarter growth of 23%, while maintaining the same yields.

7. In light of the environment , the ST LAP market and the increased credit cost faced by the company earlier, the company has fortified its credit policies and successfully transitioned to a system -driven BRE. This quarter, this business of ST LAP has disbursed INR206 crores.

8. The senior leadership team was successfully on -boarded in collections during Q1 and Q2, and we further strengthened the field team. We have verticalized the collection framework incorporating additional resources for both call centers and legal teams.

9. This quarter, we have secured ECBs totalling $150 million to date.

10. Our credit cost for Q2 stands at 0.9%. This includes an impact of about 0.2% from an annual ECL refresh exercise.

11. Our dependence on DA income has diminished in this quarter too.

We will continue to implement corrective measures, and we anticipate that certain flows will persist in the short term, but they are expected to stabilize by the year -end. We foresee a return to normalcy by the end of year, which will contribute to a further stable and predictable performance in the future.

Some of the key business numbers are as follows : -

1. Our AUM touched INR16,136 crores, translating to a growth of 13.5% Y -o-Y. Without the base effect of business loans, this would be 28% Y -o-Y in the AUM growth.
2. Gold has reached an AUM of about INR6,731 crores and AUM growth of 36.4% Y -o-Y. Tonnage growth for the year came in at 4%.
3. Mortgage AUM reached INR8,796 crores and AUM growth of 22.6% Y -o-Y.
4. Disbursals of INR5,205 crores are up 36.5% Y -o-Y.
5. On the profitability side, net interest income grew 10.9% Y -o-Y.
6. Operating profit grew 10.1% Y -o-Y.
7. Our net profit stood at INR80.2 crores in this quarter, up 24.2% Y -o-Y.
8. On the asset quality side, credit cost stands at 0.9%. This was about 0.7% in Q1 and 1.3% in Q2 last year.
9. The gross stage 3 stands at 1.9% versus 2% Q -on-Q after the ARC sale.

I wish you all a very Happy Diwali, and I now hand over to Mr. C.V. Ganesh to take you through the detailed numbers.

C.V. Ganesh: Thank you. Parvez. Thanks, everyone, for your participation on the call. While Parvez covered the core performance, let me share some perspectives on the quarter to understand it better. Much of what I say will be an expansion of what has already got mentioned .

1. First is the way we are going around the branch infrastructure. We began the year with 694 branches. In Q1 '26, we had advised that we had co -located 23 small ticket LAP branches within gold loan branches and consolidated another 3, resulting in a reductio n of branches from 694 to 668.

In Q2, we have commissioned 57 new gold loan branches and consolidated another 26 small ticket LAP branches within gold loan branches, resulting in a net addition of branches by 31, which takes the total branches to 699 .

So, if you see what we are do

ing, we are almost at the year beginning counts of physical branches. But with an expanded 57 new gold loan branches in new locations, and without diluting the small ticket LAP presence on the ground at all. Q3 will be a commissio ning of a high number of gold loan branches as well, adding muscle to our ground presence for gold loans.

2. We continue the de -risking exercise of our balance sheet. We started the quarter with a residual unsecured MSME loan book of INR270 crores. During the year with an unsecured business loan assignments of INR116 crores with a full credit risk transfer. With this and runoff, our residual unsecured MSME book is down INR104 crores, down from INR270 crores as of June 30. This means that we have scaled down our exposure to unsecured MSME to a little over 1/3 of the June exposure. Also, of the residual INR 104 crores of unsecured MSME , over 75% of this book is 0 DPD as on September 30. We are sufficiently provided for on this residual book . This transaction, coupled with the ARC sale of deep delinquent small -ticket mortgage NPAs, including the write -off book of INR41 crore s, has facilitated the release of capital and helped improve asset quality of the portfolio.

3. The capital adequacy as of September 30 stands at 21.64%, down from 22.4% in the previous quarter, primarily due to additional discounting on our existing Tier 2 capital. We will take steps to supplement our Tier 2 during H2 FY '26.

4. With this, of the loan book of INR11,743 crores in the balance sheet as on September 30, the changed loan book mix is at under. The gold loan share has gone up to 46%, up from 40% at the beginning of the fiscal. The secured mortgage is at 53% and the unsec ured MSME book has gone down to under 0.9%, down from 10% at the beginning of the fiscal.

5. Since the above two transactions, namely the unsecured business loan sale and the ARC sale have resulted in the loans we derecognized from our AUM , optically, you may see an anemic AUM growth of 2.8% sequentially compared to June. However, on an ex -DL basis, which we stopped originating last year, the year -on-year growth is 28%, and the sequential Q -o-Q growth is 4.5%.

6. Parvez mentioned that we will grow medium ticket LAP with minimal capital allocation. In the quarter, we have originated INR554 crores of medium ticket LAP and done direct assignments of INR462 crores of the same. Our AUM per gold loan branch shows an optical decline from INR13 crores per branch in Q1, to INR12.4 crores for branch in Q2.

7. However, this is due to the 57 new branches commissioned in the last 2 months of Q2, which will take 9 to 12 months to meaningfully contribute to book growth. However, our tonnage growth has been flat, and that's an area we hope to remedy when the new bran ches start contributing.

On the NIMs and spread.
We had advised in the last quarter that our normative yields adjusted for the onetime impact on

the sold BL would have been 16.6%, and the spreads would have been higher by the amount.
In quarter 2, with yields returning to the normative number, coupled with an additional 20 bps income coming from direct assignments on the medium ticket LAP book, our yields for the quarter have averaged 17%, up from 16.2% in the previous quarter. That, coupled with the improvement in the cost of borrowing has led to spread sequentially improving by 100 b ps quarter -on-quarter to 8.7%.
On the Opex side.
We are seeing traction in our cost rationalization measures with opex growth contained at 2.6% Y-o-Y. However, the operating cost for the quarter reflects a back -ended nature of branch expansion.
On th e Infrastructure side

.
The co -location/merger of 49 branches and consolidation of 3 branches has also aided in restricting the opex . Consequently, our cost to income has come off better at 56.9%, which is a sequential improvement of 136 bps. As we continue on the branch expansion journey, we expect the opex and cost to income to go up to more normative levels, but driven more by capacity - driven spend on new branch infrastructure.
On PCR side.
Our ARC transaction resulted in the sale of deeper bucket NPAs which had a higher provision than the average ECL. Hence, post -sale, there was a big drop in PCR through our ECL refresh exercise which we have done in September and the flowing back of the gains from the sale of the back book to shore up the NPA provision, our revised PCR stands at 32%.
On the Treasury side .
On a quarter -on-quarter basis, our weighted average interest cost on the overall borrowings has gone down by 37 bps from 8.56% in June, to 8. 19% for this quarter. This reflects a decline in cost of borrowing by 53 bps from the beginning of the fiscal.
This decline has been facilitated by reset on the external benchmarking borrowing and diversification of the resource mix by substituting local currency long -term debt with ECB. We have more ECBs and market borrowings lined up and timing will be a function of how the asset growth picks up.
Currently, around 83% of our total borrowings are floating rate in nature. And of these, 45% are on external linked benchmarks, while 39% are linked to MCA . Our incremental borrowing cost for quarter two continue to be comfortably below 8%.

The de leverage from our BL and LAP assignments of INR578 crores and a marginal increase in the gold loan co -lending by INR147 crores has resulted in our debt equity ratio decreasing from 3.89% as of June to 3.78% as of September. That gives us sufficient headroom to expand our loan book without needing to raise equity in the medium term.
With that, I hand it over to the operator for any questions. Thank you all.
Moderator: The first question is from the line of Digant Haria from GreenEdge Wealth.
Digant Haria: Firstly, it is very encouraging to see that we have opened new branches for gold loans because Laxmi ji is shining on the whole world and even India, the gold prices are very strong. Even the regulator has been very benign in having relaxed regulations.
But sir, I just have one question here that 6% Q -o-Q growth, though it is in no way a bad number, it just seems that we have been holding back our growth in some way because like from whatever we hear from the markets, larger players would probably be doin g double of that.
So just wanted to know that on the gold loan side, what is holding back? Why are we holding back? And probably it's time to go full throttle and we have not done that this quarter. So any thoughts here , Parvez sir or Ganesh, anyone?
Parvez Mulla: Yes, Digant, thank you so much for your question. If you remember, I was asked this question last quarter also. And we continue to maintain that we will be conscious of the price increase and the LTV. So, while the relaxation has happened on the LTV, we are still operating on the December guidelines. We have not taken the relaxation of the LTV yet into the effect. That's point number one.
Point number 2 is the branches that we have put up is just about in this quarter. In Q1, we were focused on moving some of our ST LAP branches because our infrastructure team was trying to do that model, and we were trying to experiment with that. So in Q2, we have pus hed the throttle on putting new branches. That is where the new tonnage comes in and the new growth also comes in.
Thirdly, there is a seasonal factor. A

ugust and September, there have been certain withdrawals.
So all these 3 put together, we are very -- and if you look at our pattern too, we pick up our growth substantially differently in Q3 and Q4. Our tonnage growth as well as our AUM growth.
So we are pretty confident about the kind of growth that we will get in the gold business and the kind of growth that we want in the Gold business. And it is almost in line with the guidance that we had given, while keeping the LTV and the price in mind.
Digant Haria: Perfect. One, just follow -up that -- see, new branches will contribute to growth. That is a very fair point. But in the existing branches, do you see like an increased inquiries or increased sales efforts from our side? Are we doing that? Because I see that our yields in Gold have gone -- it has actually gone better, like they have increased, at least that is what I could make out. So what strategy are we playing in the existing bran ches? If you can just highlight 2 lines...

Parvez Mulla: So existing -- as I said, existing is a play of the LTV. Existing is a play of -- see, there will be withdrawals in festive seasons. We usually -- whenever the festive season are there, we -- the kind of incentives at the front end are very different. So t he staff is encouraged to do more sales during the festive seasons to compensate for the withdrawals that happened during the festive seasons. So that kind of incentive structure, we have kept it in abeyance for Q3.
And for the existing branches, we were happy with the kind of growth or we were happy with the withdrawal that was happening in Q2 because we got the growth that we were wanting. And now one has to feel comfortable between, as I said, you have to be comfor table between the price growth and the LTV that you want to look at. So, you will see a very different Q3 number, both on the tonnage side as well as on the growth side.
Digant Haria: Perfect, perfect. That's really good to know. And then my last question is, we -- in the initial guiding comment, you said that we want to grow with in the most capital -efficient way and have our credit cost below 1%. But sir, I think this was -- this is a n older guidance now we hardly have anything unsecured.
We also sold down our portfolio. The small LAP portfolios, which are really delinquent. So, I think going ahead, I think you should be improving this guidance because just with mortgages and gold loans, maybe 1% credit cost may also be very, very conservative guidance?
Parvez Mulla: So, Digant, you're right, because you're looking at it in an absolute term. But if you remember the guidance and the Q3, the kind of environment, we were one of the first companies to tell you that we had a problem on the small ticket LAP business. And we had a problem in terms of the collection infrastructure and all that. So, I have book, which I have to take care of and the flows that I have to take care of. And that is where we gave you a guidance for the entire year of 1%, keeping that in mind for FY '26.
Obviously, one would like to improve on those guidance, but we stick to the guidance because those flows and because of the kind of environment that is shifting, one would like to improve on it. And one would like to give you a pleasant surprise on that. B ut the fact remains that any correction that needs to happen to a l ending book requires some time.
And there is no point in me giving you a revised guidance and then changing the piece. So, it stays in that bracket. We are still focused on -- in this entire year, we will be focused on getting our ST LAP piece right for the older book. So that's why that guidance remains.
And as far as the BL is concerned, we kept that in mind, and we've been taking some precautionary measures, and once you're trying to do these corrective measures as well as give a go

od ROA number and give a good credit cost numbers, one needs to figure out when you will correct the BL and when you will correct the ST LAP. All these are line level decision one has to take. So, it will remain in those lines. And one -- I mean, we would like to pleasantly surprise if the environment also improves.
Moderator: The next question is from the line of Shubhranshu Mishra from PhillipCapital.

Shubhranshu Mishra: Two quick questions. The first one is when I compare the cost to income or maybe the cost to assets 5.6%, 5.7% on the cost of assets, or cost to income at around 56%, 57% ballpark seems a bit higher for the -- versus the peers and also for the AUM size tha t we are. So just wanted the split of opex that you have today. How do we look at opex , one, if we split it into the cost of collections? Second, what would be the cost of acquisition? And what would be business as usual opex there, if you can split it into these 3 parts.
The second question is around the 1 plus and the 30 -plus. We are largely running a secured business. But maybe some degree of banking nascent customers. However, when I look at the

cure rates from 1 plus to 30 -plus, 1 -plus is hovering anywhere between 7.5% to 8% and 30% -plus is around 4.5% to 5%. So, we are able to cure somewhere around 30%, which seems a lower number, given the fact that these are secured exposures. So, if you can clarify on these, it will be really helpful.

Parvez Mulla: Shubhranshu, these numbers have to be looked at in context. Context is, again, I will draw the attention to my call in Q3 as well as in Q4, where we mentioned that we were going through a difficult situation, and we had taken a onetime hit on the ST LAP bo ok. And we were trying to rebuild that particular business. And that is where we had given guidance that in the entire FY '26, we will be focused on trying to get the credit cost 1% sub range.

Last year, we had a credit cost of about 1.8% in FY '25, and we wanted to guide in FY '26 for a 1% credit cost. So the entire year was a credit cost -focused year, and that is what we wanted to guide. We also mentioned that time that the cost to income and the cost to average assets, although were very high compared to other peers, that was not the metric which we will focus on in FY '26. We will focus on in FY '27 for two reasons.

Even though we will do a lot of initiatives to reduce the cost, there is other capacity expansion, as Ganesh mentioned, in terms of putting new branches as well as adding collection infrastructure to take care of the small ticket LAP business. And while yo u are doing all this in FY '26, the numbers are usually no t indicative of an ideal state.

So FY '26 is a rebuild year. That is why breaking -up that 5.7% right now might not be correct and comparing us might not be correct because we are moving in a context of Q3 FY '25. So that opex , you will see a substantially different opex in FY '27.

Right now, what you're seeing is our initiatives on the cost, which are coming in, but there is also capacity addition, and we will continue to add branches in Q3 and Q4, and that is why you will see cost -to-income and average assets might be 10 or 20 bps here and there in this year. And on cost to income side, it might remain flat over FY '25.

As far as the 1 -plus and 30 -plus is concerned, again, these numbers will have to be compared in context of Q3 and Q4. And we said it will take us a year to correct this. The kind of resolution rate that you are comparing us with, the other companies have e volved themselves on the collection side. We had a very sparse collection team on the ST LAP side.

We've built that in the last 2 quarters. The teams are coming in, and that is where we are seeing improvements. This year, you will

see those numbers going up or down. But by the year -end, we should stabilize those internal numbers as you compare between t he 30 -plus and 1 -plus. I agree ideal state, it should be that, but we are still a little far away from giving you those numbers.

Shubhranshu Mishra: If I can just squeeze in one last question. What would be our collection post -today? And how do we envisage the recruitment in the next 2 quarters? Or maybe next 3 to 4 quarters, what would be -- what would this look like in the next 3 to 4 quarters?

Parvez Mulla: Again, Shubhranshu, I will answer it in context of 9 months to a year ago, our collection team was not verticalized. We had the same collection team for our medium ticket LAP business as well as small ticket LAP business as well as BL business. One thing w hich we changed this year was we verticalized the collection team. We got separate leaders for this vertical structure of collection. Then we got the regional leaders. So, we overinvested in that collection infrastructure.

Plus, we improved the ACR, plus we ensure that the 12 MOB is assigned to the sales team, which was responsible for sourcing, and we had a KRA for that. Plus, we got a new leader as Chief Business Officer, Mr. Shardul Kadam, who is now ensuring that collection as well as business go hand in hand.

And we also, as far as the feet on street is concerned, whenever the collection team is parsed, most companies land up giving it to agencies. That was the scenario 1 year ago. We are -- over the last 6 months, we have been trying to reduce the agency perce ntage, and we've been successful in that.

So, all this work is happening in the background when I give the guidance of 1%, there is a lot of work which goes behind all this in trying to ensure and these are the infrastructure changes as well as the structure changes that we are doing in the ST LAP business to give us the output that we are wanting. We are still 6 months away from it becoming predictable.

Shubhranshu Mishra: Understood. The count of people or...

Parvez Mulla: Yes, I can -- for example, on the small ticket LAP business earlier, I had about -- only for the small ticket LAP business on the collection side, if I had people 200, I would have increased it to about 400 people now.

Moderator: The next question is from the line of Mayank Mistry from JM Financial.

Mayank Mistry: Yes, Sir, I have a question on the disbursement spend. So basically, you just explained that you have been doing some co -locating branches, and there is a good amount of expansion going on in the gold loans. But your tonnage seems to be decreasing at the same time. And your disbursements have also been sequentially for this quarter, at least the sequential -- there was a sequential decline in disbursements.

So, is there any competition -- competitive pressure that is building up because of which maybe we are going -- we may be going a little slower? Or can you throw some light on how -- why has the disbursement been a little slower compared to previous few quarte rs?

Parvez Mulla: Yes, Mayank, thank you for that question. I might be repeating myself because I answered that in the first question also. Our disbursements in gold, we also look at the net growth. If you see the AUM growth quarter -on-quarter, we have seen a 6% upside quar ter-on-quarter. And year -on-year, we have seen a 36% upside on the AUM for gold. So there is an upside.

As far as tonnage is concerned, you are right, in the first 2 quarters, the tonnage is flat. But if you look at us in the past 2, 3 years also, the first 2 quarters, our tonnage has been flat in the first 2 quarters. It picks up in the third and fourth qua rter. And that's how we have always guided that if you look at year -on-year tonnage growth over the last 5 years, you will see year -on-year tonnage growth. So our t

onnage usually picks up in Q3 and Q4, and it's seasonal for us.

As far as competition is concerned, there is increase in competition, yes. But right now, the less -- I won't connect the less disbursal to competition. I think there is a little bit of withdrawal, which happens in Q2, which has happened, in terms of custo mers withdrawing their jewels because of festive seasons as well as because of the price rise.

And we think looking at the October numbers, we are very, very confident about Q3 being a definitive year -- a definitive quarter for us, which is comparable to our previous seasonal movements. So for us, it is normal, business as usual. I mean it's nothin g unusual. And as far as you would have tracked us over the past 3 quarters, if there is anything unusual, we would have been the first people to tell you that there is something unusual for us. Our Gold business is doing decently in traction.

Mayank Mistry: Okay. And sir, the next question is as Ganesh sir said, that there was a n ECL refresh and which has led to sharp decline in PCR during the quarter. Earlier, we used to maintain a very lower number over here. And at that time, our gold mix was also around 35% levels, right? So now when the gold loans had increased and we had act ually increased our PCR at that time. But now, again, the decline is happening. At the same time, our mix is also going down on the gold side. So do you see these numbe rs going down further?

Parvez Mulla: So again, Mayank, I will give a first -line answer, and then I'll request C.V.G. to supplement it. First is, again, go back to our guidance, which we gave in Q3 and Q4 when we were asked when we had showed up the PCR. We had showed it up to about 38%, 40%. We had said that it is a onetime effect because we had taken a onetime effect. We were earlier at 22% PCR, and then it had gone up to 40%. At that time, when we were asked this question, we had said that in our guidance, we had said our going forward PCR will not be as high as 40% and will not be as low as 22%, 23%.

And if you see, it has played out in Q2, we are somewhere in between. Having said that, you will look -- you will have to look at us as a company which is doing gold loan business as well as LAP business, the mortgage PCR is very different from the Gold PC R. C.V.G., you want to add?

C.V. Ganesh: Yes. So Mayank, what I will say is that the mortgage PCR, we have a mix of small ticket and large ticket mortgage. Now on the large ticket mortgage NPAs, our loss given default has rarely exceeded 15%, okay? So basically, it will be a little unfair compari son with overall PCR across the medium ticket and the small ticket is compared with other stand -alone companies is perhaps to only small ticket right?

So for us, we have a higher PCR on the small ticket. We have a little lesser PCR on the medium ticket. So the average optically may look on the lower side. I think I can assure you that we are adequately provided for the risks on the small ticket LAP and H L where we perceive a little higher degree of stress than the other parts of the portfolio, mainly gold and medium ticket.

What happens is a PCR is total provision upon total NPA. And when you have a combination of three products, it's sometimes skewed, and the number optically may not be very suggestive of a meaningful interpretation.

Mayank Mistry: Okay, sir. Okay. Just if you can just -- if you can throw some light on the scenario in the LAP, because it's been a couple of quarters since there has been issues in the mortgage space across the industry. I know we have cleaned up our move for the last w hole year. But if you can just throw some light on the on -field, how -- on the field, how the trends are moving. And on the collection front, if you had any change over the last 1 year, in terms of customer behavior?
Parvez Mulla: As f

ar as -- see, on the small ticket LAP business, we had advised that we had certain challenges on the collection side when we advised on Q3 last year. So 9 -months down the line, we are -- we have put the infrastructure and the -- we are addressing issue s which the company faced in Q3 and last year Q2, and we will take the entire FY '26 to address it. When we're looking at the data, we have, as I had mentioned last time also, there are multiple geographies as well as multiple areas where we are addressing the collection manpower issue.
So when you have an internal problem that you are addressing, and the external environment is a component of that, firstly, we will try and solve the problem that we are having internally, which is what we are doing. And that is where you will see the numb ers for the old book as well as new book improving. There have been last quarter and some companies have mentioned that there is some stress in certain markets.
But for us, it is contaminated by our own issues. That is why it is very difficult for us to do that segregation that this is the environment issue, and this is our own issue. We have classified it as all our issue, and we are trying to address it. And our collection manpower has started moving around in the field in the l ast quarter and trying to meet those customers and get certain responses.
See, if you look at the kind of income levels that have happened in rural India. If you look at what has happened in the micro -finance market, if you look at how the wage bills have been or how the crop pattern has been, it's a mixed bag for rural economy. And incomes h ave been stagnant in that area.

So there definitely is that environment, which is playing in. While we are doing our own analysis and just ensuring that our book is analyzed for ourselves. So it won't be prudent for us to give you a market environment related field when we are trying to address our own book and trying to fix that.
Moderator: The next question is from the line of Renish from ICICI Bank.
Renish: Sir, just a couple of things. One, again, on the credit cost front, right. So this quarter, the absolute provisioning has gone up despit e we getting INR4 -5 crores , of benefits from sales to ARC. So I just wanted to understand whether this quarter, we have seen gross seepages going up or there is an elevated write -off this quarter?
Parvez Mulla: So, Renish, to broadly give you the -- there will be a 20 bps there of ECL refresh, which we have done in this quarter. So that 90 bps has a 20 bps there. And as far as the ARC sales release is concerned, that would get compensated with the PCR increase th at we have done.
Renish: But sir, that is to route through P&L?
Parvez Mulla: Which one? Yes.
C.V. Ganesh: So Renish, can I come in here? I'll just answer the question, maybe I'll supplement what Parvez said. You are right. So that has to come through the P&L. I can tell you that no part of that gain on the ARC sale is flowing to the ROE. We have used it to flo w back the provisioning.
I'm also confirming that our credit costs for this quarter are actually equal to or a little lesser than the credit cost for the last quarter. So whatever delta is there, is what we have used for the ECL refresh and shoring up NPAs book on the residual NPA book, to get the PCR above t he 31%. So maybe that portion of the credit cost is a one -off for this year, and we will see a return to more normative credit cost in Q3 and Q4.
Renish: Okay. So when we say normalized credit cost, basically, you are saying 70 basis points should be a normalized credit cost, right?
Parvez Mulla: Renish, we have guided for our FY '26, 1%, plus or minus 10 bps, and that is what we have guided. But -- and as we -- as our teams start getting put in and as we see collections, we should see better improvements

on that.
C.V. Ganesh: So if I can comment, Renish, our commitment last time is that we will try to set flows on the ROE every quarter, right? So I think maybe that should give comfort that irrespective of the individual elements of the ROE is -- we will -- the idea is to have a company which has consistent, stable ROE with a minimal negative surprise.
Renish: Got it. Got it. So just to follow up on that. So what sort of ROA we target for FY '27 now? I mean is there any change in our expectation or...

Parvez Mulla: No, FY '27 remains same, Renish, what we had given earlier. The '26 and '27, our guidance has remained same over the last 3 quarters.

Renish: Okay. Got it. And again, just the last thing on the sort of gold loan side. So I do understand we will be little calibrated when it comes to growing our gold loan piece beyond some threshold. But what has led to sequential decline in absolute disbursement number?
Jagadeesh Rao: So Renish, Jagadeesh here. So the sequential reduction in the disbursement is mainly because of the festivities. So we have seen this happening in the month of August and September, mainly because of the Navratra releases. And there is no new loans coming in. This is seasonal, and we are seeing that win back coming as we speak in October.
Renish: So basically, you are saying loss of business mix. I mean is that a fair assumption?
Jagadeesh Rao: Yes, yes. There are releases happening in the market because of the festivities.
Moderator: The next question is from the line of Raghav from AMBIT Capital.
Raghav: Just two questions from my side. One, I just wanted to confirm the write -off number for the quarter? Was it around INR50 crores, INR60 crores? Is that understanding correct?
Parvez Mulla: Raghav, where did you pick that number from?
Raghav: No, just from calculations...
Parvez Mulla: Our write -off number is about INR9 crores, INR10 crores.
Raghav: Okay. INR9-10 crores, understood. The second question is around this consolidated branches. You mentioned that it's going to be exercise that will continue in the second half as well. Can you give a number in terms of how many branches are you looking to consolidate between the gold loan business and the ST LAP? And then what are your plans on these lines for FY '27. I'm just trying to understand from a cost perspective, that's all.
Parvez Mulla: Yes. So we plan to open more than -- I mean we plan to open about 150 new gold branches in the entire year, of which you have seen almost 57 done now. So another approximately 90 -odd will come up in the next 2 quarters.
As far as the consolidated branches are concerned, that's a little tricky because we have to look at the leased premises. We have to look at the space, which is available, and we've made that list of -- as well as the business, catchment and everything els e. So that number, we have pegged ourselves to about 75 to 80 for the year, which we will try and do.
We've reached 47 number. So there are another few in pipeline. If we -- so that is not constrained by our it is constrained by the fact that if there is any market compromise or if there is any space available compromised, then we might do lesser, but 75 is somewhere -- is what we w ill try and target.
C.V. Ganesh: What I would say , Raghav, is if you see the way we have been deleveraging and releasing capital. The idea is to have enough gunpowder to avail the gold loan opportunity, right? And the whole

idea is to build capacity for a better FY '27 and FY '28, right? So that's the idea. There is enough gunpowder in our gun right now.
Moderator: The next question is the line of Pawan from Edelweiss.
Pawan: In terms of small ticket LAP, are we at a stage we can increase the disbursement beyond INR200 crore

s per quarter going into Q3, Q4?
Parvez Mulla: Thank you for your question. Shardul, do you want to take it?
Shardul Kadam: This is Shardul here. So yes, we have been working on that on a consistent basis. As we had guided, what we've seen, our assessment about the environment is that the borrower segment on which we focus. It is not completely come out of the woods yet. So we are continuing to monitor the environment, and we are also working on our own portfolio. What has happened in the last 3 to 5 months' time is we've completely firmed up our leadership teams at a state level, and that is in place.
Now with that happening, there is a decent degree of traction. We can confirm that is happening in terms of our distribution, in terms of also beginning to leverage our gold loan branches where we are using that as a pilot for new point of sales. So all of that is happening. We have -- in light of the environment, we have also tightened our credit policies.
We have showed up our CIBIL thresholds because of which we have seen some degree of reduction in our disbursement. So the teams are getting aligned with this new regime. And I think that's a transitionary phase where we are right now. So yes, once that sta bilizes, I think we should start seeing a pickup.

Pawan: Got it. Just one more question to you. The origination yields have come down from 16.1% to 15.5% quarter -on-quarter. And generally, the segment of customer is agnostic to rates, I mean, the conventional wisdom. Any reason for this drop?
Shardul Kadam: So that -- the way we are looking at it is a transitionary phase for us. What has happened is, especially in the southern states, we have seen a slightly higher attrition and South typically gives us better yields. So obviously, on a proportionate basis, t he certain disbursements have come down. So that's where the play is when then we see those teams stabilizing is where we should start seeing a take -off here.
Pawan: Got it. What is the BT out rate?
Shardul Kadam: Yes. BT out rate has been fairly stable for us. It's hovering in the range of about 1.2%, yes, that's it.
Pawan: Ganesh, sir, one question. Last year, I mean, in FY '25, you have done the ECL refresh at the end of December, if I remember correctly. Any reason why move to end of September this year? That's one. Second part is, last year, the impact was INR19 crores and 67 basis points. This year,

the impact is much lower at a 19 basis points itself. So is this largely due to mix change being last year was having a lot more business loans, unsecured business loans?
C.V. Ganesh: Yes, thank you for the question, Pavan. Yes. So I think -- no, we took a decision to do the ECL refresh in September, because when we had our regulatory supervision, there were some observations around strengthening the documentation around the ECL exercis e. So we took the opportunity to mitigate the observation as well as do the exercise and have it behind us. So that there is no negative surprise spending for Q3 and Q4, right?
And as you will appreciate, in spite of that, we have come out with a ROA better than Q1. So that at least would be overhang for Q3 and Q4. On the second question, you are right. I think the mix change has resulted in a lesser gain and fact that we had perhaps for the marginal increase in the model has not been consistent.
Pawan: Sir, then in corollary, like I think a couple of people have already kind of touched on this point, but still asking is that you are seeing the portfolio moving to completely secured, you're also seeing ECL, the numbers coming out, not just leading indicat or even as a lagging number, even after changing the ECL methodology or like whatever requirements that need to be done. The impact is quite low. So even at a time where you -- if you revised the credit cost guidance, at least for FY '2

7, FY '28 and then increase our ROA guidance?
Parvez Mulla: No, let's look at Q3, and we will come back to it. What you are saying about lead indicators. One not only look at these indicators, but one is also looking at what is happening at the field level, what is the kind of response that you are getting in your buckets? What is the kind of collection efficiency that you're getting in your pre buckets? All these are also factors which are -- one is looking at.
That is why we are not revising the guidance right now. We also want to be pleasantly working towards it. But I mean, we don't think the issue which we have identified can be fixed in 2 quarters. It requires certain time, and we are fixing it. And while we are fixing it, we are running a ship, and we believe that we are giving numbers which are in line with certain guidances that we have given. And we want to be giving a guidance, which is contextual to this corrective exercise that we are doing.
Moderator: Thank you. As there are no further questions from the participants, I now hand the conference over to Mr. Shreepal Doshi for closing comments.
Shreepal Doshi: Thank you, Swapnela. Thank you to all participants for being there on the call. This was a late - evening call. Thanks all, again, once again. And I would like to thank the management of the company for giving us the opportunity to host this call. Thank you, and Happy Diwali to everyone.
Moderator: On behalf of Equirus Securities, that concludes this conference. Thank you for joining us today, and you may now disconnect your lines.

Call: Jan 2026

Secretarial Department

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January 22, 2026
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Bandra Kurla Complex,
Bandra (E), Mumbai – 400 051

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Department of Corporate Services,
BSE Limited,
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Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai- 400 001

Scrip code: 544027

Sub: Transcript of Earnings Conference Call held on Friday, January 16, 2026

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended, please find enclosed the transcript of the earnings conference call which was held on January 16, 2026.

The transcript of the earnings conference call shall be uploaded on the website of the Company at https://www.fedfina.com/ under the section ‘Investor Relations’ in due course.

The above is submitted for your kind information and appropriate dissemination.

Thanking you,

Yours Faithfully
For Fedbank Financial Services Limited

Parthasarathy Iyengar
Company Secretary & Compliance Officer
Membership No.: A21472

Encl : As above

“Fedbank Financial Services Limited
Q3 FY '26 Earnings Conference Call”
January 16, 2026

MANAGEMENT : MR. PARVEZ MULLA – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER
MR. C.V. GANESH – CHIEF FINANCIAL OFFICER
MR. SHARDUL KADAM – CHIEF BUSINESS OFFICER , SMALL TICKET LAP BUSINESS
MR. VIKRAM RATHI – CHIEF RISK OFFICER
MR. JAGADEESH RAO – CHIEF BUSINESS OFFICER , GOLD

LOANS BUSINESS
MR. K. SURESHKUMAR – CHIEF BUSINESS OFFICER ,
MEDIUM TICKET LAP BUSINESS
MR. LOKESH PAREEK – HEAD OF INVESTOR RELATIONS

MODERATOR : MR. SHREEPAL DOSHI – EQUIRUS SECURITIES

Moderator: Ladies and gentlemen, good day, and welcome to the Fedbank Financial Services Q3 FY '26 Conference Call hosted by Equirus Securities. As a reminder, all participant lines will be in a listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference ca ll, please signal an operator by pressing star then zero on your touchtone phone.
This conference call may contain forward -looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.
I now hand the conference over to Mr. Shreepal Doshi from Equirus Securities. Thank you and over to you, sir.
Shreepal Doshi: Thank you, Steve. Good morning, everyone. We welcome you all to the Earnings Conference Call of Fedbank Financial Services to discuss the Q3 FY '26 performance of the company.
Today, we have the management of the company represented by Mr. Parvez Mulla, MD and CEO; Mr. C.V. Ganesh, CFO; Mr. Shardul Kadam , CBO for Small Ticket LAP business; Mr. K. Suresh, CBO for Medium Ticket LAP business; and Mr. Jagadeesh, CBO for Gold Loan business. We also have Mr. Lokesh, who recently joined as the Inve stor Relations Head.
I would now like to hand over the call to Mr. Parvez for his opening remarks. Post which, we can open the forum for question and answer. Over to you, sir.
Parvez Mulla: Thank you, Shreepal. Good evening, everyone. I would like to extend a warm welcome to all of you for joining the Q3 FY '26 Post Results Earnings Call. I'm joined by our CFO, Mr. C.V. Ganesh, our 3 CBOs, Mr. Shardul Kadam, Mr. Jagadeesh Rao, Mr. Suresh Kum ar; our Chief Risk Officer, Mr. Vikram Rathi; and Mr. Lokesh Pareek, our new Head of Investor Relations.
The priorities for your company remain the same, which we had articulated at the start of the year, namely,
• Conserve and allocate capital to businesses with high ROA and ROE focus on our twin-engine strategy of gold and LAP business to move towards a fully secured lending portfolio.
• Expand gold business through branch expansion and increased doorstep coverage, continue to foster synergies between our gold and LAP operations.
• within LAP, we will concentrate on a combination of high -yield ST LAP and low -risk MT LAP.
• Expand MT LAP with minimum capital allocation.
• We had faced challenges in our ST LAP business. We were rebuilding it over the year, rebuild ST LAP and established leadership and build team for growth and quality.
• We continue strengthening our collection infrastructure to effectively manage delinquencies.
• We aim for increased core income while reducing reliance on DA income, use DA as a capital allocation strategy.

• Move towards a frugal cost structure.
• And, ensure that credit costs remain 1% plus or minus 10 bps.
With respect to these priorities and more, we have taken the following actions in Q3 FY '26.
• On the gold business, we have recorded a remarkable quarter with the AUM growing 52% Y -o-Y and tonnage growing 5.1%. Our LTVs on AUM stand at 59.3%.
• Last quarter, we got a lot of questions, and we had spoken about our seasonality in this particular business. This quarter, we have disbursed INR7,853 crores in gold loans, marking the highest amount ever achieved by the company in a single quarter. Consequently, this has led to a net AUM growth of INR1,174 crores.

• We have opened 54 new gold branches this quarter, bringing our total new branches to 113 for the year. In accordance with our guidance, we will keep opening new branches in the upcoming quarters.
• Despite opening 54

new branches, our AUM per branch has reached INR13.3 crores, reflecting an increase of INR0.91 crores per branch during this quarter.
• In our collaborative initiative involving gold and ST LAP, we have successfully merged an additional 14 branches. This means we have co -located 63 branches this year. That is 63 branches of ST LAP have moved into 63 gold branch premises and release the ST LAP premises. We will persist in our efforts to merge and co -locate more branches.
• Despite facing yield pressure, the MT LAP business continues to perform consistently, disbursing INR545 crores this quarter, while maintaining its yields.
• In light of the pressures within the ST LAP market and the increased rate costs faced by the company previously, the company has fortified its credit policies and successfully transitioned to the system -driven BRE. This quarter, ST LAP division has disbursed INR208 crores.
• As promised, our unsecured lending portfolio continues to diminish, now constituting nearly 0.6% of our on -book assets.
• The senior leadership has been successfully on -boarded in collections during Q1 and Q2. We have further strengthened the field team now. We have verticalized the collection framework incorporating additional resources for both call center as well as the legal and recovery teams.
• Our credit cost, as promised, stays below 1%. This quarter, we have clocked about 0.9%.
• In line with our priority of increasing core income and decreasing DA income, our net income from DA has decreased to INR1 crores for the 9 months FY '26 compared to INR62 crores for the same period last year.
While we continue to implement corrective measures in our ST LAP business, we anticipate certain flows, which will persist as advised earlier and as guided earlier. Once we stabilize in the near-term, it will contribute to a more stable and predictable performance.

Some of the key numbers are as follows:
• our business AUM reached INR17,500 crores, translating to a growth of 17% Y -o-Y. If you exclude the BL business, it will be about 32% Y -o-Y.
• Gold reached INR7,905 crores and AUM growth of about 52% Y -o-Y tonnage growth for the year came in at 5% Y -o-Y, reflecting -- touching 11.2 tons in totality.
• Our mortgage AUM reached INR9,084 crores, and AUM growth of 20% Y -o-Y.
• Our disbursals of INR8606 crores in Q3 FY '26, up 96% Y -o-Y.
On the profitability and asset quality ,
• Our net interest income grew 16.8% Y -o-Y to INR318.9 crores. Our operating profit grew 11.7% Y -o-Y to INR149.4 crores.
• Our credit cost for Q3 stands at 0.9%.
• Our net profit stood at INR87.9 crores in Q3 FY '26. Gross Stage III stands at 2.1% versus 1.9% last quarter.
I will now hand over to Mr. C.V. Ganesh to take you through the numbers in detail.
C.V. Ganesh: Thank you, Parvez, and thank you, everyone, for your participation on the call. Sharing a few points to aid in better interpretation of the results.
Firstly, from an asset growth perspective, our AUM ex business loans , which we divested has grown 32.5% year -on-year and 9% quarter -on-quarter. The gold loan originations have been the standout performer in this quarter. Our gold loan AUM had grown INR850 crores in the first 6 months of this fiscal. In the last 3 months alone, which is Q3, the gold AUM grew INR1,174 crores. Our 113 new branches fo r gold loans are hitting the ground running and giving us the confidence to continue this journey of branch addi tion.
Of the loan book of INR12,945 crores as of December 30 , unsecured business loans have gone down to under 0.6%, down from 10% at the beginning of the fiscal, resulting in 99.4% of the loan book now being fully secured, either against property or gold.
In this quarter, we have originated INR545 crores of Medium Ticket LAP and have done direct assignment/co -lending of INR313 cr

ores of the same. However, as guided earlier in the earlier
calls with the NIM expansion aiding core income growth, we are consciously reducing our DA income.

I'm reiterating again, it is a choice we are exercising. Consequently, we have done lesser direct assignments in Q3 at INR313 crores compared to INR578 crores in the previous quarter. We may continue to do lesser direct assignments in Q4 and the medium -term and migrate to co - lending.

On the Opex side , our opex for the quarter is up 21 bps primarily due to an increase in employee costs due to new branch staffing in the 113 new branches, higher incentives on the gold loan originations and a onetime impact of the labor code regulations of INR3.9 crores.

This impact is reflected both on the opex and the operating profit. Consequently, our cost-to-income has come off a little worse by about 10 bps.

Other expenses have also gone up due to new branch related rent and operational expenses, higher advertising and travel spend during the quarter and higher depreciation as we increase the branch infrastructure.

On the asset quality , our delinquencies in the 1 + have gone down from 7.5% to 7.1%, and the 30-plus has also gone down from 4.6% to 4.5%. However, we had higher forward flows from stage 2 to stage 3, resulting in our gross stage 3 going up to 2.1% from 1.9% last quarter. These are adequately provided for in the quarter. In spite of this, we have been able to keep credit costs flat at 0.9%.

On the PCR front , our PCR last quarter had dropped due to an ARC sale of deeper bucket NPA, which had a higher provision coverage. In this quarter, our PCR has marginally gone up to 32.3% from a little under 32%.

On the treasury side , total on the quarter -on-quarter basis, our weighted average interest cost of total borrowings has gone down 32 bps from 8.19% to 7.87%. This consistent decline in the weighted average cost has been facilitated by resets on the external benchmark linked borrowings and lower rates on new borrowings. Since our new gold loan originations carry shorter tenor than our LAP product, it has allowed us to borrow more at the shorter end with lower rates.

To lock -in spreads in a declining interest rate scenario, we have increased our fixed rate borrowings from 11% of total borrowings to 29% of total borrowings. This gives more visibility on the spread going forward. On the floating rate borrowings of 71%, 41% is external benchmark based and 30% is linked to MCLR.

Our incremental cost of borrowing in Q3 FY '26 was a little under 7.6%. Our debt equity ratio has increased from 3.78% in September '25 to 3.99% as of December '25.

In summary, over the last 4 quarters, we have sequentially continued on the journey of steady, consistent and a gradually growing ROA and ROE trajectory. The ROA over the last 4 quarters has grown from 2.2% to 2.5% and ROE has expanded 130 bps from 11.4% to 12.7% aiding in confidence on our new strategy and appetite to invest more in capacity addition.

With that, I hand it over to the operator for questions.

Moderator: The first question comes from the line of Digant Haria with GreenEdge Wealth.

Digant Haria: Sir, last quarter, I had asked that when will Lakshmi Ji shine on our gold loan portfolio. So good to see that the AUM growth was good. But I think the shine has still not fallen on our income and operating leverage. If I see our old branches would have pr obably reached an AUM of, say, INR15 crores, INR16 crores per branch, the older ones. But the income line item and the operating leverage is still not visible. Like do we see it coming in the next 1 or 2 quarters.

Parvez Mulla : Yes, Digant. You will see it happening. See, normally, what happens is, when we do such kind of large originations, there is an u

pfront cost of incentives and other spend s which is incurred at
the beginning, it was recognized upfront in the month of origination, and the earnings of these loans are back ended. So it will play out gradually.

Parvez Mulla: Digant, thank you so much . I remember that question you had asked us that why we grew only 6% and when others were growing 10% quarter -on-quarter in the gold side, and I told you about the seasonality.

And you can see that seasonality playing out differently for different companies, although they are in the same gold business because geographically, we are in different sectors, which expand differently and behave differently. So that seasonality typicall y plays out for us in Q3, Q4.

Digant Haria: Right . Parvez, one more question I had was, let's see, the yields on the gold loan portfolio, like the reported ones in our presentation showed that we are down from, say, 19.1% to 18.3%. So is this like a competition effect or maybe we did some schemes because this was a good season for us. Generally, how should we expect this yield to move? Is it already that there's yield pressure in the market? Or we still have enough room to do our business at our terms and condition?
Parvez Mulla: At a portfolio level, when you do a substantial amount of disbursal in a particular quarter, and that has been an exceptional disbursal quarter, there will be a differential yield which we will play with, and we will play with a little bit , I mean . It's a line call when you look at certain states where we want to play that yield. So, I'm not so worried about it as the mix of the new business is slightly higher in this particular quarter, it shows in that fashion. Overall level at an entity level, I'm not so worried because it's not going to affect us in substantial basis points there. So it is a mix issue. If the disbursals would have been about INR300 crores, INR400 crores, you wouldn't have seen that kind of a depression.
Digant Haria: Okay. Got it. And one last question , we have grown very well, say, 16%, 17% Q -o-Q. A lot of competition would also be doing that. So, in our assessment, it just feels that next 3, 4 quarters will be the time when we have to really utilize our asset like we have such a brilliant gold loan asset, good processes, good number of branches, good employees. I just wanted to understand if this momentum for us continues in that particular fashion, and maybe we reach INR15 crores, INR16 crores of AUM per branch in the coming 2, 3 quarters because competition is really catching up and maybe we have a year's time where competition will really not be very high and we can just fortify our markets. So I just wante d to hear your thoughts on the next 12 months for this gold loan piece.
Parvez Mulla: Yes. In the start of the year , I had mentioned to you that the growth will be in line with the Fedfina strategy. We will be conscious of the price momentum. And I had mentioned to you that we will be focused on tonnage growth. Fedfina has a strategy , year-on-year over the last 5 years has shown tonnage growth. If you look at the last 5 years, we have shown a 10% to 12% CAGR on tonnage growth every year. This year also in the first 2 quarters, the tonnage growth you wouldn't have seen. But year -on-year, again, you will see a 10% tonnage growth. The focus is on tonnage growth. The focus is to take the price momentum, we are conscious of the fact that

the price momentum is very high. So that is why you see the combination of LTV and price playing out. We've not capitalized on the LTV. The LTV has been allowed to go down. We are conscious of that. While the growth has to happen, we need to be conscious that, the growth has to be in line with our operational processes as well as the risk that we want to look at, the price fluctuations that we want to look at.
So all -in

-all, it has to fall in line with what we are expecting with the gold business to do. You will see that momentum continuing. We will capitalize on the momentum. What I am trying to essentially say is a single company, which is doing only gold loans is very different from a company which is doing a twin product . We will get the advantages of doing a twin product. That is how you will have to see the company.
Digant Haria: We'll not stop our gold loans to maintain that, right? Because if we continue this normal run rate also, we'll cross 50% in terms of gold loan AUM. So we won't stop it just because we want to cap gold at below 50 or anything, nothing like that, right?
Parvez Mulla: No. There is no thought in that side. It's only going to be the cautiousness on the price and LTV side. Otherwise, our actions over the past quarters have shown you that we've not been worried on that front.
C.V. Ganesh: I just want to add, Digant, our gold loan growth will be unconstrained, okay? The character of the product mix does not determine how much we grow our gold loan or otherwise. It will continue to grow on a faster momentum than the rest of the businesses.
Moderator: The next question comes from the line of Nischint Chawathe with Kotak.
Nischint Chawathe: Actually, 2 questions from my side. One was, if you could give some outlook or trajectory of stressed loans in mortgages, I think essentially the small ticket business. How do we see it trending up from here onwards in the fourth quarter and the next finan cial year? And the second is in terms of the sequential movement in yields over the last 3 quarters, it's kind of year-to-date update .
Parvez Mulla: Nischint, thank you for the question. On the small ticket LAP business, just to give a context, a year ago, we had mentioned about the stress in the small ticket LAP business, specifically for our company, and we had guided the team here about what we are doing in terms of action and why our portfolio saw that particular stress. We had said that there will be certain actions and the kind of GNPA that you could see over the next 3, 4 quarters, that is still FY '26. We had said

that the GNPAs would move up or down, but we will try and maintain the credit cost below 1% at an entity level. While the flows on the ST LAP continue from the old book, we have transitioned quite a bit of this old book . We had a manpower shortage on the collection side. Whenever you have a manpower shortage on the collection side, agencies handle these collections, and we've transitioned from that piece to in -housing that collection. Whenever you do these transitions, there is that movement happens and which is what we hav e faced over the past 2, 3 quarters. That trajectory, you will see in Q 4 and you've seen in Q 2 and Q 3, it is the same vintage portfolio , which is giving us those flows.

We are in complete control of those flows because there is a predictability which we had seen. We had seen the kind of the GNPA that is coming out now we had predicted that, that is the GNPA, which will flow in Q3 and Q4. So , we had guided you accordingly. And that is where we think that once we get this complete in -house, which would happen by Q4. The predictability should be much, much better on the stress loan side. This fresh sourcing, which is happening on ST LAP is giving us much better numbers on the 12 MOB and the 15 MOB as well as the 18 MOB.

That portfolio is looking much better. Obviously, it is coming off a new BRE. Obviously, it is with lesser seasonality, but we are confident of that number flowing completely differently. That is on the stress loan. On Yields, CVG, you want to give color?

C.V. Ganesh: Yes, Parvez. So thank you, Nischint, for asking that question. See, one thing I wanted to caution everybody is that our yields has appeared in the investor deck, are vi

tiated by the DA income number. And that is precisely why we are focusing on core income and core yield. Optically, while it may appear that yields have dropped by 20 bps quarter -on-quarter between Q2 and Q3. That is merely because of the fact that in Q2, we had 20 bps of DA income, which is not there consciously in Q3. So eliminating for DA income, the core yield is the same. There has been no yield reduction. And our focus continues to be on core yield. We wi ll continue to drive that. And I would request everybody to look at the yield, excluding the impact of DA.

Moderator: The next question comes from the line of Pavan with Edelweiss.

Pavan: Two questions on the small ticket LAP. One, you mentioned earlier that you were facing some issues in Tamil Nadu in terms of the personnel. Have those been resolved? That's one. So will that lead to growth in the coming quarters? Second question is on the yield compression bit that you have said. Maybe on the calculated yield side, definitely take your point. But on the origination yields also, the ones that are disclosed in the presentation, there seems to be 80 basis points reduction over the last 3 quarters in the small ticket LAP, vis -a-vis only 20 basis points reduction in the medium ticket LAP. Could you please explain that?

And going forward, how are you seeing the on -the-ground economy in terms of the people's willingness to borrow or ability to borrow? Yes, those are my questions.

Parvez Mulla: Yes, Pavan. Thank you so much for your question. On the yield front, apart from the one I explained on the gold side as well as the explanation, which CVG gave on yield, two additional colors. One on the small ticket LAP business, definitely, there is an e nvironment which is behaving in a particular manner for lower ticket below INR5 lakhs. There have been companies which operate in this particular segment who have reported. There is that MFI piece, which was happening over the past few quarte rs, that has affected that particular segment, which is below INR5 lakhs. Some people who have looked at this business on the ST LAP side, also, I have seen a little bit of stress on the INR7 lakh to INR5 lakh segment, the spillover of the MFI on that particular segment. We've been conscious of that over the last 2 quarters, you've seen a slight movement of the ticket size for ST LAP for us. We've reduced the exposure for that INR5 lakh to INR7 lakh. That's why you see the ticket size moving up. As the ticket size has moved up,

yield has dropped for the ST LAP business there. There is definitely a pressure on yield even on the MT LAP segment. Across the board in the industry, there is a pressure on MT LAP. We have not dropped the yield as much as other players in the market have dropped. We've continued to hold the yield on the medium ticket LAP. The ST LAP yield, as I said, is only being conscious of the environment. I think as the environment eases out, you will see the trajectory coming back there.

Your second question was on Tamil Nadu. We will still wait for Q4 for the business to pick up in Tamil Nadu. The Tamil Nadu business has picked up, but not to the expectation that we

wanted. As I had mentioned to you last quarter when specifically asked o n one particular state, yes, our business had dropped in particular state of Tamil Nadu.
We are picking it up. It has moved about 20%, 30%, but still some way to go. We expect Q4 and Q1 for it to come back to the disbursement normalcy. The delinquencies there are in control, but the disbursal normalcy for it to come back. We're still a little bit cautious there in Tamil Nadu.
C.V. Ganesh: So I'll just add one more thing on the yield on the ST LAP. What you see in the deck , is the origination yield in the last 3 months. Now that is only INR200 crores. So, if you see on the book , it's gone down by less th

an 10 bps on the overall small ticket LAP book.
Moderator: The next question comes from the line of Shubhranshu Mishra with PhillipCapital.
Shubhranshu Mishra: So 2 quick questions. The first one is, we've seen a sharp spike in the gold loan AUM. If you can just have a split between what's been the contribution from our new branches here? And what's been the contribution from the increase in the ticket sizes?
Second , the rise in gold prices, do we still expect 10% to 12% CAGR in the tonnage growth because that seems unlikely because I will get lower amount of gold collateral for the same amount of gold loans.
The third is, because we are slightly heavier on the disbursements in gold loans, which will also reflect on the AUM in subsequent quarters. Are we going to change the borrowing metric, which is slightly heavier on the longer tenor. I understand during the rate cut cycle, we tend to borrow slightly longer tenor, but are you going to make it commensurate to the gold loan tenor in the AUM?
Parvez Mulla: Thank you, Shubhranshu. I will just request Jagadeesh to give you a flavor on the new branches and the old branches growth. Jagadeesh, are you there?
Jagadeesh Rao: Yes. I hope I am audible, right?
Parvez Mulla: Yes.
Shubhranshu Mishra: Yes, you are.
Jagadeesh Rao: So, Shubhranshu, we have opened 58 branches in the last quarter, and that has contributed to the growth. So, if you see the overall contribution of INR 8,000 odd crores that we recorded in this

quarter, 30% of the growth is contributed by the new branches. And balance, 70% is still coming from the existing branches. That's on front on the contribution.
Secondly, your question was on the pure weight growth and its consistency. We see that happening because of where we stand today, because our average per branch looks like it is hovering around INR12.5 crores to INR1 3 crores, and we still see a big room to reach around INR20 crores over the years to come , that's what our aspiration . We see tonnage growth playing a key role precisely because there is opportunity in the market, that is one. Second, our incentive structures, our KRAs, we have a target -linked incentive, which is linked to the pure weight growth of the branch.
So every branch, every employee is driven and incentivized based on the tonnage growth that we do in the branch. So that's what our thrust is, from the day one, and that is resulting in such a growth.
while the price is increasing, there will be chances that customers will pledge lesser gold, but there is a new acquisition which is happening, which is an engine for us to substantiate and balance that trend. But we see consistency, and we are confident that we will be s eeing 10% to 12% of tonnage growth year -on-year.
Parvez Mulla: CVG, do you want to give a flavor on the borrowing mix?
C.V. Ganesh: Yes. Shubhranshu, fully with you. We are going to do exactly what you have said. There is an opportunity there to have a skew towards the shorter end and that is exactly what we will do, which will aid in the NIM expansion going forward.
Shubhranshu Mishra: Just one question on the gold loan part for the tonnage growth, with rising prices or even the prices at similar levels that we see today, if we have a tonnage growth, which keeps going on, then we are infringing on the bank ticket size, which means that it will be yield pr essures, right? Is that a fair to understand?
Jagadeesh Rao : Sorry, I missed your last point. Can you please speak?
Shubhranshu Mishra: So if we keep doing -- if we are bent on doing tonnage growth for gold loans at similar prices or rising gold prices, we would infringe on the bank's turf, right, which generally do higher ticket size in gold loans, which means that it will be yield diluti ve for our gold loan business. Is that a fair understanding?
Jagadeesh Rao : B

asically, the retail ticket size is actually growing. Probably a guy who was eligible for INR1.5 lakh, is today eligible for INR2 lakh -- INR2.2 lakhs with the same gold. But it doesn't seems to

be trending towards the bank's turf. If there is a trend, then the yield pressure will be managed through the CLM partnership, CLM models that persist, and we will try to encash on that. But otherwise, as an NBFC, as an AUM strategy, we still rely on the retail and retail is seeing traction. We see pure weight coming from the retail book.
Moderator: The next question comes from the line of Chintan Shah with ICICI Securities.

Chintan Shah: Congratulations on a strong set of numbers. So just I had one thing on this labor code impact. So I think we already mentioned the impact is around INR3.9 crores for this quarter. But so is that a onetime impact? Or do we see any recurring impact as well g oing ahead due to that? So that's the first thing.
And secondly, on this gold loans or now almost we are 45% on the overall portfolio. So even if that exceeds say, around 50% or so. So that is not a challenge, right? And thirdly, on the borrowing cost, we have seen a steep decline of almost 60 bps Q -o-Q. So do we see any more -- anything more to come on that or not?
C.V. Ganesh: Yes. So maybe I'll take the borrowing cost first, okay? No, I think the 60 bps fall Q -o-Q is not repeatable. It's a 2 -point average, so there may be a skew there. I would urge you to go by the quarterly borrowing cost sheets where we reported a 33 bps redu ction from 8.17% to I think 7.87%. I think that's what you should look at.
There are opportunities there because, as I said, 41% of our borrowings are still external benchmark linked. The balance are MCLR -linked. So as of now, 71% of our borrowings continue to be floating rate. As and when the transmission continues to keep happe ning, there is an opportunity there, though we would be sanguine about it.
Now in terms of the labor code, see, the biggest impact has been baked in, okay . The biggest impact has been a onetime catch -up in terms of all the retiral benefits like gratuity, leave encashment, etc., due to the basic being -- needing to get hiked to 50% of the CTC. So that exercise has been done.
Now going forward, how does salaries get revisited, does it get passed on? Does it get adjusted is something which we will watch how the rest of the industry adjusts to it. We believe we have the wage cycle in April to look at that and have a little more information on how peers are handling it. What we do will be relative to what the peers do, right.
Now on the gold, as of now, there is no board limit or internal limit we have that it should not cross the lakshmanrekha of 50%. So we don't have any lakshmanrekha. Ultimately, we are a LAP first company, but gold is a very strong secondary product. Right now, it is doing very well. it would be perfectly acceptable and encouraged if it were to in the short -term or medium -term take the lead. And then -- but overall, as texture, we would remain a LAP company.
Moderator: The next question comes from the line of Sonal Minhas with Prescient cap Investment Advisors.
Sonal Minhas: My question is with regard to gold loan, sir. I have 2 questions. First of all, I just wanted to understand since your yields are around 18%, 19%, I'm presuming, and please correct me if I'm wrong, you competing with the likes of Muthoot, Manappuram and couple of other scaled up gold loan companies.
How are you seeing competition vis -a-vis the non -banking scaled up gold loan players. And we've seen commentary by these players where basically there is a directional indication that the yields are expected to come down given the competition? So that's on e.

Second question was with

regard to your LTV. The LTV seems to be a bit higher compared to the non -banking players. So just wondered a subjective feedback from you on that sensitive observations? That's all from my side.
Parvez Mulla: Yes. See, as far as competition is concerned, these set of 8, 9 players have been operating in this market for past 10 years. There have been certain geographies where each predominates. Obviously, there are 1 or 2 players who are very large and they opera te at a different scale. But the other players tend to predominate in particular geographies.
We have seen growth in the western and northern geographies much more than what we have seen in southern geographies. You see that in our investor presentation also. Our growth essentially comes from those geographies. Our new branches also come from those geographies.
As far as yield pressure is concerned, whenever the price goes to the levels that it has gone, earlier also whenever the price has shot up, there will be new players coming in. And those competition and the yield pressures will happen for a short -term period. But typically, gold being

a vernacular busi ness, it is dealt by each large player very, very locally.
That means in the state of Gujarat, you will deal with the Gujarat market, and you will play the yield there. And the Maharashtra market, you will deal very, very separately, depending on what the competition is there and who is the predominant player.
You don't match your yields with every player, you match it with the predominant player and how you are operating. Again, what tends to happen is gold being a very local business, geographically where you are located in that particular city and that parti cular town also matters.
So the competition also is very, very localized in terms of yield. Banks operate a very different yield, but their location is also very, very different in that particular city itself. Jagadeesh, you want to add anything on the gold side or the LTV side?
Jagadeesh Rao: Yes, I wanted to address the second point on the LTV, concern that is raised by you is, on the LTV. Our LTV seems to be on a higher end. But I would like to correct you, it is not higher. It is much, much conservative compared to any other NBFC player. If you take our onboarding LTV, it is at the tune of around 70% to 71%.
Today, regulator has allowed us to go up to 85% for certain ticket size, 80% for another ticket size. But we are a little cautious because we don't want to take the advantage of the price or the LTV relaxation. We are more conscious and more conservative.
Our onboarding LTV has reduced. We are even onboarding customers at a much -- lets say, 1% or 2% lesser than the max cap. On the portfolio LTV, we are standing very comfortably at 59%, which is declared. So I don't think we are on higher end. We are conse rvative or max at par with the largest player.
Sonal Minhas: No, I understand that. I picked up a number from the deck.
Moderator: The next question comes from the line of Meghna Luthra with InCred Equities.

Meghna Luthra: I just had 2 questions. One is what percentage of the LAP book is old vintage? And the second question I had is that you mentioned you wanted to move from DA to co -lending. Can you throw some more color on that, what proportion of the AUM would that be or anything else?
Parvez Mulla: Anything sourced before FY '24 is old vintage. So the sourcing, which has happened after FY '24, we track it separately and we put it as a new book and that is what is showing us good color. And this old vintage book will have its own play. But amongst the old vintage also, there will be 1 or 2 years, which we are tracking very closely. We've, over the past 2, 3 quarters, we have addressed those flows in the buckets that you have seen. So you've seen our Q1, Q2, Q3 movements and most of the flows a

re coming from those 2, 3 years that we are tracking very closely. Plus there are certain geo graphy mixes, which we are tracking. And as we go forward, the new mix will increase and the old mix will come down. As far as the DA to co -lending is concerned, CVG, this was something which you mentioned?
C.V. Ganesh: Yes. Sorry, Meghna, what was the question again on DA to co -lending?
Meghna Luthra: Sir, you mentioned that you want to cut down on DA and move to co -lending.
C.V. Ganesh: From 1st Jan, there are the new co -lending guidelines, which are applicable. Now there is an accounting change in which the co -lending one happens compared to the kind of accounting which used to happen for DA. That is all I was trying to signal. So, the moving of the lower - yield assets off book would continue to happen. It is just that the accounting might differ going forward. which is why I was pointing more for everybody to bear attention to the core yields and core interest income and maybe eliminate the impact of the DA income there from.
C.V. Ganesh: On the first question also, see there are very specific geographical cohorts of the back book, where the pain is lingering. I think it would be unfair to colour the entire back book with that
Meghna Luthra: So this would be a normalized level for the DA income or the, say, the co -lending income that we will see, right?
C.V. Ganesh: We will watch it, Meghna, I think -- I wouldn't want to say that statement.
Meghna Luthra: Okay. Okay, sir. And then lastly, can you highlight which geographies are throwing up pain right now?
Parvez Mulla: These cohorts that we had talked about, we had initially also mentioned in our first Q discussion that there are geographies of Maharashtra and Tamil Nadu, where we had seen that elevated stress, which was in Q3 FY '25. And those were the geographies we had foc used and within these geographies also, we had certain pockets.
Again, Meghna not to color it, these are not something which the other players had faced. So it was our specific problem for these 2 states. So it was not a state specific issue. It was a Fedfina state specific issue.
Moderator: The next question comes from the line of Prolin Nandu with Edelweiss.

Prolin Nandu: A couple of questions from my end. One is, you talked about the drag on cost -to-income because of a higher intensity of disbursement, right? And that is specifically coming from gold side of things where you mentioned the AUM growth in the last 3 months.
My question is that, see, on cost -to-income, obviously, there is this drag because of this, but then we are co -locating the branches and at some point of time, operating leverage would also come into the picture. So where are we in that cycle of cost -to-income? Because we will continue to have a very high growth in gold loan going forward as well, right? So do we still continue to see that drag because of higher disbursement coming in gold loan? Or maybe this quarter might be something different and going forward, there could be a lesser of an impact on cost -to-income because of higher disbursement?
C.V. Ganesh: Prolin, thank you for that question. See, what I would urge is we want to retain flexibility in all the levers in the ROA tree. I think the guidance we would give is what I had outlined at the end of my narrative that we have delivered over the last 4 quarters a consistent, predictable and increasing ROA. I think that perhaps is the guidance you want to take that subsumes opex, that subsumes credit cost within those parameters where that subsumes a DA income or otherwise that subsumes core yield. Within all of that, I think that would be the objective we wo uld continue on.
Parvez Mulla: Just to add to what CVG is saying, again, at the start of the year, when the guidance was asked, I had mentioned that this year, we

will be focusing on the credit cost. FY '25, we had returned a credit cost of 1.8%, and we were very conscious that this year, F Y '26, we wanted to keep it below 1%, and that is the 80 bps, which you will see reflecting in our ROA tree. And this is the guidance, which I had given a year ago.
Having said that, I had said that on the opex side, we will do a lot of work in this particular year, but it will only reflect in FY '27. FY '26 is an investment year because we are taking a challenging task of rebuilding the ST LAP business. There is going to be investment on the collection side. We went ahead and invested into the gold branches. We went ahead and did investment in areas of the small ticket LAP business. So, these 3 areas have moved the cost -to-income up so and the other elements on the cost -to-income, whatever we have reduced, so it is a, there is some reduction and some upside, and that is why it has remained flat. In fact, I had guided it in such a manner a year ago, that cost -to-income for FY '26 will remain flat because we are going to do these additional costs, and we will do the savings. As we go in FY '27, these will start reflecting. When we are merging the sma ll-ticket LAP business branches as well as definitely, there is a shaving off which is happening, but it is getting neutralized by the new branches that we are putting in.
And also the fact that the leases take time for it to fructify. So you only get a 3 -month effect or a 6-month effect in a particular year. Next year, you will see the full effect playing in. So that is why further, I had mentioned that you will see an eff ect next year on the cost -to-income side.

So basically trying to say that FY '26, we wanted to address the credit cost, the cost -to-income and the opex to average assets we will address in FY '27, which is where you will see the upside on the ROA trajectory further than what we have delivered in FY '26.
Prolin Nandu: I get your point. The second question would be on this GNPA, right, in the mortgage division. while you have alluded to this, but just to summarize, is it fair that large part of the increase in GNPA. That we are seeing, is it because of the older book?
And could you just help us understand how is the performance on the asset quality side between newer and older book or some of the -- I mean, not the entire older book, as you highlighted in the previous answer as well, is where we were seeing an issue. Bu t if you can just help us understand how has been the performance on GNPA side on the newer book?
Parvez Mulla: Yes. So there is a substantial difference on the newer book and the older book. When we look at the 12 MOB and the 18 MOBs numbers, there is almost 100 bps difference to 150 bps difference between what we are seeing on these two books. Even in the older bo ok, there are certain pockets and certain vintages, which we have faced a challenging situation.
Again, those challenging situations, Rahul, I will repeat, was not necessarily an environment issue. It was our issue. Our collection team's inadequacy, we had not invested as much in the collection infrastructure, which we should have been doing a year ago or 2 years ago. But that caused that flow to happen ST LAP business is a heavily invested collections business, which we corrected over the past 1 year. So last 1 year has gone in this particular collection. Now we are also seeing whichever NPAs, which we had moved the buckets in Q1 and Q2, we are seeing

NPA recovery is happening here. Because you have to also understand that many times when the customer is in early buckets, when he moves into bucket 2 and bucket 3, recovery becomes difficult.
It is advantageous for the company to move it into NPA because then the legal process is much easier on the NPA side. And the recovery is much better after you drop the case

into NPA. That
is why we believe that we are getting certain good recoveries also which are happening now. So that is the color on the GNPA side on the old book and the new book.
C.V. Ganesh: Maybe I'll just add on to that, roughly the way to dissect the problem a little better is that, of the mortgage book roughly on the AUM side, it's a 60 -40 split between medium ticket LAP and small ticket LAP. So medium ticket LAP, it's pristine. There is no problem.
So out of that 40% of the mortgage book, there is a further split between old book and new book .
Now that is not public information. Now within that old book further, there is a geographical split. So actually, you are talking about not so large part of the bad book. That's the comfort we will give you.
Parvez Mulla: Yes. And Rahul , further to give you that comfort is when we had looked at 1 year ago and when we had seen the problem and when we had guided on the problem, that is why we said that we were able to give you a guidance on the credit cost. That is what is going to be the P&L charge of this.

And in spite of the GNPAs being volatile, we'll be able to hold the credit cost below 1% because that time also 1 year ago, I got questions that if the GNP has moved up, the credit cost will also be unpredictable. We had said that we know the cohorts, whic h we are working on. We can understand what kind of recoveries will happen. We are also dealing with movement of the portfolio from the agency side to in -house.
It also has to be done in a structured manner because you understand that when you get an allocation, which has done to an outsource agency when you are moving it in -house, there are droppings which happen. And every quarter, you need to handle those.
So as you select the cohorts in particular states, when they move from the agency to inside, you can predict what is the expected numbers which are going to flow. So that is why we had guided accordingly, and what I can say is whatever is happening on the GNPA side is exactly the way we had predicted it and we had guided on the same.
Moderator: The next question comes from the line of Vedant Maheshwari with Intellivest Family Office .
Vedant Maheswari: Just a couple of questions I have with regards to the way we calculate our businesses. So in regards to the gold, at what are the tonnage part, but is there a lag in the price at which we take for computation of our gold loan AUM growth?
Parvez Mulla: Did I lose a connection in between? I couldn't hear your question properly in continuous flow.
Jagadeesh, did you catch it?
Jagadeesh Rao: No, no, I didn't.
Vedant Maheswari: Okay. So what I mean is as a whole with our tonnage growth and everything, I want to understand at what particular for our AUM computation what price of gold do we take? Is there a lag of the gold price which we take and due to which we see the growth? Or as a whole, we take it at the live prices at the mom ent?
Jagadeesh Rao: Yes. So to answer it, it is based on the regulatory lines. We take the 30 days average of the gold prices. See we have declared Q3 LTV. LTV is based on the 30 days average gold price as on 31st December.
Vedant Maheswari: Okay. Got it, sir. And just 1 couple of things. You said the AUM is back ended, and we see that in -- because the gold ticket sizes, I suppose, like the gold loan, we see the revenue recognition a little bit back -ended, right, around 6 to 8 months is the a verage tenure. So given that we have been experiencing a large tonnage and AUM growth over the last 1 year and the gold price has also been quite high. As a whole, how does that translate into our revenue recognition policies?
I just want to understand that flavor. As we are seeing over the last 18 months of the AUM growth and all has been quite strong, but as all the translation doesn't seem that high co

mpared
to just the top line. I just wanted to understand these policies ar e a little bit more?

Jagadeesh Rao: I think the back -ended point was not on the revenue recognition, back -ended point was on the book that we are building. See, for the quarter it has grown around 10%. The majority of the book has happened in the month of November and December. So the results, the earnings of that will happen in the subsequent quarters.

Apart from that, the gold loan is structured in such a way that you on -board a customer at a rate and there are options available with the customers to pay interest at, say, after 6 months, 7 months at a higher rate. So , that's where the yield will play and we see that happening as a character of gold with any player. This is an industry fact.

C.V. Ganesh: I was referring to my point. So , the point I was -- I made earlier in the call is that see the origination costs, yes, the incentives, some of the other origination costs are recognized in the month of origination. So effectively, we do not amortize the origination cost over the life of the gold loan. So the cost getting recognized upfront. The revenue is ours over the next many months. That is all I was trying to say.

Moderator: The next question comes from the line of Sandeep Joshi with Unifi Capital.

Sandeep Joshi: I had a question on the credit cost. See, for this financial year, we have given a credit cost guidance of about 1% plus/minus 10 basis points. But I just want to understand from you what are you thinking for the next -- for the credit cost for FY '27 in t he line that now the proportion of gold loan have actually increased, the unsecured book has almost run down and most of the collection infrastructure will be ready by Q4. So on this context, do you wish to give any guidance on credit cost f or FY '27?

Parvez Mulla: Yes, Sandeep, see, we have at the start of the year, guided on a particular credit cost because that was the most important item on the agenda when we had seen an elevated GNPA and elevated credit cost on the ST LAP business. That is why we felt it was nec essary to guide on the credit cost. I think next year, we want to keep it in a predictable zone. As we had mentioned in our strategy that we moved out of the BL unsecured business because we wanted to bring predictability to the credit cost a nd that is the objective, and we want to get into that zone. So, by Q4, once we see the numbers on Q4, we should be able to give you a guidance on the credit cost, and it should be very predictable for you. But I think what will be important for you next year for FY '27 will be our guidance on the opex to average assets because that will be a crucial number where we will show some numbers. So these two alternatively, we will definitely give you a guidance on Q4.

I think this year was an important year where we gave you a particular guidance, and we wanted to live up to that number. Next year, I think it will be more predictable or at your end itself the opex number will be more crucial, I think. But anyways, in Q4 , I will give it to you.

Moderator: The next question comes from the line of Rahul Kumar with Vaikarya.

Rahul Kumar: Just 1 question on the slippages front, so going forward, do we expect the slippages to remain status quo or improve from here, especially in the mortgages ?

Parvez Mulla: As far as the slippages are concerned, FY '26, quarter 1 to quarter 4, we are handling the issue of small ticket LAP business, which affected us as a company. Environment might have been included inside it, but it was our issue. And we had said that it will take us a year. We will ta ke that here, and that is where you will see these slippages.

We have as much as possible, try to keep it non-volatile . We have given

a prediction on the
credit cost and we have sustained it and maintained it. On the slippages side, I think FY '27 should give you a more predictable line on the slippages based on whatever flows we have seen this year because, as I said, th e characteristics of the old book and the certain vintages should play out, and we should have a better predictability to those slippages.

Plus, as I said, we will have a recovery team, which will neutralize some of those slippages for us. So there will be a predictability. So, FY '26 will get utilized in these slippages, '27 should be a predictable nature.

Moderator: Thank you. Ladies and gentlemen, this was the last question for today. I now hand the conference over to the management for closing comments.

Parvez Mulla: Thank you so much for the call, really appreciate . With the closing comments, which we want to give is, last year we had given certain guidances and certain priorities. Over the last 4 quarters, we have stuck to those guidances. We have stuck to those numbers, which we had promised and Q1, Q2, Q3, we have move d the needle in terms of the parameters, which we had promised, especially on the ROA side, on the credit cost side.

We had promised that we will work on a complete secured construct. We have stuck to that. We had said we would double down on these 2, gold and mortgage business. We have stuck to that. Certainly, we have been helped by the price momentum on the gold side , but we have been very conservative in terms of focusing on tonnage growth as well as on the LTV side.

So keeping in mind the risk parameters, keeping in mind the processes, we have consciously grown these 2 businesses. And on the ST LAP side, also, we had said that we will rebuild this business. We've been doing it brick by brick. We are not in a hurry, b ut we are conscious of the growth that we want in this particular business.

We are focused on this business. We are investing into this business. We believe this is a business which we can do very well. Focusing on these 2 businesses and creating an expertise in these 2 businesses is the core DNA with which we want to move forwar d. Thank you so much.

Moderator: Thank you. On behalf of Equirus Securities Private Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: May 2026

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